

Risk and Capital

- Information according to Pillar 3

2021

This is **Handelsbanken**

Handelsbanken was founded in 1871. As the Bank closes the books on our 150th year of operations, we are one of the world's strongest banks.

Our idea of how to run our Bank is based on trust and respect for individuals, both customers and employees. At Handelsbanken, we strive to evolve and improve, so that we can be the best possible bank for our customers. We create value in each customer meeting.

Handelsbanken's ambition is to provide the best banking experience within financing, savings and advisory services. We see potential for continued strong business development and profitable growth at a low risk, facilitated by satisfied customers. The Bank's primary markets are Sweden, Norway and the UK, but we also have operations in the Netherlands, Luxembourg and the USA.



Table of contents

Introduction	3
Key metrics and overview of risk weighted exposure amount	4
EU KM1 Overview of risk weighted exposure amounts	Points (a) to (g) of Article 447 and point (b) of Article 438 4
EU KM2 Key metrics - MREL	Directive 2014/59/EU 5
EU OV1 Overview of risk weighted exposure amounts	Point (d) of Article 438 5
EU INS1 Insurance participations	Point (f) of Article 438 6
EU INS2 Financial conglomerates information on own funds and capital adequacy ratio	Point (g) of Article 438 6
EU OVC ICAAP information	Points (a) and (c) of Article 438 6
Risk management policies and objectives	7
EU OVA Institution risk management approach	Article 435(1) 7
EU OVB Disclosure on governance arrangements	Article 435(2) 11
Scope of application	13
EU LI1 Differences between accounting and regulatory scopes of consolidation and mapping of financial statement categories with regulatory risk categories	Point (c) of Article 436 13
EU LI2 Main sources of differences between regulatory exposure amounts and carrying values in financial statements	Point (d) of Article 436 14
EU LIA Explanations of differences between accounting and regulatory exposure amounts	Points (b) and (d) of Article 436 14
EU LI3 Companies included in consolidated situation - Outline of the differences in the scopes of consolidation	Point (b) of Article 436 15
EU LIB Other qualitative information on the scope of application	Points (f), (g) and (h) of Article 436 17
EU PV1 Prudent valuation adjustments (PVA)	Point (e) of Article 436 17
Regulatory Own funds	18
EU CC1 Composition of regulatory own funds	Points (a), (d), (e) and (f) of Article 437 18
EU CC2 Reconciliation of regulatory own funds to balance sheet in the audited financial statements	Point (a) of Article 437 20
EU CCA Main features - regulatory own funds instruments, CET1	Points (b) and (c) of Article 437 21
EU CCA Main features - regulatory own funds instruments, AT1	Points (b) and (c) of Article 437 22
EU CCA Main features - regulatory own funds instruments, T2	Points (b) and (c) of Article 437 23
Eligible liabilities	24
EU CCA Main features - eligible liabilities instruments, EMTN	Points (b) and (c) of Article 437 24
EU CCA Main features - eligible liabilities instruments, AMTN	Points (b) and (c) of Article 437 28
EU CCA Main features - eligible liabilities instruments, 144A, 3A2 and Samurai	Points (b) and (c) of Article 437 29
EU TLAC1 Composition - MREL	Directive 2014/59/EU 30
EU TLAC3b creditor ranking - resolution entity	Directive 2014/59/EU 30
Countercyclical capital buffers	31
EU CCyB1 Geographical distribution of credit exposures relevant for the calculation of the countercyclical buffer	Point (a) of Article 440 31
EU CCyB2 Amount of institution -specific countercyclical capital buffer	Point (b) of Article 440 31
Leverage ratio	32
EU LRA Disclosure of LR qualitative information	Points (d) and (e) of Article 451(1) 32
EU LR1 LRSum: Summary reconciliation of accounting assets and leverage ratio exposures	Point (b) of Article 451(1) 32
EU LR2 LRCom: Leverage ratio common disclosure	Points (a) and (b) of Article 451(1) and of Article 451(3), taking into account, where applicable, point (c) of Article 451(1) and Article 451(2) CRR 33
EU LR3 LRSpl: Split-up of on balance sheet exposures (excluding derivatives, SFTs and exempted exposures)	Point (b) of Article 451(1) 34
Funding and liquidity Risk	35
EU LIQA Liquidity risk management	Articles 435(1) and 451a(4) 35
EU LIQ1 Quantitative information of LCR	Article 451a(2) 38
EU LIQ2 Net Stable Funding Ratio	Article 451a(3) 39
EU LIQB on qualitative information on LCR, which complements template EU LIQ1	Article 451a(2) 40
ENCUMBERED AND UNENCUMBERED ASSETS	41
EU AE1 Encumbered and unencumbered assets	Article 443 41
EU AE2 Collateral received and own debt securities issued	Article 443 41
EU AE3 Sources of encumbrance	Article 443 41
EU AE4 Accompanying narrative information	Article 443 42
Market Risk	43
EU MRA Qualitative disclosure requirements related to market risk	Points (a) to (d) of Article 435(1) 43
EU MR1 Market risk under the standardised approach	Article 445 44
IRRBB	45
EU IRRBBA Qualitative information on interest rate risks of non-trading book activities	Article 448 45
EU IRRBB1 Interest rate risks of non-trading book activities 2021	Article 446 46

Credit Risk	47
CREDIT QUALITY	47
EU CRA General qualitative information about credit risk	Points (a), (b), (d) and (f) of Article 435(1)
EU CRB Additional disclosure related to the credit quality of assets.	Points (a) and (b) of Article 442
EU CQ1 Credit quality of forborne exposures	Point (c) of Article 442
EU CQ4 Quality of non-performing exposures by geography	Points (c) and (e) of Article 442
EU CQ5 Credit quality of loans and advances by industry	Points (c) and (e) of Article 442
EU CQ7 Collateral obtained by taking possession and execution processes	Point (c) of Article 442
EU CR1 Performing and non-performing exposures and related provisions	Points (c) and (f) of Article 442
EU CR1-A Maturity of exposures	Point (g) of Article 442
EU CR2 Changes in the stock of non-performing loans and advances	Point (f) of Article 442
EU CQ3 Credit quality of performing and non-performing exposures by past due days	Point (d) of Article 442
CREDIT RISK MITIGATION TECHNIQUES	54
EU CRC Qualitative disclosure requirements related to CRM techniques	Points (a) to (e) of Article 453
EU CR3 CRM techniques overview: Disclosure of the use of credit risk mitigation techniques	Point (f) of Article 453
CREDIT RISK STANDARDISED APPROACH	55
EU CRD Qualitative disclosure requirements related to standardised model	Points (a) to (d) of Article 444
EU CR4 Standardised approach - Credit risk exposure and CRM effects	Points (g), (h) and (i) of Article 453 CRR and point (e) of Article 444
EU CR5 Standardised approach	Point (e) of Article 444
CREDIT RISK IRB APPROACH	57
EU CRE Qualitative disclosure requirements related to IRB approach	Points (a) to (f) of Article 452
EU CR6 IRB approach - Credit risk exposures by exposure class and PD range	Point (g)(i)-(v) of Article 452
EU CR6-A Scope of the use of IRB and SA approaches	Point (b) of Article 452
EU CR7 IRB approach - Effect on the RWEAs of credit derivatives used as CRM techniques	Point (j) of Article 453
EU CR7-A IRB approach - Disclosure of the extent of the use of CRM techniques	Point (g) of Article 453
EU CR8 RWEA flow statements of credit risk exposures under the IRB approach	Point (h) of Article 438
EU CR9 IRB approach - Back-testing of PD per exposure class (fixed PD scale)	Point (h) of Article 452
EU CR9.1 IRB approach – Back-testing of PD per exposure class (only for PD estimates according to point (f) of Article 180(1) CRR)	Point (f) of Article 180(1)
SPECIALISED LENDING	72
EU CR10 Specialised lending and equity exposures under the simple riskweighted approach	Point (e) of Article 438
COUNTERPARTY CREDIT RISK	72
EU CCRA Qualitative disclosure related to CCR	Points (a) to (d) of Article 439
EU CCR1 Analysis of CCR exposure by approach	Points (f), (g), and (k) of Article 439
EU CCR2 Transactions subject to own funds requirements for CVA risk	Point (h) of Article 439
EU CCR3 Standardised approach - CCR exposures by regulatory exposure class and risk weights	Point (l) of Article 439 referring to point (e) of Article 444
EU CCR4 IRB approach-CCR exposures by portfolio and PD scale	Point (l) of Article 439 referring to point (g) of Article 452
EU CCR5 Composition of collateral for CCR exposures	Point (e) of Article 439
EU CCR6 Credit derivative exposures	Point (j) of Article 439
EU CCR8 Exposures to CCPs	Point (i) of Article 439
Operational risk	76
EU ORA Qualitative information on operational risk	Articles 435(1), 446 and 454
EU OR1 Operational risk own funds requirements and risk-weighted exposure amounts	Articles 446 and 454
Remuneration policy	78
EU REMA Remuneration policy	Points (a), (b), (c), (d), (e), (f), (j) and (k) of Article 450(1) and of Article 450(2) (Institutions required to disclose information in points (e), (f) and (k) of Article 450(1) and in Article 450(2) in accordance with Articles 433a, 433b and 433c CRR)
EU REM1 Remuneration awarded for the financial year	Point (h)(i)-(ii) of Article 450(1)
EU REM2 Special payments to staff whose professional activities have a material impact on institutions' risk profile	Point (h)(v)-(vii) of Article 450(1)
EU REM4 Remuneration of 1 million EUR or more per year	Point (i) of Article 450
EU REM5 Information on remuneration of staff whose professional activities have a material impact on institutions' risk profile	Point (g) of Article 450(1) (Institutions required to disclose information in point (g) of Article 450(1) in accordance with Articles 433a, 433b and 433c CRR)
Definitions and explanations	84
Information items not disclosed according to Article 432	86
Signatures of the CEO, CFO and CRO	87

Introduction

Handelsbanken provides this information in compliance with Part Eight of Regulation (EU) No 575/2013 (CRR) and the Swedish Financial Supervisory Authority's regulations (FFFS 2014:12) regarding prudential requirements and capital buffers.

The disclosures pursuant to CRR can be found in this report in the form of quantitative and qualitative information to be provided as stipulated in the Commission Implementing Regulation (EU) 2021/637. For additional information regarding Handelsbanken, please see the Annual and Sustainability Report.

Svenska Handelsbanken AB (publ) is the parent institution in Handelsbanken's consolidated situation. For Handelsbanken, the conglomerate rules mean that the capital requirements for the consolidated situation and the capital requirement for the insurance operations are combined.

Companies that are part of the consolidated situation and that are thus covered by the capital adequacy requirements according to the capital adequacy regulations are listed in table EU LI3. All subsidiaries which are subject to the regulations are included in the consolidated situation. Handelsbanken has no subsidiaries in which the actual own funds are less than the prescribed own funds. For additional information regarding related party disclosures, own funds and capital requirements, please see the Annual and Sustainability Report, notes G49 and G51.

For periodic information, for which Handelsbanken has identified a need to submit information more often than once a year, please refer to the Bank's interim reports and quarterly Pillar 3 reports. Information to be provided quarterly as stipulated in the CRR is published on Handelsbanken's website.

The information is presented as at 31 December 2021, and the comparative figures as at 31 December 2020 unless otherwise specified. The amounts in brackets are the figures for the preceding year.

Key metrics and overview of risk weighted exposure amount

Template (KM1) shows Key metrics related to risk-based capital ratios, leverage ratio and liquidity standards and provides a set of key metrics covering the bank's available capital (including buffer requirements and ratios). KM1 encompasses total risk-weighted assets, leverage ratio, Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR). KM1 consist of the information on the impact of the bank's regulatory capital and leverage ratios compared to the bank's capital and leverage.

EU KM1 Overview of risk weighted exposure amounts

Key metrics 2021		2021	2020
Available own funds (amounts)			
1	Common Equity Tier 1 (CET1) capital	149 709	158 332
2	Tier 1 capital	163 222	146 160
3	Total capital	180 458	175 245
Risk-weighted exposure amounts			
4	Total risk-weighted exposure amount	773 158	721 403
Capital ratios (as a percentage of risk-weighted exposure amount)			
5	Common Equity Tier 1 ratio (%)	19.4%	20.3%
6	Tier 1 ratio (%)	21.1%	21.9%
7	Total capital ratio (%)	23.3%	24.3%
Additional own funds requirements to address risks other than the risk of excessive leverage (as a percentage of risk-weighted exposure amount)			
EU 7a	Additional own funds requirements to address risks other than the risk of excessive leverage (%)	1.9%	
EU 7b	of which: to be made up of CET1 capital (percentage points)	1.2%	
EU 7c	of which: to be made up of Tier 1 capital (percentage points)	1.5%	
EU 7d	Total SREP own funds requirements (%)	9.9%	8.0%
Combined buffer requirement (as a percentage of risk-weighted exposure amount)			
8	Capital conservation buffer (%)	2.5%	2.5%
EU 8a	Conservation buffer due to macro-prudential or systemic risk identified at the level of a Member State (%)		
9	Institution specific countercyclical capital buffer (%)	0.1%	0.1%
EU 9a	Systemic risk buffer (%)	3.0%	3.0%
10	Global Systemically Important Institution buffer (%)		
EU 10a	Other Systemically Important Institution buffer	1.0%	1.0%
11	Combined buffer requirement (%)	6.6%	6.6%
EU 11a	Overall capital requirements (%)	16.5%	14.6%
12	CET1 available after meeting the total SREP own funds requirements (%)	13.9%	
Leverage ratio			
13	Total exposure measure	3 232 291	3 051 376
14	Leverage ratio (%)	5.0%	5.2%
Additional own funds requirements to address risks of excessive leverage (as a percentage of leverage ratio total exposure amount)			
EU 14a	Additional own funds requirements to address the risk of excessive leverage (%)		
EU 14b	of which: to be made up of CET1 capital (percentage points)		
EU 14c	Total SREP leverage ratio requirements (%)	3.00%	3.00%
Leverage ratio buffer and overall leverage ratio requirement (as a percentage of total exposure measure)			
EU 14d	Leverage ratio buffer requirement (%)		
EU 14e	Overall leverage ratio requirements (%)		
Liquidity Coverage Ratio			
15	Total high-quality liquid assets (HQLA) (Weighted value -average)	778 654	736 681
EU 16a	Cash outflows - Total weighted value	595 289	546 265
EU 16b	Cash inflows - Total weighted value	68 295	65 548
16	Total net cash outflows (adjusted value)	526 994	480 717
17	Liquidity coverage ratio (%)	149%	154%
Net Stable Funding Ratio			
18	Total available stable funding	2 026 413	1 920 899
19	Total required stable funding	1 774 542	1 644 683
20	NSFR ratio (%)	114%	117%

EU KM2 Key metrics - MREL and, where applicable, G-SII requirement for own funds and eligible liabilities

Presentation in accordance with the implementing technical standards for the application of Regulation (EU) No 575/2013 and Directive 2014/59/EU with regards to the supervisory reporting and public disclosure of the minimum requirement for own funds and eligible liabilities. Excluded rows are deemed not relevant for Handelsbanken at present.

Key metrics - MREL and, where applicable, G-SII requirement for own funds and eligible liabilities 2021		Minimum requirement for own funds and eligible liabilities (MREL)
Own funds and eligible liabilities, ratios and components		
1	Own funds and eligible liabilities	326 256
EU-1a	Of which own funds and subordinated liabilities	212 595
2	Total risk exposure amount of the resolution group (TREA)	773 158
3	Own funds and eligible liabilities as a percentage of the TREA	42.20%
EU-3a	Of which own funds and subordinated liabilities	27.50%
4	Total exposure measure (TEM) of the resolution group	3 232 291
5	Own funds and eligible liabilities as percentage of the TEM	10.09%
EU-5a	Of which own funds or subordinated liabilities	6.58%
Minimum requirement for own funds and eligible liabilities (MREL)		
EU-7	MREL expressed as a percentage of the TREA	-
EU-8	Of which to be met with own funds or subordinated liabilities	-
EU-9	MREL expressed as a percentage of the TEM	-
EU-10	Of which to be met with own funds or subordinated liabilities	-

EU OV1 Overview of risk weighted exposure amounts

The table shows risk exposure amounts (REA) for credit, counterparty, market and operational risk at the end of the previous and current period. Credit risk is calculated by the standardised approach, the Foundation IRB Approach and the Advanced IRB Approach. Market risk and operational risk is calculated by the standardised approach. REA for credit risk has increased compared to the previous period. REA for counterparty risk has increased compared to the previous period. REA for market risk has decreased compared to the previous period.

Overview of total risk exposure amounts		2021	2021
SEK m		Total risk exposure amounts (TREA)	Total own funds requirements
1	Credit risk (excluding CCR)	684 075	54 727
2	Of which the standardised approach	178 552	14 284
3	Of which the Foundation IRB (F-IRB) approach	48 100	3 849
4	Of which slotting approach		
EU 4a	Of which equities under the simple riskweighted approach	3 427	274
5	Of which the Advanced IRB (A-IRB) approach	224 096	17 928
5a		229 900	18 392
6	Counterparty credit risk - CCR	12 255	980
7	Of which the standardised approach	8 924	714
8	Of which internal model method (IMM)		
EU 8a	Of which exposures to a CCP	212	17
EU 8b	Of which credit valuation adjustment - CVA	2 614	209
9	Of which other CCR	505	40
10	Not applicable		
11	Not applicable		
12	Not applicable		
13	Not applicable		
14	Not applicable		
15	Settlement risk	15	1
16	Securitisation exposures in the non-trading book (after the cap)		
17	Of which SEC-IRBA approach		
18	Of which SEC-ERBA (including IAA)		
19	Of which SEC-SA approach		
EU 19a	Of which 1 250 % / deduction		
20	Position, foreign exchange and commodities risks (Market risk)	7 145	572
21	Of which standardised approach	7 145	572
22	Of which IMA		
23	Operational risk	69 668	5 573
EU 23a	Of which basic indicator approach		
EU 23b	Of which standardised approach	69 668	5 573
EU 23c	Of which advanced measurement approach		
24	Amounts below the thresholds for deduction (subject to 250 % risk weight)		
25	Not applicable		
26	Not applicable		
27	Not applicable		
28	Not applicable		
29	Total	773 158	61 853

EU INS1 Insurance participations

Insurance participations 2021		Exposure value	Risk-weighted exposure amount
SEK m			
1	Own fund instruments held in insurance or re-insurance undertakings or insurance holding company not deducted from own funds	6 254	15 636

EU INS2 Financial conglomerates information on own funds and capital adequacy ratio

Financial conglomerates information on own funds and capital adequacy ratio 2021			
SEK m			
1	Supplementary own fund requirements of the financial conglomerate (amount)		14 387
2	Capital adequacy ratio of the financial conglomerate (%)		20.9%

EU OVC ICAAP information

Article 438(a) CRR.

Approach to assessing the adequacy of their internal capital

In addition to the regulatory capital and buffer requirements, the Bank performs internal capital adequacy assessments in which all risks and capital requirements are assessed. The Bank's assessment is based on an economic capital (EC) model and conservative stress tests. The EC model is calibrated to a significance level of 99.97% over a one-year horizon. Stress tests' cover a five-year horizon and indicate that the capital supply in a normal business cycle should be sufficient to cover potential losses and capital requirement changes which may occur under stressed conditions.

Article 438(c) CRR.

Upon demand from the relevant competent authority, the result of the institution's internal capital adequacy assessment process.

Provided upon request from the relevant competent authority.

Risk management policies and objectives

Handelsbanken's restrictive approach to risk means that the Bank deliberately avoids high-risk transactions. This low risk tolerance (risk appetite) is maintained through a strong risk culture and applies to all areas of the Group. The Bank is characterised by a clear division of responsibility where each part of the business operations bears full responsibility for its business and risk management. The decentralised business model is combined with strong centralised controls. The same principles for the Bank's approach to risk applies in all countries where the Bank operates.

EU OVA - Institution risk management approach

Point (f) of Article 435(1) CRR

Disclosure of concise risk statement approved by the management body

Risk statement

Handelsbanken's business goal is to have higher profitability than the average of peer competitors in our home markets. This goal is mainly to be achieved by having more satisfied customers and lower costs than those of competitors. Handelsbanken is a bank with a strong local connection and a decentralised way of working.

The Bank's overall risk profile is that risks are to be kept low. The Group must also be well capitalised at all times in relation to the risks, fulfil all requirements imposed by the authorities, and hold liquid assets so that it can meet its payment obligations, including in situations of financial stress in the short and long term. The risk strategy and Bank's overall risk profile support Handelsbanken's aim to have a business model that is independent of changes in the business cycle.

The Bank has, and will maintain, a low level of credit risk. This is achieved by such measures as its strong local connection and close customer relations. The quality of credits must never be neglected in favour of achieving higher volume or a higher margin. The Bank is selective when choosing customers with the requirement that borrowers have a good repayment capacity. As a consequence of this, the credit portfolio has a clear concentration on risk classes where the probability of loss is low. This consistent approach is reflected in the Bank's low credit losses over time. This consistent approach is reflected in the Bank's low credit losses over time. In 2021, credit losses were 0.00% (0.03) of lending.

To ensure that the Bank is well capitalised in relation to the risks and has a good liquidity situation, the Board stipulates the Bank's risk tolerance for capitalisation and liquidity. When the risk tolerance for capitalisation is decided, the capital measure is set partly in relation to the statutory requirements and partly in relation to Handelsbanken's assessed capital requirement based on the Bank's model for Economic Capital (EC), which encompasses all of the Group's risks in one single metric. The risk tolerance for the Bank's liquidity risk is decided on the one hand through requirements that the Bank under stressed circumstances must have a sufficiently large liquidity reserve in the form of liquid assets and assets which can be pledged, and also liquidity-generating measures to be able to continue its operations during determined time periods, and on the other hand through requirements regarding the accumulated net amount of incoming and outgoing cash flows in different time intervals.

The Board has determined that the common equity tier 1 ratio must, under normal circumstances, be between 1 and 3 percentage points above the total common equity tier 1 capital requirement communicated to the Bank by the Swedish Financial Supervisory Authority. With regard to the leverage ratio, this must exceed the total capital requirement communicated to the Bank by the Swedish Financial Supervisory Authority by at least 0.6 percentage points.

The Bank's assessment of the Swedish Financial Supervisory Authority's common equity tier 1 capital requirement at year-end 2021 was 13.9% (13.8), given that the Swedish Financial Supervisory Authority's guidance of 1.5% within the framework of Pillar 2 is taken into account. Similarly, the Bank's assessment of the leverage ratio requirement was 3.45%, given that the Swedish Financial Supervisory Authority's guidance of 0.45% within the framework of Pillar 2 is taken into account. The Board has also determined that the ratio between AFR (Available Financial Resources) and EC must exceed 120%.

At the end of 2021, the common equity tier 1 ratio was 19.4% (20.3) and the AFR/EC ratio was 384% (324). The Board has stipulated the goal that the Bank must have accumulated positive net cash flows over a period of at least one year, taking into account the liquidity reserve, and with the assumption that parts of the non-fixed-term deposits from households and companies disappear during the first month. With Handelsbanken's total liquidity reserve and liquidity-generating measures, the liquidity requirement would be covered for over three years during such stressed conditions. The Bank's risk profile is in accordance with the risk strategy established by the Board.

Point (b) of Article 435(1) CRR

Information on the risk governance structure for each type of risk

The Central Board (The Board) is responsible for the Bank's organisation and manages the Bank's affairs on behalf of its shareholders.

The Board is to continuously assess the Bank's financial situation and ensure that the Bank is organised in such a way that the accounting records, management of funds and other aspects of the Bank's financial circumstances are satisfactorily controlled. The Board establishes policies and instructions on how this is to be executed, and establishes a work procedure for the Board and also instructions for the CEO. These central policy documents state how responsibility and authority are allocated among the Board as a whole and the committees, and also between the Chairman of the Board and the CEO. The appointments made by the Board include the CEO, deputy CEOs and the Heads of Group Risk Control, Group Compliance and Group Audit, and the Board also stipulates the employment terms for these persons. The Chairman is responsible for evaluating the Board's work and informs the nomination committee of the results of this evaluation.

The Board's risk committee monitors the effectiveness of the Handelsbanken Group's risk control and risk management. The committee prepares decisions regarding the Bank's risk strategy, risk tolerance, etc., and examines reports from Group Compliance and Group Risk Control. The committee also makes decisions independently, including decisions on the significant parts of the Bank's risk classification and estimation processes linked to the IRB approach.

The Risk Forum has been set up by the CEO for follow-up of risk management within several areas and for in-depth discussions regarding the Bank's overall risk situation prior to such matters being addressed by the risk committee and the Board. In addition to the CEO, the Risk Forum includes the CFO and the Heads of Group Risk Control, Group Compliance, Group Governance and Group Legal, as well as heads of other central units, where relevant.

RISK MANAGEMENT POLICIES AND OBJECTIVES

Responsibility for fulfilling organisational requirements in order to ensure internal control, risk control and regulatory compliance within each respective unit has been delegated from the CEO to managers who report directly to the CEO. In turn, these managers have delegated operational responsibility for meeting these requirements to managers who report to them. Among other things, this responsibility means that fit-for-purpose instructions and procedures for the operation must be in place, and compliance with these procedures must be monitored regularly. Thus, internal control, risk control and compliance are integral parts of managers' responsibility at all levels in the Bank.

The subsidiaries' control functions are an integral part of the Group's control functions. The subsidiaries must incorporate the Handelsbanken Group's governing policies into their own corresponding documents. In certain cases, control activities can be fulfilled via an outsourcing agreement between a subsidiary and the Bank.

The Bank's policies and guidelines also include rules regarding the conduct of employees. Examples of such conduct rules are that Handelsbanken's employees must not be in a position where they may be suspected of taking improper advantage of knowledge about the financial markets which they obtain in the course of their work, must be familiar with legislation concerning trading in financial instruments and observe the Bank's rules for employees' private securities and currency transactions. Furthermore employees must in their work at the Bank and in their private affairs, refrain from business transactions that violate the Bank's rules or current legislation and refrain from transactions or other commitments that could seriously jeopardise their personal financial position. This also applies to companies in which employees, or persons closely associated with them, are involved, must notify compliance or Group Audit if they suspect irregularities at the Bank. Handelsbanken's separate whistleblowing system provided by an external supplier may be used as well as these reporting channels. Employees must notify the Bank of assignments outside the Bank and obtain approval – this also applies to secondary occupations and certain posts in clubs, societies and the like.

Group Compliance

Compliance risks are the risks associated with inadequate compliance.

The Policy for compliance in the Handelsbanken Group, adopted by the Central Board, lays down the Bank's overarching rules concerning compliance and the compliance function at Handelsbanken. In accordance with the Policy for compliance the Bank has a low tolerance of compliance risks.

Group Compliance is responsible for working actively to achieve a high level of compliance and for the Bank's low risk tolerance of compliance risks being fulfilled. Group Compliance is tasked with the identification, monitoring and control of compliance risks. Group Compliance also recommends actions and provides advice and support to the Bank's staff, management and units in matters concerning compliance. Group Compliance reports quarterly to the CEO, the risk committee and to the Board on matters regarding compliance.

Group Compliance applies a risk-based approach throughout its operations. Group Compliance focuses its resources on compliance activities within the risk areas that are assessed to have the highest risks and where Compliance adds most value. The annual risk assessment is the basis on which a risk based compliance plan is developed. There are also a number of tasks and activities that are mandatory for the Compliance function to perform.

Group Compliance is independent and organisationally separate from the functions and areas monitored and controlled. Group Compliance has function responsibility for the compliance function in the Group.

Group Risk Control

Group Risk Control identifies, measures, analyses and reports all the Group's material risks at an aggregate level. This includes monitoring and checking the Group's risk management and assessing that

Handelsbanken's risk management framework is fit-for-purpose and efficient. Group Risk Control also checks that the risks and risk management comply with the Bank's risk strategy, and fall within the risk tolerance thresholds established by the Board.

This responsibility comprises credit and market risks, operational risk, liquidity risks and insurance risks, as well as risks associated with the Group's remuneration system. Group Risk Control reports continually to the CEO and on a regular basis to the risk committee, the remuneration committee and the Board. Group Risk Control reports directly to the CEO, acts independently, and is separate from the operations under review. Group Risk Control has function responsibility for all risk control in the Group.

The Policy for risk control in the Handelsbanken Group, adopted by the Central Board, lays down the Bank's overarching rules concerning risks and risk control at Handelsbanken.

Through the Financial policy, the Board establishes the framework for financial operations in Handelsbanken. This includes the general establishment of measurement methods for financial risks. 'Financial risks' here refers to market risks and liquidity risks. Market risks are in turn divided into interest rate risks, equity price risks, foreign exchange risks and commodity price risks. Financial risks shall only occur as a natural step in customer business, in connection with Handelsbanken's funding and liquidity management, and in its role as a market maker. The purpose of the Group's funding and liquidity management is to ensure that Handelsbanken is able to meet its payment obligations in the short and long term. The Group's funding must be well diversified in terms of markets, currencies and maturities. Handelsbanken must have an adequate liquidity reserve to be able to continue its operations for predetermined periods of time, without new funding in the financial markets. This requirement must also be fulfilled in times of financial strain.

The credit policy describes the Bank's risk tolerance and risk strategy, and applies to the entire Group. Handelsbanken has a low tolerance of credit risks and strives to maintain its historically low level of credit losses compared to other banks.

In accordance with the Policy for operational risk Handelsbanken has a low tolerance of operational risks and, as far as possible, must endeavour to prevent these risks and to reduce the losses in this area. The responsibility for operational risk is an integral part of managerial responsibility throughout the Group.

For a detailed description of the Bank's management of market risk, liquidity risk, credit risk (including counterparty risk) and operational risk see, EU MRA, EU LIQA, EU CRA and EU ORA.

Group Audit

Group Audit, which is the Board's controlling body, comprises some 100 employees. The Chief Audit Officer is appointed by and reports to the Board.

Group Audit is tasked with performing an independent, impartial audit of the operations and financial reporting of the Group. This includes assessing and verifying processes for risk management, internal control and corporate governance. Their assignment is based on a policy established by the Board and is performed on the basis of a risk-based methodology in accordance with internationally accepted standards issued by the Institute of Internal Auditors (IIA). The planned auditing activities are documented every year in an audit plan which is established by the Board. Group Audit's conclusions, the actions to be taken and their status, are reported regularly to the audit committee and every year to the Board as a whole. The Chief Audit Officer is also a recipient of reports made via Handelsbanken's separate system for whistleblowing. Group Audit is regularly subject to independent external quality reviews. In addition, the Bank's external auditors perform an annual quality review of the work of Group Audit.

The policy stipulates that Group Audit must evaluate the efficiency and appropriateness of the Group's processes for risk management, internal governance and control. The Audit function must impartially and independently examine the Group's operations, accounts and governance process, ensure that material risks are identified and

managed in a satisfactory manner, and ensure that material financial information is reliable, correct and delivered on time.

Group Audit reports directly to the Board; it provides reports for the Board and its audit committee, as well as for the CEO.

Point (e) of Article 435(1) CRR.

Declaration approved by the management body on the adequacy of the risk management arrangements

Risk declaration

Handelsbanken has satisfactory arrangements for risk management which are fit for purpose in relation to the Bank's business goal, overall risk profile and the risk strategy which the Board has decided for the operations.

Point (c) of Article 435(1) CRR

Disclosure on the scope and nature of risk disclosure and/or measurement systems.

In 2021, the CRO reported the Group's risks to the CEO, risk committee and the Board at least quarterly. The Chief Compliance Officer reported the Group's compliance risks in a corresponding manner. These reports have also been presented to the Risk Forum. The Group risk reports include the CRO's assessment of the Group's material risks and an assessment of whether there are significant deficiencies in the operation to report and address. Where applicable, the report also includes proposed actions and a follow-up of previously reported risks and deficiencies. The Group risk reports include forward-looking risk assessments and must make possible an assessment of whether Handelsbanken is fulfilling the risk strategy and the risk tolerance decided by the Board. The Group risk report is formulated in accordance with the Board's Policy for risk control.

The risk committee, chaired by the Bank's CRO, acts in an advisory capacity to the CEO and CFO and met on 10 occasions in 2021. At meetings of the risk committee, the committee performs an in-depth follow-up of the Group's current risk situation, potential risks and actions for credit risks, financial risks, operational risk and risks in the insurance operations. Other types of risk are commented on where necessary. Indicators for the recovery plan are monitored and any actions, including an assessment of their necessity, are discussed. In addition, limit utilisation for financial risks is subject to follow-up for the Group as a whole. The capital situation, utilisation of market risk limits and the liquidity situation are reported to the Board at each regular Board meeting.

The credit risk situation, including counterparty risk, is reported periodically to the Bank's Board and to the boards of the subsidiaries. This includes volume growth, risk-reported credits and information from the Bank's credit risk models. The National Boards monitors the credit situation on an ongoing basis. Each branch compiles a quarterly risk report, in which it reviews all its credit exposures where the borrower's repayment capacity is impaired and the Bank's collateral is insufficient, or there is a risk that it will be insufficient. Moreover, Group Risk Control reports on the development of credit risk at the Bank to the CEO, CFO, Chief Credit Officer and Heads of Credit in the Group on a monthly basis.

Limit utilisation for market risks and liquidity risks is compiled and checked on a daily basis by Group Risk Control. Exceeded limits are immediately reported to the person who makes the decision about the limits. The liquidity risk is summarised by Group Risk Control and reported daily to the CFO, weekly to the CEO and to the Board at every regular Board meeting. The liquidity committee, chaired by the Head of Group Treasury, acts in an advisory capacity to the CEO and CFO and meets before each regular Board meeting and on other occasions when necessary. At this committee meeting, reports are presented on the current liquidity situation, on results of stress tests, scenario analysis, and other information which is relevant for the assessment of the Group's liquidity situation.

Operational risks and incidents which have occurred are reported continuously by branches and units throughout the Handelsbanken Group to Risk Control, where they are subsequently monitored. In turn,

Group Risk Control reports operational risk and incidents which have occurred to the risk committee and the Board's risk committee. Risks in the remuneration system are evaluated on an annual basis and reported to the Board's remuneration committee and risk committee. Operational risk reporting includes information regarding significant events, major losses, important proactive measures and an aggregated risk assessment at Group level. In addition, Group Risk Control monitors to ensure that the actions which have been decided are implemented. In 2021, the Chief Compliance Officer reported compliance risks at least quarterly to the CEO, to the Board's risk committee and to the Board. The report has also been presented to the Risk Forum.

The Bank's capital requirement is reported weekly to the CFO and the CEO and at least quarterly to the Board. In cases where various thresholds are exceeded, or if the Head of Group Capital Management or the CFO deems it appropriate for some other reason, proposals for appropriate measures are presented to the CEO. The capital situation in a medium- and long-term perspective is summarised quarterly by the capital committee. Group Capital Management performs a complete update of the capital forecast on a quarterly basis, or when there are significant changes in conditions.

Point (c) of Article 435(1) CRR

Disclose information on the main features of risk disclosure and measurement systems.

The Board evaluates the Bank's risk tolerance and risk strategy on a regular basis and, if needed, implements updates.

The Bank's risk tolerance and risk strategy are expressed through the Credit policy, risk tolerance and risk strategy for Credit risk, Policy for operational risks, Capital policy, Financial policy, Policy for remuneration, Policy for compliance, Policy on measures against financial crime, Policy for products and services and Policy for sustainability. Furthermore the Board has established limits for financial risks and norm risk within the Banks insurance operations.

In accordance with the Policy for risk control, Policy for compliance and the Policy for Group Audit the control functions are responsible for monitoring that the risk management is expedient and effective and that the risks are within the risk tolerance adopted by the Board.

Group Risk Control reports on a regular basis all the Group's material risks at an aggregated level to the Board's risk committee with an assessment of whether the risks are within the risk tolerance established by the Board. The Board is presented with a proposal to approve the Banks internal capital- and liquidity adequacy assessment and thereby that the risks are within the risk tolerance for capital and liquidity adopted by the Board.

Group Risk Control's assessment of the expediency and efficiency of the framework for risk management is presented in "Assessment of the Banks framework for risk management" on an annual basis.

Point (a) of Article 435(1) CRR

Strategies and processes to manage risks for each separate category of risk.

The Central Board's *Financial policy for the Handelsbanken Group* states that Handelsbanken has a low risk tolerance. Handelsbanken's Board has overall responsibility for the Bank's risk management and establishes internal rules for this. The Board establishes policy documents and the CEO establishes guidelines describing how various risks should be managed and reported.

In order to ensure the low tolerance of liquidity risks, both at aggregate level and in each individual currency, the Bank aims to have good access to liquidity, a low level of variation in results and a considerable capacity to meet customers' funding needs, even in difficult times. This is achieved by maintaining a good matching of incoming and outgoing cash flows over time in all currencies essential to the Bank and by maintaining large liquidity reserves of good quality. The Bank thus minimises the economic risks in funding and can thereby maintain stable and long-term funding for the business-operating units.

RISK MANAGEMENT POLICIES AND OBJECTIVES

The restrictive view of market risks means that, essentially, market risks in the banking operations are only taken as part of meeting customers' investment and risk management needs. Market risks must be limited by matching cash flows and interest-rate adjustment periods, hedging open positions and taking other actions to limit risk. Market risks at Handelsbanken are thus very low. One result of the low market risks is that a small fraction of the Bank's earnings comes from net gains/losses on financial transactions.

The Central Board's steering documents, as well as internal instructions, reflect the Group's risk tolerance and risk strategy for credit risks. Handelsbanken's risk tolerance for credit risk includes restrictions within a number of areas i.e. Geographical focus, Portfolio composition, Repayment capacity, Concentration, Counterparty risks and Collateral. Handelsbanken has a low credit risk tolerance, and the Bank's business model focuses on credit risks being taken and managed in the business operations. While business decisions in Handelsbanken are decentralised, the Bank's credit process is centralised.

In order to maintain the Group's low risk tolerance for credit risks, credit decisions must be made according to the limitation in place for the respective decision levels, as stipulated in the delegation procedure determined by the Central Board and described in the credit instructions for the Handelsbanken Group.

The Board establishes the Handelsbanken Group's tolerance for operational risk and compliance risks. Handelsbanken has a low tolerance for operational risk and compliance risks, although these risks are inevitable components in the Bank's operations. As far as possible, Handelsbanken must endeavour to prevent these risks and to reduce the losses in these areas. An operational risk which could lead to a material deterioration of the Group's profit in the event of an incident must be reduced to a lower risk level. Risk reduction measures must be taken so that the risk is made acceptable. The Handelsbanken Group has high ambitions regarding good administrative order, ethical standards and compliance with laws and regulations. Handelsbanken has designed its compliance function and its working methods in accordance with external regulations.

The Bank's principles for remuneration to employees are long established. In general, Handelsbanken has a low tolerance of risk and holds the opinion that fixed remuneration contributes to healthy and sustainable operations. This is, therefore, the main principle. The Board decides on the remuneration policy.

Points (a) and (d) of Article 435(1) CRR

Information on the strategies and processes to manage, hedge and mitigate risks, as well as on the monitoring of the effectiveness of hedges and mitigants.

Handelsbanken has a low risk tolerance, and the Bank's business model focuses on risks being taken and managed in business operations. The local connection, coupled with internal control, promotes low risks. Among other things, the restrictive approach to risk means that the Bank deliberately avoids high-risk transactions, even if the expected financial reward may be high at that time.

The Central Board's risk tolerance in each of the Bank's risk areas is expressed through decisions regarding limits for financial risks in the Group, and the standard level of risk in insurance operations, approval of the Bank's internal capital adequacy and liquidity assessment process, and the Central Board's adoption of policy documents i.e. the Credit policy for the Handelsbanken Group, Risk tolerance and risk strategy for credit risk, the Capital policy for the Handelsbanken Group, the Financial policy for the Handelsbanken Group, Policy for Compliance in the Handelsbanken Group and the Policy for operational risk in the Handelsbanken Group.

Together with the CFO, the CRO compiles documentation for the Board's evaluation of risk tolerance and risk strategy. In this, the CRO

and CFO evaluate and assess whether there is a need to update the risk tolerance of the Handelsbanken Group.

Handelsbanken's Board has overall responsibility for the Bank's risk management and establishes internal rules for this. The CEO issues guidelines for how responsibilities are to be allocated and work carried out in the various parts of the Group's operations. These guidelines may complement the policies that have been issued by the Central Board. The next level of steering documents is the Group-wide instructions, which are to be issued by the relevant senior managers responsible at Group level.

The risk control function at Handelsbanken is independent of the functions that are to be monitored. The risk control function verifies that all material risks to which the Group is exposed, or may be exposed in the future, are identified and managed by the relevant functions. Risk Control monitors and verifies the Group's risk management. It ensures that relevant internal rules, processes and procedures concerning risk management are followed, while also ensuring that the risks fall within the risk tolerance established by the Central Board, and that management has reliable information to use as a basis for managing risks in critical situations. Its responsibilities also include monitoring the limits for market, liquidity and counterparty risks, and operational risk, and evaluating breaches of these limits and credit limits. The risk control function must also evaluate the risk analysis performed in the operations for new and materially changed products and services, markets, processes and IT systems, and in conjunction with significant changes to the operations or organisation.

As business decisions become more decentralised, the need for monitoring of the risk and capital situation increases. Risk control is therefore a natural and vital component of the Bank's business model. Group Risk Control is responsible for continuously reporting the current risk situation in the Group to the Bank's management and Board and for ensuring that risks are measured in a fit-for purpose and consistent manner across the Group.

Handelsbanken has a strong capital and liquidity situation. The Bank maintains continuous access to the financial markets via its short-term and long-term funding programmes. The Bank has a large and high-quality liquidity reserve, which provides a high degree of resistance to possible disruptions in the financial markets. Group Treasury's liquidity portfolio, which is part of the Bank's liquidity reserve, has a low risk profile and consists mainly of balances with central banks, government bonds and covered bonds. In addition, there is a comprehensive unutilised issue amount for covered bonds at the subsidiary Stadshypotek AB. Liquidity reserves are kept in all currencies that are important to the Bank. The total liquidity reserve covers the Bank's liquidity requirements for more than three years in a stressed scenario, entirely without access to new market funding. Operations can also be maintained for a considerable period of time even in an extreme situation when the foreign exchange markets are closed.

The Bank's capital situation remains strong. Good earnings and low credit losses during the year have contributed to this.

EU OVB - Disclosure on governance arrangements

Point (a) of Article 435(2) CRR

The number of directorships held by members of the management body.

Name	Position and significant board assignments	Background	Education
Pär Boman Chairman	Chairman of Svenska Cellulosa AB SCA and Essity AB, Deputy Chairman of AB Industrivärden and Board Member Skanska AB.	2006–2015 President and CEO of Handelsbanken.	Engineer and Business/Economics degree, PhD (Econ) h.c.
Fredrik Lundberg Deputy Chairman	President and CEO of L E Lundbergföretagen AB, Chairman of Holmen AB, Hufvudstaden AB, AB Industrivärden, Board Member L E Lundbergföretagen AB and Skanska AB.	CEO of L E Lundbergföretagen AB since 1981, active at Lundbergs since 1977.	Graduate in Business Administration and Master of Engineering, PhD (Econ) h.c. and PhD (Tech) h.c.
Jon Fredrik Baksaas Board member	Chairman DNV and Statnett SF and Board member Telefonaktiebolaget LM Ericsson.	2008–2016 GSM Association member, Chairman 2013–2016, 2002–2015 Telenor Group, President and CEO, 1989–2002 Telenor Group, various positions within finance, financial control and management, 1988–1989 Aker AS, 1985–1988 Stolt Nielsen Seaway AS, 1977–1985 Det Norske Veritas, Norway and Japan.	Graduate in Economics/Business Administration and PED from IMD.
Stina Bergfors Board member	Board member H&M Hennes & Mauritz, Budbee and Tele2	2013 – 2018 Co-founder and CEO, other roles, United Screens 2008 – 2013 Country Director, Google and Youtube 2004 – 2007 CEO, other roles, Carat 2000 – 2004 Director, other roles, OMD Worldwide 1999 – 1999 Account Manager, TV3 Sweden, Modern Times Group.	Graduate in Economics/Business Administration, PhD (Econ) h.c.
Hans Biörck Board member	Chairman of Skanska AB and Trelleborg AB.	2001–2011 Skanska, Deputy CEO and CFO, 1998–2001 Autoliv, CFO, 1997–1998 Self-employed, 1977–1997 Various positions in Esselte.	Graduate in Economics/Business Administration.
Kerstin Hessius Board member	CEO of AP3 Third National Swedish Pension Fund, Board member Vasakronan AB, Hemsö Fastighets AB and Trenum AB.	2001–2004 Stockholm Stock Exchange, CEO, 1999–2000 Sveriges Riksbank, Deputy Governor of the central bank, 1998 Danske Bank, Chief Executive, Asset Management, 1990–1997 ABN Amro Bank/ Alfred Berg, 1989–1990 Finanstidningen 1986–1989 Swedish National Debt Office, 1985–1986 Sveriges Riksbank (central bank), 1984–1985 Swedish Agency for Public Management.	Graduate in Economics/Business Administration.
Ulf Riese Board Member	-	Various positions at Handelsbanken, 2016–2018 Senior Advisor, 2007–2016 CFO, 2004–2007 Head of Handelsbanken Asset Management, 2004 Deputy CEO of Handelsbanken, Employed by Handelsbanken since 1983.	Graduate in Economics/Business Administration.
Arja Taaveniku Board member	Chairman of Svenska Handelsfastigheter AB, Board member Mekonomen AB and Nobia AB.	2015–2019 Chief Offer and Supply Chain Officer, Kingfisher plc, CEO of subsidiary of Kingfisher plc, 2012– 2015 President and Group Chief Executive, Ikano Group, 2005–2012 Global Business Area Director, IKEA Group, 1989–2005 Various positions within the IKEA Group.	Graduate in Economics/Business Administration.
Carina Åkerström Board member	President and Group Chief Executive of Handelsbanken, Chairman of the Swedish Bankers' Association and Board member World Childhood Foundation	2016–2019 Deputy CEO, Deputy Group Chief Executive of Handelsbanken, 2010–2019 Deputy CEO, Head of Regional Bank Stockholm, 2008–2010 Deputy CEO, Head of Regional Bank Eastern Sweden Employed by Handelsbanken since 1986.	Bachelor of Laws.
Anna Hjelmberg Employee representative	Chair of Financial Sector Union of Sweden's Handelsbanken union club.	Officer and various union roles, Handelsbanken Liv	Economics Programme at upper secondary school.
Lena Renström Employee representative	Chair of Financial Sector Union of Sweden's Swedish branch operations union club.	Advisory services in Handelsbanken's branch operations	Graduate in Economics/Business Administration.
Stefan Henricson Employee representative, Deputy member	Member of Financial Sector Union of Sweden's Swedish branch operations union club.	Managerial and advisory services at branches and regional head offices at Handelsbanken	Economics Programme at upper secondary school.
Charlotte Uriz Employee representative, Deputy member	Chair of Akademikerföreningen (Association for graduate professionals) at Handelsbanken.	Specialist, business and operations developer at Cash Management, Digital meeting places and Trading.	BA

Point (b) of Article 435(2) CRR

Information regarding the recruitment policy for the selection of members of the management body and their actual knowledge, skills and expertise.

In the Bank's recruitment and diversity-related work, the nomination committee takes into account matters relating to diversity on the Board, including gender distribution. Handelsbanken's Board has adopted a policy to promote diversity on the Board.

The policy stipulates that to promote independent opinions and critical questioning, it is desirable that the Board should be characterised by sufficient diversity in terms of age, gender, geographical origin, and educational and professional background. The proportion of women on the Board of the Bank is 44.4 per cent of the elected members, and the proportion who are nationals of or have geographical origin in a country other than the one where Handelsbanken is domiciled is 22.2 per cent. In compiling its proposal for the AGM, the nomination committee also considers the evaluation of the Board carried out by the Chairman of the Board.

Please also see table in point a) above.

Point (c) of Article 435(2) CRR

Information on the diversity policy with regard of the members of the management body.

In the Bank's recruitment and diversity-related work, the nomination committee takes into account matters relating to diversity on the Board, including gender distribution. Handelsbanken's Board has adopted a policy to promote diversity on the Board.

The policy stipulates that to promote independent opinions and critical questioning, it is desirable that the Board should be characterised by sufficient diversity in terms of age, gender, geographical origin, and educational and professional background. The proportion of women on the Board of the Bank is 44.4 per cent of the elected members, and the proportion who are nationals of or have geographical origin in a country other than the one where Handelsbanken is domiciled is 22.2 per cent. In compiling its proposal for the AGM, the nomination committee also considers the evaluation of the Board carried out by the Chairman of the Board.

Point (d) of Article 435(2) CRR

Information whether or not the institution has set up a separate risk committee and the frequency of the meetings.

The Board's risk committee monitors risk control and risk management in the Handelsbanken Group. The committee prepares decisions regarding the Bank's risk strategy, risk tolerance, etc., and examines reports from Group Compliance and Group Risk Control.

In 2021, the risk committee had 10 meetings.

Point (e) Article 435(2) CRR

Description on the information flow on risk to the management body.

The Group Chief Executive, the risk committee and the Central Board must be kept regularly informed of material risks and of situations with particular development of risks.

Every quarter, the Head of Group Risk Control must submit an overall Group risk report to the Group Chief Executive, the risk committee, and the Central Board. The report must also be presented by the Head of Group Risk Control to the risk committee and to the Central Board.

The Group risk report must contain a description of the Group's material risks and deficiencies, including the Group's material deficiencies in risk data aggregation and the Handelsbanken Group's ability to compile risk data reports for the Board, management and authorities. This report shall cover:

1. impact analysis and proposals for action
2. follow-up of previously reported risks and deficiencies
3. follow-up of measures adopted
4. forward-looking risk assessments

The report must enable an assessment of whether Handelsbanken is fulfilling the risk strategy and remaining within the risk tolerance decided by the Central Board.

Once a year, or at the request of the risk committee, the Central Board or the Group Chief Executive, the Head of Group Risk Control, together with the Head of Group Finance, must evaluate and make an assessment of whether there is a need to update the Handelsbanken Group's risk tolerance.

The result of the evaluation of methods used for the calculation and application of limits, capital requirements, economic capital and stress tests must be reported to the risk committee on an annual basis.

The Head of Group risk control must be present at meetings when the risk control function's reports or area of responsibility are considered. Group finance and other departments that have a need for the report must have access to it.

Scope of application

EU LI1 Differences between accounting and regulatory scopes of consolidation and mapping of financial statement categories with regulatory risk categories

The table shows which regulatory framework is used to calculate the capital requirement for each asset type in the balance sheet. Derivatives, repos and securities lending capital requirements are calculated according to both the CCR framework and the market risk framework.

Differences between accounting and regulatory scopes of consolidation and mapping of financial statement categories with regulatory risk categories 2021		Carrying values of items						Not subject to own funds requirements or subject to deduction from own funds
		Carrying values as reported in published financial statements	Carrying values under scope of regulatory consolidation ¹	Subject to the credit risk framework	Subject to the CCR framework	Subject to the securitisation framework	Subject to the market risk framework	
SEK m								
1	Assets							
2	Cash and balances with central banks	291 584	439 964	439 964				
3	Other loans to central banks	1 255	1 462	1 462	0			
4	Interest-bearing securities available as collateral with central banks	100 538	100 562	105 983	213		-5 421	
5	Loans to other credit institutions	21 745	21 833	9 706	12 127			
6	Loans to the public	2 163 135	2 414 961	2 399 811	13 649	372		1 129
7	Value change of interest-hedged item in portfolio hedge	-1 900	-1 900	-1 900				
8	Bonds and other interest-bearing securities	33 317	33 334	32 616			718	
9	Shares and participating interests	19 471	13 490	808	567		12 682	
10	Investments in associates	478	6 723	6 655				68
11	Assets where the customer bears the value change risk	235 761	9 082	9 082				
12	Derivative instruments	28 508	28 518		28 518		11 084	
13	Reinsurance assets	0						
14	Intangible assets	8 302	10 860	0				10 860
15	Property and equipment	5 272	5 834	5 834				
16	Current tax assets	469	598	598				
17	Deferred tax assets	845	845	0				845
18	Pension assets	8 766	8 785	0				8 785
19	Assets held for sale	421 417	352	352				
20	Other assets	5 785	5 743	5 743				
21	Prepaid expenses and accrued income	2 016	2 097	2 097				
22	Total assets	3 346 764	3 103 143	3 018 811	55 074	372	19 063	21 687
1	Liabilities							
2	Liabilities to credit institutions	83 034	83 540					
3	Deposits and borrowing from the public	1 286 637	1 403 076					
4	Liabilities where the customer bears the value change risk	235 761	9 082					
5	Issued securities	1 353 768	1 353 768				6 297	
6	Derivative instruments	13 784	13 809				15 020	
7	Short positions	4 105	4 105				3 902	
8	Insurance liabilities	532	0					
9	Current tax liabilities	108	312					
10	Deferred tax liabilities	5 276	5 239					
11	Provisions	1 026	1 152					
12	Pension obligations	0	0					
13	Liabilities related to assets held for sale	133 922	0					
14	Other liabilities	11 304	12 020					
15	Accrued expenses and deferred income	3 519	3 883					
16	Subordinated liabilities	32 257	32 257					
17	Total liabilities	3 165 033	2 922 243		0		25 219	

¹ Carrying values under scope of regulatory consolidation are shown prior to the reclassification of the disposal groups Denmark and Finland to Assets held for sale and Liabilities held for sale, as in the published financial statements.

EU LI2 Main sources of differences between regulatory exposure amounts and carrying values in financial statements

The table shows the difference between the carrying amount under the scope of regulatory consolidation and exposures considered for regulatory purposes.

Main sources of differences between regulatory exposure amounts and carrying values in financial statements 2021		Items subject to				
		Total	Credit risk framework	CCR framework	Securitisation framework	Market risk framework
SEK m						
1	Assets carrying value amount under the scope of regulatory consolidation (as per template EU LI1)	3 093 320	3 018 811	55 074	372	19 063
2	Liabilities carrying value amount under the regulatory scope of consolidation (as per template EU LI1)	25 219				25 219
3	Total net amount under the regulatory scope of consolidation	3 068 101	3 018 811	55 074	372	-6 156
4	Off-balance-sheet amounts	536 874	536 874			
5	Differences in valuations					
6	Differences due to different netting rules, other than those already included in row 2	23 012		-9 294		32 306
7	Differences due to consideration of provisions	1 917	1 917	0		
8	Differences due to the use of credit risk mitigation techniques (CRMs)	-54 124	-14 485	-39 639		
9	Differences due to credit conversion factors	-294 634	-294 634			
10	Differences due to Securitisation with risk transfer					
11	Other differences	30 636		30 636		
12	Exposure amounts considered for regulatory purposes	3 311 782	3 248 483	36 777	372	26 150

EU LIA Explanations of differences between accounting and regulatory exposure amounts**Article 436(b) CRR.**

Differences between columns (a) and (b) in template EU LI1

The regulatory consolidation (consolidated situation) consists of the parent company, subsidiaries and associates that are also included in the consolidated Group accounts reported in published financial statements, as shown in table EU LI3. The companies that are included in the consolidated accounts but are excluded from the consolidated situation are also shown in table EU LI3. Just as in the consolidated accounts, associates are consolidated using the equity method in the regulatory consolidated situation. Subsidiaries are further consolidated according to the acquisition method. All subsidiaries which are subject to the regulations are included in the consolidated situation.

Article 436(d) CRR.

Qualitative information on the main sources of differences between the accounting and regulatory scope of consolidation shown in template EU LI2.

The main sources of differences between regulatory exposure amounts and carrying values in financial statements are the off balance sheet exposures reported under the credit risk framework, the differences due to the use of credit risk mitigation techniques and the reporting of derivative exposures under both the market risk and the counterparty credit risk framework.

EU LI3 Companies included in consolidated situation - Outline of the differences in the scopes of consolidation (entity by entity)

The table outlines the scopes of consolidation for the companies included in the consolidated situation at year-end.

Companies included in consolidated situation - Outline of the differences in the scopes of consolidation (entity by entity) 2021			Method of regulatory consolidation						
Name of the entity	Corporate identity number	Owner-ship share %	Method of accounting consolidation	Full consoli-dation	Pro-portional consoli-dation	Equity method	Neither consoli-dated nor deducted	De-ducted	Description of the entity
Handelsbanken AB (publ)1	502007-7862	N/A	Parent company	N/A					Credit institution
Handelsbanken Finans AB	556053-0841	100	Full consolidation	X					Credit institution
Stadshypotek AB	556459-6715	100	Full consolidation	X					Credit institution
Svenska Intecknings Garanti AB Sigab (inactive)	556432-7285	100	Full consolidation	X					Non-financial corporation
Handelsbanken Fondbolagsförvaltning AB	556070-0683	100	Full consolidation	X					Financial corporations other than credit institutions
Handelsbanken Fonder AB	556418-8851	100	Full consolidation	X					Financial corporations other than credit institutions
Handelsinvest Investeringsforvaltning A/S	12930879	100	Full consolidation	X					Financial corporations other than credit institutions
Xact Kapitalförvaltning AB	556997-8140	100	Full consolidation	X					Financial corporations other than credit institutions
AB Handel och Industri	556013-5336	100	Full consolidation	X					Non-financial corporation
Ecster AB	556993-2311	100	Full consolidation	X					Credit institution
Handelsbanken Plc	11305395	100	Full consolidation	X					Credit institution
Handelsbanken Wealth and Asset Management Limited	04132340	100	Full consolidation	X					Financial corporations other than credit institutions
Heartwood Nominees Limited (inactive)	2299877	100	Full consolidation	X					Non-financial corporation
Heartwood Second Nominees Limited (inactive)	3193458	100	Full consolidation	X					Non-financial corporation
Heartwood ACD Limited	4332528	100	Full consolidation	X					Non-financial corporation
Svenska Property Nominees Limited (inactive)	2308524	100	Full consolidation	X					Non-financial corporation
Optimix Vermogensbeheer N.V.	33194359	100	Full consolidation	X					Financial corporations other than credit institutions
Add Value Fund Management B.V.	19196768	80	Full consolidation	X					Financial corporations other than credit institutions
Optimix Beheer en Belegging B.V. (inactive)	33186584	100	Full consolidation	X					Non-financial corporation
Ejendomsselskabet af 1. maj 2009 A/S	59173812	100	Full consolidation	X					Non-financial corporation
Forva AS	945812141	100	Full consolidation	X					Non-financial corporation
Handelsbanken Markets Securities, Inc.	11-3257438	100	Full consolidation	X					Financial corporations other than credit institutions
Handelsbanken Rahoitus Oy	0112308-8	100	Full consolidation	X					Financial corporations other than credit institutions
Lokalbolig A/S	78488018	71.52	Full consolidation	X					Non-financial corporation
Handelsbanken Fastigheter AB	556873-0021	100	Full consolidation	X					Non-financial corporation
Ägir 7 AB	559337-1627	100	Full consolidation	X					Non-financial corporation
Norr 22:2 AB	559337-1635	100	Full consolidation	X					Non-financial corporation
Inom Vallgraven 15:13 AB	559337-1643	100	Full consolidation	X					Non-financial corporation
Rådstuplass 4 AS	910508423	100	Full consolidation	X					Non-financial corporation
Handelsbanken Venture AB	556993-9357	100	Full consolidation	X					Non-financial corporation
Bidtruster AB	556993-9084	100	Full consolidation	X					Non-financial corporation
Bankomat AB	556817-9716	20	Equity method		X				Non-financial corporation
BGC Holding AB	556607-0933	25.54	Equity method		X				Non-financial corporation
Bankgirocentralen BGC AB	556047-3521	100	Equity method		X				Non-financial corporation
Torig AB	556564-5404	100	Equity method		X				Non-financial corporation
Finansiell ID-teknik BID AB	556630-4928	28.3	Equity method		X				Non-financial corporation
USE Intressenter AB	559161-9464	24.48	Equity method		X				Non-financial corporation
Getswish AB	556913-7382	20	Equity method		X				Non-financial corporation
P 27 Nordic Payments Platform AB	559198-9610	16.7	Equity method		X				Non-financial corporation
Invidem AB	559210-0779	16.7	Equity method		X				Non-financial corporation

SCOPE OF APPLICATION

Companies included in consolidated situation - Outline of the differences in the scopes of consolidation (entity by entity) 2021		Method of regulatory consolidation							Description of the entity
Name of the entity	Corporate identity number	Ownership share %	Method of accounting consolidation	Full consolidation	Proportional consolidation	Equity method	Neither consolidated nor deducted	Deducted	
Handelsbanken Liv Försäkring AB (group excl. Handelsbanken Fastigheter AB)	516401-8284	100	Not consolidated				X		Insurance company
Svenska Re S.A.	RCS Lux B-32053	100	Not consolidated				X		Insurance company
Handelsbanken Skadeförsäkrings AB	516401-6767	100	Not consolidated				X		Insurance company
SHB Liv Försäkringsaktiebolag	2478149-7	100	Not consolidated				X		Insurance company
Svenska RKA International Insurance Services AB (inactive)	556324-2964	100	Not consolidated				X		Insurance company
Dyson Group plc	00163096	27	Not consolidated				X		Non-financial corporation
Dyson Industries Ltd	1187031	100	Not consolidated				X		Non-financial corporation
Beepart Ltd	177682	100	Not consolidated				X		Non-financial corporation
Pickford Holland & Company Ltd	128414	100	Not consolidated				X		Non-financial corporation
Millennium Materials Inc	-	100	Not consolidated				X		Non-financial corporation
Dyson US holdings Inc	-	100	Not consolidated				X		Non-financial corporation
EFN Ekonomikanalen AB	556930-1608	100	Not consolidated				X		Non-financial corporation
Handelsbanken Forsikringsformidling A/S	42767808	100	Not consolidated				X		Non-financial corporation

EU LIB Other qualitative information on the scope of application

Article 436(f) CRR.

Impediment to the prompt transfer of own funds or to the repayment of liabilities within the group

For the Bank's risk management, it is important that in risk terms, both the Group and the regulatory consolidation can be viewed as one unit. To enable efficient risk management in the Group, capital may need to be re-allocated among the various companies in the Group. In general, Handelsbanken is able to reallocate capital among the Group companies, to the extent that is permitted by legislation, for example, with reference to capital adequacy requirements and restrictions in corporate law. The Bank sees no other material or legal obstacles to a rapid transfer of funds from own funds, or repayment of liabilities between the parent company and its subsidiaries.

Article 436(g) CRR.

Subsidiaries not included in the consolidation with own funds less than required

Handelsbanken has no subsidiaries where the actual own funds are less than the prescribed own funds.

Article 436(h) CRR.

Use of derogation referred to in Article 7 CRR or individual consolidation method laid down in Article 9 CRR

Not applicable

Article 436(g) CRR.

Aggregate amount by which the actual own funds are less than required in all subsidiaries that are not included in the consolidation.

Handelsbanken has no subsidiaries where the actual own funds are less than the prescribed own funds.

EU PV1 Prudent valuation adjustments (PVA)

Prudent valuation adjustments (PVA) 2021		Risk category					Category level AVA - Valuation uncertainty		Total category level post-diversification		
		Equity	Interest Rates	Foreign exchange	Credit	Commodities	Unearned credit spreads AVA	Investment and funding costs AVA		Of which: Total core approach in the trading book	Of which: Total core approach in the banking book
SEK m		Category level AVA									
1	Market price uncertainty	0	178		14		3		97	55	42
2	Set not applicable in the EU										
3	Close-out cost	0	0	3	1	0			3	3	0
4	Concentrated positions				1		N/A	N/A	1	1	
5	Early termination						N/A	N/A			
6	Model risk	7					95	11	62	52	10
7	Operational risk	0	9	0	1	0	N/A	N/A	10	6	4
8	Set not applicable in the EU										
9	Set not applicable in the EU										
10	Future administrative costs		46				N/A	N/A	46	46	
11	Set not applicable in the EU										
12	Total Additional Valuation Adjustments (AVAs)								421	163	258

Regulatory own funds

The disclosed regulatory adjustments comprise deductions from own funds and prudential filters as referred to in points (a), (d), (e) and (f) of Article 437 of Regulation EU 575/2013. The right hand column of this template shows the source of every major input, which is cross-referenced to the corresponding rows in template EU CC2.

EU CC1 Composition of regulatory own funds

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637. Excluded rows are deemed not relevant for Handelsbanken at present.

Composition of regulatory own funds 2021		Amount at disclosure date	Source based on reference numbers/ letters of the balance sheet under the regulatory scope of consolidation amount of regulation (EU) No 575/2013
SEK m			
1	Common equity tier 1 capital: instruments and reserves		
1	Capital instruments and the related share premium accounts	11 827	E - 2, E - 4
	of which: share capital	11 827	E - 2, E - 4
2	Retained earnings	135 109	E - 7
3	Accumulated other comprehensive income (and any other reserves)	15 822	E - 6
5a	Independently reviewed interim profits net of any foreseeable charge or dividend	8 218	E - 8
6	Common equity tier 1 (CET1) capital before regulatory adjustments	170 976	
	Common equity tier 1 (CET1) capital: regulatory adjustments		
7	Additional value adjustments (negative amount)	-421	
8	Intangible assets (net of related tax liability) (negative amount)	-10 927	A - 18
11	Fair value reserves related to gains or losses on cash flow hedges of financial instruments that are not valued at fair value	-1 789	E - 6
12	Negative amounts resulting from the calculation of expected loss amounts	-731	
14	Gains or losses on liabilities valued at fair value resulting from changes in own credit standing	4	
15	Defined benefit pension fund assets (negative amount)	-6 976	A - 24
16	Direct, indirect and synthetic holdings by an institution of own CET1 instruments (negative amount)	-427	
19	Direct, indirect and synthetic holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions) (negative amount)	-	
20a	Exposure amount of the following items which qualify for a RW of 1250%, where the institution opts for the deduction alternative	-	
20c	of which: securitisation positions (negative amount)	-	
21	Deferred tax assets arising from temporary differences (amount above 10% threshold, net of related tax liability where the conditions in Article 38 (3) are met) (negative amount)	-	
22	Amount exceeding the 17.65% threshold (negative amount)	-	
23	of which: direct, indirect and synthetic holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities	-	
25	of which: deferred tax assets arising from temporary differences	-	
25a	Losses for the current financial year (negative amount)	-	
25b	Foreseeable tax charges relating to CET1 items except where the institution suitably adjusts the amount of CET1 items insofar as such tax charges reduce the amount up to which those items may be used to cover risks or losses (negative amount)	-	
27	Qualifying AT1 deductions that exceed the AT1 capital of the institution (negative amount)	-	
28	Total regulatory adjustments to common equity tier 1 (CET1) capital	-21 267	
29	Common equity tier 1 (CET1) capital	149 709	
	Additional tier 1 (AT1) capital: instruments		
30	Capital instruments and the related share premium accounts	13 513	L - 19
32	of which: classified as liabilities under applicable accounting standards	13 513	L - 19
33	Amount of qualifying items referred to in Article 484 (4) and the related share premium accounts subject to phase-out from AT1	-	
36	Additional tier 1 (AT1) capital before regulatory adjustments	13 513	L - 19
	Additional tier 1 (AT1) capital: regulatory adjustments		
37	Direct, indirect and synthetic holdings by an institution of own AT1 instruments (negative amount)	-	
40	Direct, indirect and synthetic holdings by the institution of the AT1 instruments of financial sector entities where the institution has a significant investment in those entities (net of eligible short positions) (negative amount)	-	
42	Qualifying (T2) deductions that exceed the T2 capital of the institution (negative amount)	-	
43	Total regulatory adjustments to additional tier 1 (AT1) capital	-	
44	Additional tier 1 (AT1) capital	13 513	
45	Tier 1 capital (T1 = CET1 + AT1)	163 222	

Composition of regulatory own funds 2021		Amount at disclosure date	Source based on reference numbers/ letters of the balance sheet under the regulatory scope of consolidation amount of regulation (EU) No 575/2013
SEK m			
Tier 2 (T2) capital: instruments and provisions			
46	Capital instruments and the related share premium accounts	18 364	L - 20
50	Credit risk adjustments	1	
51	Tier 2 (T2) capital before regulatory adjustments	18 365	L - 20
Tier 2 (T2) capital: regulatory adjustments			
52	Direct, indirect and synthetic holdings by an institution of own T2 instruments and subordinated loans (negative amount)	-	
55	Direct, indirect and synthetic holdings of the T2 instruments and subordinated loans of financial sector entities where the institution has a significant investment in those entities (net of eligible short positions) (negative amounts)	-1 129	A - 5
57	Total regulatory adjustments to tier 2 (T2) capital	-1 129	A - 5
58	Tier 2 (T2) capital	17 236	
59	Total capital (TC = T1 + T2)	180 458	
60	Total risk-weighted assets	773 158	
Capital ratios and requirements including buffers			
61	Common equity tier 1 capital (as a percentage of total risk exposure amount)	19.4	
62	Tier 1 capital (as a percentage of total risk exposure amount)	21.1	
63	Total capital (as a percentage of total risk exposure amount)	23.3	
64	Institution CET1 overall capital requirements	6.6	
65	of which: capital conservation buffer requirement	2.5	
66	of which: countercyclical buffer requirement	0.1	
67	of which: systemic risk buffer requirement	3.0	
67a	of which: Global Systemically Important Institution (G-SII) or Other Systemically Important Institution (O-SII) buffer requirement	1.0	
68	Common Equity Tier 1 capital (as a percentage of risk exposure amount) available after meeting the minimum capital requirements	14.9	
Amounts below the thresholds for deduction (before risk weighting)			
72	Direct and indirect holdings of the capital of financial sector entities where the institution does not have a significant investment in those entities amount below 10% threshold and net of eligible short positions)	0	
73	Direct and indirect holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities (amount below 17.65% thresholds and net of eligible short positions)	6 254	
75	Deferred tax assets arising from temporary differences (amount below 17.65% threshold, net of related tax liability where the conditions in Article 38 (3) are met)	0	
Applicable caps on the inclusion of provisions tier 2 capital			
76	Credit risk adjustments included in T2 in respect of exposures subject to standardised approach (prior to the application of the cap)	-	
77	Cap on inclusion of credit risk adjustments in T2 under standardised approach	2 235	
78	Credit risk adjustments included in T2 in respect of exposures subject to internal ratings-based approach (prior to the application of the cap)	-	
79	Cap for inclusion of credit risk adjustments in T2 under internal ratings-based approach	3 090	
Capital instruments subject to phase-out arrangements (only applicable between 1 January 2013 and 1 January 2022)			
80	Current cap on CET1 instruments subject to phase-out arrangements	-	
81	Amount excluded from CET1 due to cap (excess over cap after redemptions and maturities)	-	
82	Current cap on AT1 instruments subject to phase-out arrangements	-	
83	Amount excluded from AT1 due to cap (excess over cap after redemptions and maturities)	-	
84	Current cap on T2 instruments subject to phase-out arrangements	-	
85	Amount excluded from T2 due to cap (excess over cap after redemptions and maturities)	-	

EU CC2 Reconciliation of regulatory own funds to balance sheet in the audited financial statements

Reconciliation of regulatory own funds to balance sheet in the audited financial statements 2021		Balance-sheet as in published financial statements	Under regulatory scope of consolidation	Reference
SEK m				
ASSETS				
A – 1	Cash and balances with central banks	291 584	439 964	
A – 2	Other loans to central banks	1 255	1 462	
A – 3	Interest-bearing securities available as collateral with central banks	100 538	100 562	
A – 4	Loans to other credit institutions	21 745	21 833	
A – 5	Loans to the public	2 163 135	2 414 961	55, 57
A – 6	Value change of interest-hedged item in portfolio hedge	-1 900	-1 900	
A – 7	Bonds and other interest-bearing securities	33 317	33 334	
A – 8	<i>of which interest-bearing instruments classified as fair value through other comprehensive income (carrying amount)</i>	9 016	9 016	
A – 9	<i>of which interest-bearing instruments classified as fair value through other comprehensive income, accumulated value change</i>	-61	-61	
A – 10	Shares and participating interests	19 471	13 490	
A – 11	<i>of which shares classified as fair value through other comprehensive income (carrying amount)</i>	454	808	
A – 12	<i>of which shares classified as fair value through other comprehensive amount, accumulated value change</i>	218	218	
A – 13	Investments in associates	478	6 723	
A – 14	Assets where the customer bears the value change risk	235 761	9 082	
A – 15	Derivative instruments	28 508	28 518	
A – 16	<i>of which cash flow hedges</i>	1 789	1 789	
A – 17	Reinsurance assets	0	0	
A – 18	Intangible assets	8 302	10 860	8
A – 19	Property and equipment	5 272	5 834	
A – 20	Current tax assets	469	598	
A – 21	Deferred tax assets	845	845	
A – 22	<i>of which related to cash flow hedges</i>	-	-	
A – 23	<i>of which related to interest-bearing instruments classified as fair value through other comprehensive income</i>	17	17	
A – 24	Pension assets	8 766	8 785	15
A – 25	Assets held for sale	421 417	352	
A – 26	Other assets	5 785	5 743	
A – 27	Prepaid expenses and accrued income	2 016	2 097	
A – 28	Total assets	3 346 764	3 103 143	
LIABILITIES AND EQUITY				
L – 1	Liabilities to credit institutions	83 034	83 540	
L – 2	Deposits and borrowing from the public	1 286 637	1 403 076	
L – 3	Liabilities where the customer bears the value change risk	235 761	9 082	
L – 4	Issued securities	1 353 768	1 353 768	
L – 5	Derivative instruments	13 784	13 809	
L – 6	<i>of which cash flow hedges</i>	-	-	
L – 7	Short positions	4 105	4 105	
L – 8	Insurance liabilities	532	0	
L – 9	Current tax liabilities	108	312	
L – 10	Deferred tax liabilities	5 276	5 239	
L – 11	<i>of which related to cash flow hedges</i>	464	464	
L – 12	<i>of which related to shares classified as fair value through other comprehensive income</i>	19	19	
L – 13	Provisions	1 026	1 152	
L – 14	Pension obligations	0	0	
L – 15	Liabilities related to assets held for sale	133 922	-	
L – 16	Other liabilities	11 304	12 020	
L – 17	Accrued expenses and deferred income	3 519	3 883	
L – 18	Subordinated liabilities	32 257	32 257	
L – 19	<i>of which tier 1 capital loans</i>	13 513	13 513	30, 32, 36
L – 20	<i>of which loans with remaining time to maturity > 5 yrs</i>	18 364	18 364	46, 51
L – 21	<i>of which loans with remaining time to maturity < 5 yrs</i>	-	-	
L – 22	<i>of which other loans</i>	-	-	
L – 23	Total liabilities	3 165 033	2 922 243	
E – 1	Minority interest	25	25	
E – 2	Share capital	3 069	3 069	1
E – 3	<i>Holdings of own shares</i>	-36	-36	
E – 4	Share premium reserve	8 758	8 758	
E – 5	<i>of which equity from compound financial instruments</i>	-	-	
E – 6	Other reserves	15 845	15 821	3, 11
E – 7	Retained earnings	134 507	135 109	2
E – 8	Profit for the year (belonging to shareholders of Svenska Handelsbanken AB)	19 527	18 118	5a
E – 9	Total equity	181 731	180 900	
LE - 1	Total liabilities and equity	3 346 764	3 103 143	

EU CCA Main features - regulatory own funds instruments, CET1

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637. For meeting own funds and eligible liabilities requirements.

Main features - regulatory own funds instruments, CET1			
1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	SE0007100599	SE0007100607
EU-2a	Public or private placement	Public	Public
3	Governing law(s) of the instrument	Swedish law	Swedish law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	N/A	N/A
<i>Regulatory treatment</i>			
4	Current treatment taking into account, where applicable, transitional CRR rules	Common equity tier 1 capital	Common equity tier 1 capital
5	Post-transitional CRR rules	Common equity tier 1 capital	Common equity tier 1 capital
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Share capital, class A	Share capital, class B
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 11 616m	SEK 211m
9	Nominal amount of instrument	SEK 3 014m	SEK 55m
EU-9a	Issue price	SEK 11 616m	SEK 211m
EU-9b	Redemption price	N/A	N/A
10	Accounting classification	Equity	Equity
11	Original date of issuance	1871	1990
12	Perpetual or dated	Perpetual	Perpetual
13	Original maturity date	N/A	N/A
14	Issuer call subject to the previous supervisory approval	N/A	N/A
15	Optional call date, contingent call dates and redemption amount	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A
<i>Coupons/dividends</i>			
17	Fixed or floating dividend/coupon	N/A	N/A
18	Coupon rate and any related index	N/A	N/A
19	Existence of a dividend stopper	N/A	N/A
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	N/A	N/A
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	N/A	N/A
21	Existence of step-up or other incentive to redeem	No	No
22	Non-cumulative or cumulative	Non-cumulative	Non-cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A
25	If convertible, fully or partially	N/A	N/A
26	If convertible, conversion rate	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A
30	Write-down features	No	No
31	If write-down, write-down trigger(s)	N/A	N/A
32	If write-down, full or partial	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	N/A	N/A
EU-34b	Ranking of the instrument in normal insolvency proceedings	1	1
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Lowest, next senior is additional tier 1 capital	Lowest, next senior is additional tier 1 capital
36	Non-compliant transitioned features	No	No
37	If yes, specify non-compliant features	N/A	N/A
37a	Link to the full term and conditions of the instrument (signposting)		

EU CCA Main features - regulatory own funds instruments, AT1

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637. For meeting own funds and eligible liabilities requirements.

Main features - regulatory own funds instruments, AT1

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS1952091202	XS2233263404	XS2233263586
EU-2a	Public or private placement	Public	Public	Public
3	Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes
	<i>Regulatory treatment</i>			
4	Current treatment taking into account, where applicable, transitional CRR rules	Additional tier 1 capital	Additional tier 1 capital	Additional tier 1 capital
5	Post-transitional CRR rules	Tier 1 capital	Tier 1 capital	Tier 1 capital
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Additional tier 1 capital	Additional tier 1 capital	Additional tier 1 capital
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 4 514m	SEK 4 501m	SEK 4 498m
9	Nominal amount of instrument	USD 500m	USD 500m	USD 500m
EU-9a	Issue price	100%	100%	100%
EU-9b	Redemption price	100%	100%	100%
10	Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	22 Feb 2019	6 Oct, 2020	6 Oct, 2020
12	Perpetual or dated	Perpetual	Perpetual	Perpetual
13	Original maturity date	No maturity date	No maturity date	No maturity date
14	Issuer call subject to the previous supervisory approval	Yes	Yes	Yes
15	Optional call date, contingent call dates and redemption amount	1 Mar 2024, Tax/Regulatory call, 100% of nominal amount	1 Mar 2027, Tax/Regulatory call, 100% of nominal amount	1 Mar 2031 Tax/Regulatory call, 100% of nominal amount
16	Subsequent call dates, if applicable	Callable each subsequent interest reset date after first redemption date	Callable each subsequent interest reset date after first redemption date	Callable each subsequent interest reset date after first redemption date
	<i>Coupons/dividends</i>			
17	Fixed or floating dividend/coupon	Fixed	Fixed	Fixed
18	Coupon rate and any related index	6.25%	4.375%	4.75%
19	Existence of a dividend stopper	No	No	No
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	N/A	N/A	N/A
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	N/A	N/A	N/A
21	Existence of step-up or other incentive to redeem	No	No	No
22	Non-cumulative or cumulative	Non-cumulative	Non-cumulative	Non-cumulative
23	Convertible or non-convertible	Convertible	Convertible	Convertible
24	If convertible, conversion trigger(s)	Common equity tier 1 ratio 8% consolidated, 5.125% parent company Fully	Common equity tier 1 ratio 8% consolidated, 5.125% parent company Fully	Common equity tier 1 ratio 8% consolidated, 5.125% parent company Fully
25	If convertible, fully or partially	Fully	Fully	Fully
26	If convertible, conversion rate	The greater of the current market price of an ordinary share on the conversion date translated into USD at the prevailing exchange rate, and the SEK equivalent of the floor price (USD 7.58) on the conversion date. The floor price may not be lower than the quota value (Sw: kvotvärde) of the share.	The greater of the current market price of an ordinary share on the conversion date translated into USD at the prevailing exchange rate, and the SEK equivalent of the floor price (USD 7.58) on the conversion date. The floor price may not be lower than the quota value (Sw: kvotvärde) of the share.	The greater of the current market price of an ordinary share on the conversion date translated into USD at the prevailing exchange rate, and the SEK equivalent of the floor price (USD 7.58) on the conversion date. The floor price may not be lower than the quota value (Sw: kvotvärde) of the share.
27	If convertible, mandatory or optional conversion	Mandatory	Mandatory	Mandatory
28	If convertible, specify instrument type convertible into	Share capital, class A	Share capital, class A	Share capital, class A
29	If convertible, specify issuer of instrument it converts into	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
30	Write-down features	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	N/A	N/A	N/A
EU-34b	Ranking of the instrument in normal insolvency proceedings	3	3	3
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Subordinate to all instruments except shares, next in priority are subordinated loans	Subordinate to all instruments except shares, next in priority are subordinated loans	Subordinate to all instruments except shares, next in priority are subordinated loans
36	Non-compliant transitioned features	N/A	N/A	N/A
37	If yes, specify non-compliant features	N/A	N/A	N/A
37a	Link to the full term and conditions of the instrument (signposting)			

EU CCA Main features - regulatory own funds instruments, T2

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637. For meeting own funds and eligible liabilities requirements.

Main features - regulatory own funds instruments, T2

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS1717456914	XS1717459694	XS1782803503	XS1875333178
EU-2a	Public or private placement	Public	Public	Public	Public
3	Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes	Yes
	<i>Regulatory treatment</i>				
4	Current treatment taking into account, where applicable, transitional CRR rules	Tier 2 capital	Tier 2 capital	Tier 2 capital	Tier 2 capital
5	Post-transitional CRR rules	Tier 2 capital	Tier 2 capital	Tier 2 capital	Tier 2 capital
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Subordinated loan	Subordinated loan	Subordinated loan	Subordinated loan
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 1 300m	SEK 1 699m	SEK 7 684m	SEK 7 680m
9	Nominal amount of instrument	SEK 1 300m	SEK 1 700m	EUR 750m	EUR 750m
EU-9a	Issue price	100%	100%	99.923%	99.962%
EU-9b	Redemption price	100%	100%	100%	100%
10	Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	15 Nov 2017	15 Nov 2017	2 Mar 2018	5 Sep 2018
12	Perpetual or dated	Dated	Dated	Dated	Dated
13	Original maturity date	15 Nov 2027	15 Nov 2027	2 Mar 2028	5 Mar 2029
14	Issuer call subject to the previous supervisory approval	Yes	Yes	Yes	Yes
15	Optional call date, contingent call dates and redemption amount	15 Nov 2022, Tax/Regulatory call, 100% of nominal amount	15 Nov 2022, Tax/Regulatory call, 100% of nominal amount	2 Mar 2023, Tax/Regulatory call, 100% of nominal amount	5 Mar 2024, Tax/Regulatory call, 100% of nominal amount
16	Subsequent call dates, if applicable	Callable each subsequent interest payment date after first redemption date	Callable each subsequent interest payment date after first redemption date	N/A	N/A
	<i>Coupons/dividends</i>				
17	Fixed or floating dividend/coupon	Fixed	Floating	Fixed	Fixed
18	Coupon rate and any related index	1.41%	1.208%	1.25%	1.625%
19	Existence of a dividend stopper	No	No	No	No
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No
22	Non-cumulative or cumulative	Non-cumulative	Non-cumulative	Non-cumulative	Non-cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	N/A	N/A	N/A	N/A
EU-34b	Ranking of the instrument in normal insolvency proceedings	4	4	4	4
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Subordinate to all senior lending	Subordinate to all senior lending	Subordinate to all senior lending	Subordinate to all senior lending
36	Non-compliant transitioned features	No	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A
37a	Link to the full term and conditions of the instrument (signposting)				

Eligible liabilities

The institution's eligible liabilities instruments within the meaning of Article 72b CRR are disclosed in the below tables, CCA.

EU CCA Main features - eligible liabilities instruments, EMTN

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637

Main features - eligible liabilities instruments, EMTN page 1(4)			
1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS1795254025	XS1848875172
EU-2a	Public or private placement	Public	Public
3	Governing law(s) of the instrument	English law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes
	<i>Regulatory treatment</i>		
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior	Senior
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 7 691m	SEK 5 127m
9	Nominal amount of instrument	EUR 750m	EUR 500m
EU-9a	Issue price	99.784%	99.438%
EU-9b	Redemption price	1	1
10	Accounting classification	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	21 Mar 2018	03 Jul 2018
12	Perpetual or dated	Dated	Dated
13	Original maturity date	21 Mar 2023	03 Jul 2023
14	Issuer call subject to the previous supervisory approval	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A
	<i>Coupons/dividends</i>		
17	Fixed or floating dividend/coupon	Fixed	Fixed
18	Coupon rate and any related index	0.5%	0.375%
19	Existence of a dividend stopper		
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No
22	Cumulative or cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A
25	If convertible, fully or partially	N/A	N/A
26	If convertible, conversion rate	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A
30	Write-down features	No	No
31	If write-down, write-down trigger(s)	N/A	N/A
32	If write-down, full or partial	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings		
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law
36	Non-compliant transitioned features	No	No
37	If yes, specify non-compliant features	N/A	N/A
37a	Link to the full term and conditions of the instrument (signposting)	emtn_333_isin_xs1795254025(alertir.com)	emtn_336_isin_xs1848875172(alertir.com)

ELIGIBLE LIABILITIES

Main features - eligible liabilities instruments, EMTN page 2(4)

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS1917807106	XS1989819583	XS2013536029	XS2156510021	XS2049582542
EU-2a	Public or private placement	Private	Public	Public	Public	Public
3	Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes	Yes	Yes
	<i>Regulatory treatment</i>					
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior	Senior	Senior	Senior preferred	Senior non-preferred liabilities
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 567m	SEK 3 665m	SEK 10 255m	SEK 12 818m	SEK 7 691m
9	Nominal amount of instrument	HKD 488m	GBP 300m	EUR 1 000m	EUR 1 250m	EUR 750m
EU-9a	Issue price	100%	99.814%	99.856%	99.386%	99.805%
EU-9b	Redemption price	1	1	1	1	1
10	Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	04 Dec 2018	03 May 2019	18 June 2019	15 Apr 2020	03 Sep 2019
12	Perpetual or dated	Dated	Dated	Dated	Dated	Dated
13	Original maturity date	24 Nov 2023	15 Dec 2023	18 June 2024	15 Apr 2025	03 Sep 2026
14	Issuer call subject to the previous supervisory approval	No	No	No	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	N/A	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A	N/A	N/A
	<i>Coupons/dividends</i>					
17	Fixed or floating dividend/coupon	Fixed	Fixed	Fixed	Fixed	Fixed
18	Coupon rate and any related index	3.26%	1.625%	0.125%	1.00%	0.05%
19	Existence of a dividend stopper					
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings					
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Subordinated to senior
36	Non-compliant transitioned features	No	No	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A	N/A
37a	Link to the full term and conditions of the instrument (signposting)	N/A	emtn_344_isin_xs1989819583 (alertr.com)	emtn_345_isin_xs2013536029 (alertr.com)	AODocument (alertr.com)	emtn_346_isin_xs2049582542 (alertr.com)

ELIGIBLE LIABILITIES

Main features - eligible liabilities instruments, EMTN page 3(4)

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS2404629235	XS2265968284	XS1835013050	XS1865236100	XS2345317510
EU-2a	Public or private placement	Public	Public	Private	Private	Public
3	Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	English law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes	Yes	Yes
	<i>Regulatory treatment</i>					
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior preferred	Senior non-preferred liabilities	Senior	Senior	Senior preferred
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 10 255m	SEK 5 127m	SEK 1 538m	SEK 906m	SEK 10 255m
9	Nominal amount of instrument	EUR 1000m	EUR 500m	EUR 150m	USD 100m	EUR 1 000m
EU-9a	Issue price	99.751%	99.958%	99.856%	100%	99,714%
EU-9b	Redemption price	1	1	1	1	1
10	Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	03 Nov 2021	02 Dec 2020	12 Jun 2018	14 Aug 2018	06 Sep 2021
12	Perpetual or dated	Dated	Dated	Dated	Dated	Dated
13	Original maturity date	03 Nov 2026	02 Dec 2027	12 Jun 2028	14 Aug 2028	06 Sep 2028
14	Issuer call subject to the previous supervisory approval	No	No	No	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	N/A	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A	N/A	N/A
	<i>Coupons/dividends</i>					
17	Fixed or floating dividend/coupon	Fixed	Fixed	Fixed	Fixed	Fixed
18	Coupon rate and any related index	0.125%	0,01%	1.26%	3.678%	0.05%
19	Existence of a dividend stopper					
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings					
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law	Subordinated to senior	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law
36	Non-compliant transitioned features	No	No	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A	N/A
37a	Link to the full term and conditions of the instrument (signposting)	Document (aleritir.com)	Document (aleritir.com)	N/A	N/A	Document (aleritir.com)

ELIGIBLE LIABILITIES

Main features - eligible liabilities instruments, EMTN page 4(4)

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS1909084375	XS0994979044	XS1016849462	XS2121207828	XS1904734495
EU-2a	Public or private placement	Private	Public	Public	Public	Private
3	Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	English law	English law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	No	No	Yes	Yes
	<i>Regulatory treatment</i>					
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior	Senior	Senior	Senior non-preferred liabilities	Senior
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 906m	SEK 1 077m	SEK 461m	SEK 10 255m	SEK 615m
9	Nominal amount of instrument	USD 100m	EUR 105m	EUR 45m	EUR 1000m	EUR 60m
EU-9a	Issue price	100%	1	100%	99,602%	100%
EU-9b	Redemption price	1	1	1	1	1
10	Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	15 Nov 2018	20 Nov 2013	17 Jan 2014	18 Feb 2020	12 Nov 2018
12	Perpetual or dated	Dated	Dated	Dated	Dated	Dated
13	Original maturity date	15 Nov 2028	20 Nov 2028	17 Jan 2029	18 Feb 2030	12 Nov 2031
14	Issuer call subject to the previous supervisory approval	No	No	No	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	N/A	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A	N/A	N/A
	<i>Coupons/dividends</i>					
17	Fixed or floating dividend/coupon	Fixed	Fixed	Fixed	Fixed	Fixed
18	Coupon rate and any related index	3.983%	3.08%	3.08%	0.5%	1.563%
19	Existence of a dividend stopper					
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings					
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Subordinated to senior	Indebtedness entitled to preference under Swedish law
36	Non-compliant transitioned features	No	No	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A	N/A
37a	Link to the full term and conditions of the instrument (signposting)	N/A	FINAL TERMS (alertr.com)	emtn_322_isin_xs1016849462 (alertr.com)	Microsoft Word - ICM-#34696691-v5-SHB_Senior MTN Trade - Feb 2020 - Final Terms (alertr.com)	N/A

ELIGIBLE LIABILITIES

EU CCA Main features - eligible liabilities instruments, AMTN

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637

Main features - eligible liabilities instruments, AMTN

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	AU3FN0045001	AU3CB0257095	AU3CB0236123	AU3FN0058632	AU3CB0278232
EU-2a	Public or private placement	Private	Private	Private	Private	Private
3	Governing law(s) of the instrument	Australian law	Australian law	Australian law	Mainly NSW law, Swedish insolvency law	Mainly NSW law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes	Yes	Yes
	<i>Regulatory treatment</i>					
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior	Senior	Senior	Senior preferred	Senior preferred
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 4 606m	SEK 1 316m	SEK 822m	SEK 2 632m	SEK 1 316m
9	Nominal amount of instrument	AUD 700m	AUD 200m	AUD 125m	AUD 400m	AUD 200m
EU-9a	Issue price	99.442%	100%	99.796%	100%	99.915%
EU-9b	Redemption price	100%	100%	100%	100%	100%
10	Accounting classification					
11	Original date of issuance	27 Sep 2018	27 Sep 2018	02 Mar 2016	04 Mar 2021	04 Mar 2021
12	Perpetual or dated	Dated	Dated	Dated	Dated	Dated
13	Original maturity date	27 Sep 2023	27 Sep 2023	02 Mar 2026	04 Mar 2026	04 Mar 2026
14	Issuer call subject to the previous supervisory approval	No	No	No	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	N/A	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A	N/A	N/A
	<i>Coupons/dividends</i>					
17	Fixed or floating dividend/coupon	Floating	Fixed	Fixed	Floating	Fixed
18	Coupon rate and any related index	90 days BBSW+ 0.98%	3.25% s.a	4.00% s.a	90 days BBSW+ 0.45%	1.20% s.a
19	Existence of a dividend stopper	No	No	No	No	No
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings					
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law
36	Non-compliant transitioned features	No	No	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A	N/A
37a	Link to the full term and conditions of the instrument (signposting)	N/A	N/A	N/A	N/A	N/A

ELIGIBLE LIABILITIES

EU CCA Main features - eligible liabilities instruments, 144A, 3A2 and Samurai

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637

Main features - eligible liabilities instruments, 144A, 3A2 and Samurai		144A	144A	144A	3A2	Samurai
1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	US86959LAF04	US86959LAG86	US86959LAH69	US86960BAX01	JP575214BF94
EU-2a	Public or private placement	Public	Public	Public	Private	Private
3	Governing law(s) of the instrument	New York law	New York law	Mainly New York law, Swedish insolvency law	New York law	Japanese law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes	Yes	Yes
	<i>Regulatory treatment</i>					
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior preferred	Senior preferred	Senior non-preferred	Senior	Senior
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 11 331m	SEK 11 331m	SEK 9 064m	SEK 12 690m	SEK 362m
9	Nominal amount of instrument	USD 1,250m	USD 1,250m	USD 1,000m	USD 1,400m	JPY 4600m
EU-9a	Issue price	99.651%	99.923%	100%	99.87%	100%
EU-9b	Redemption price	100%	100%	100%	100%	100%
10	Accounting classification					Liability – amortised cost
11	Original date of issuance	30 Jun 2020	11 Jun 2021	11 Jun 2021	20 Nov 2018	03 Sep 2015
12	Perpetual or dated	Dated	Dated	Dated	Dated	Dated
13	Original maturity date	30 Jun 2023	11 Jun 2024	11 Jun 2027	20 Nov 2023	03 Sep 2025
14	Issuer call subject to the previous supervisory approval	No	No	Yes*	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	11 Jun 2026	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A	N/A	N/A
	<i>Coupons/dividends</i>					
17	Fixed or floating dividend/coupon	Fixed	Fixed	Fixed rate reset note	Fixed	Fixed
18	Coupon rate and any related index	0.625% s.a	0.550% s.a	1.418% s.a	3.90% s.a	0.734% s.s
19	Existence of a dividend stopper	No	No	No	No	No
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings					
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Subordinated to senior preferred notes and 3a2 notes	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law
36	Non-compliant transitioned features	No	No	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A	N/A
37a	Link to the full term and conditions of the instrument (signposting)	N/A	N/A	N/A	N/A	N/A

ELIGIBLE LIABILITIES

EU TLAC1 Composition - MREL

Presentation in accordance with the implementing technical standards for the application of Regulation (EU) No 575/2013 and Directive 2014/59/EU with regards to the supervisory reporting and public disclosure of the minimum requirement for own funds and eligible liabilities. Excluded rows/column are deemed not relevant for Handelsbanken at present.

Composition - MREL and, where applicable, G-SII Requirement for own funds and eligible liabilities 2021		Minimum requirement for own funds and eligible liabilities (MREL)
SEK m		
Own funds and eligible liabilities and adjustments		
1	Common Equity Tier 1 capital (CET1)	149 709
2	Additional Tier 1 capital (AT1)	13 513
6	Tier 2 capital (T2)	17 236
11	Own funds for the purpose of Articles 92a of Regulation (EU) No 575/2013 and 45 of Directive 2014/59/EU	180 458
Own funds and eligible liabilities: Non-regulatory capital elements		
12	Eligible liabilities instruments issued directly by the resolution entity that are subordinated to excluded liabilities (not grandfathered)	32 137
EU-12a	Eligible liabilities instruments issued by other entities within the resolution group that are subordinated to excluded liabilities (not grandfathered)	-
EU-12b	Eligible liabilities instruments that are subordinated to excluded liabilities issued prior to 27 June 2019 (subordinated grandfathered)	-
EU-12c	Tier 2 instruments with a residual maturity of at least one year to the extent they do not qualify as Tier 2 items	-
13	Eligible liabilities that are not subordinated to excluded liabilities (not grandfathered pre-cap)	112 123
EU-13a	Eligible liabilities that are not subordinated to excluded liabilities issued prior to 27 June 2019 (pre-cap)	1 538
14	Amount of non subordinated eligible liabilities instruments, where applicable after application of Article 72b (3) CRR	113 661
17	Eligible liabilities items before adjustments	145 798
EU-17a	Of which subordinated liabilities items	32 137
Own funds and eligible liabilities: Adjustments to non-regulatory capital elements		
18	Own funds and eligible liabilities items before adjustments	326 256
19	(Deduction of exposures between multiple point of entry (MPE) resolution groups)	-
20	(Deduction of investments in other eligible liabilities instruments)	-
22	Own funds and eligible liabilities after adjustments	326 256
EU-22a	Of which: own funds and subordinated liabilities	212 595
Risk-weighted exposure amount and leverage exposure measure of the resolution group		
23	Total risk exposure amount (TREA)	773 158
24	Total exposure measure (TEM)	3 232 291
Ratio of own funds and eligible liabilities		
25	Own funds and eligible liabilities as a percentage of TREA	42.20%
EU-25a	Of which own funds and subordinated liabilities	27.50%
26	Own funds and eligible liabilities as a percentage of TEM	10.09%
EU-26a	Of which own funds and subordinated liabilities	6.58%
27	CET1 (as a percentage of the TREA) available after meeting the resolution group's requirements	13.41%

EU TLAC3b creditor ranking - resolution entity

Presentation in accordance with the implementing technical standards for the application of Regulation (EU) No 575/2013 and Directive 2014/59/EU with regards to the supervisory reporting and public disclosure of the minimum requirement for own funds and eligible liabilities. Excluded rows are deemed not relevant for Handelsbanken at present.

Creditor ranking - resolution entity 2021		Insolvency ranking						
SEK m		1 (most junior)	2	3	4	5	6	7 (most senior)
1	Description of insolvency rank	Common Equity Tier 1 Capital	Fines and penalties	Additional Tier 1 capital instruments	Tier 2 capital instruments	Other Sub-ordinated debt	Senior non-preferred debt	Senior unsecured debt
5	Own funds and liabilities potentially eligible for meeting MREL	149 709	-	13 513	17 236	-	32 137	113 661
6	of which residual maturity ≥ 1 year < 2 years	-	-	-	-	-	-	46 992
7	of which residual maturity ≥ 2 year < 5 years	-	-	-	-	-	16 755	49 791
8	of which residual maturity ≥ 5 years < 10 years	-	-	-	17 236	-	15 382	16 878
9	of which residual maturity ≥ 10 years, but excluding perpetual securities	-	-	-	-	-	-	-
10	of which perpetual securities	149 709	-	13 513	-	-	-	-
								163 222

Countercyclical capital buffers

EU CCyB1 Geographical distribution of credit exposures relevant for the calculation of the countercyclical buffer

The table shows the geographical breakdown of credit exposures relevant for the calculation of the countercyclical capital buffer. Several countries (largest impact here is Sweden, Norway, Denmark and the United Kingdom) have adjusted the buffer during the first quarter of 2020 in response to the COVID19 pandemic.

Geographical distribution of credit exposures relevant for the calculation of the countercyclical buffer 2021		General credit exposures		Relevant credit exposures – Market risk			Own funds requirements					Counter-cyclical buffer rate (%)		
				Sum of long and short positions of trading book exposures for SA	Value of trading book exposures for internal models	Securitisation exposures Exposure value for non-trading book	Total exposure value	Relevant credit risk exposures - Credit risk	Relevant credit exposures – Market risk	Relevant credit exposures – Securitisation positions in the non-trading book	Total		Risk-weighted exposure amounts	Own fund requirements weights (%)
SEK m		Exposure value under the standardised approach	Exposure value under the IRB approach											
010	Breakdown by country													
	Sweden	15 062	1 654 590	877			1 670 528	29 364	152		29 517	368 961	55.3%	
	Norway	1 410	319 840	720			321 970	6 266	110		6 375	79 692	12.0%	1.0%
	Other countries	336 587	275 412	154			612 153	17 388	38		17 426	217 822	32.7%	3.5%
020	Total	353 059	2 249 842	1 751			2 604 651	53 018	300		53 318	666 475	100.0%	

EU CCyB2 Amount of institution -specific countercyclical capital buffer

The table shows the total amount for the institution-specific countercyclical capital buffer. Several countries (largest impact here is Sweden, Norway, Denmark and the United Kingdom) have adjusted the buffer during the first quarter of 2020 in response to the COVID19 pandemic.

Amount of institution-specific countercyclical capital buffer 2021		
SEK m		
10	Total risk exposure amount	773 158
20	Institution specific countercyclical buffer rate	0.1%
30	Institution specific countercyclical buffer requirement	908

Leverage ratio

EU LRA Disclosure of LR qualitative information

Article 451.1 d CRR

Description of the processes used to manage the risk of excessive leverage

The Bank's capital requirement is reported weekly to the CFO and the CEO and at least quarterly to the Board. In cases where various thresholds are exceeded, or if the Head of Group Capital Management or the CFO deems it appropriate for some other reason, proposals for appropriate measures are presented to the CEO. The capital situation in a medium- and long-term perspective is summarised quarterly by the capital committee. Group Capital Management performs a complete update of the capital forecast on a quarterly basis, or when there are significant changes in conditions.

Description of the factors that had an impact on the leverage Ratio during the period to which the disclosed leverage Ratio refers

Major changes to leverage exposures.

The leverage ratio decreased during the year from 5.2% to 5.0%. Both the nominator (Tier 1 capital) and the denominator (Exposures Measure) increased during the year. The increase in exposures was the slightly larger of the two, causing a decrease in the ratio. The Exposure Measure increase is mainly due to increased lending to the public. The increase in tier 1 capital can to a large extent be explained by the increased value of reserves and net profit.

EU LR1 LRSum: Summary reconciliation of accounting assets and leverage ratio exposures

The table shows the summary reconciliation of accounting assets and leverage ratio exposures.

The leverage ratio total exposure measure has increased compared to the previous period.

LRSum: Summary reconciliation of accounting assets and leverage ratio exposures		Applicable amount
SEK m		
1	Total assets as per published financial statements	3 103 143
2	Adjustment for entities which are consolidated for accounting purposes but are outside the scope of prudential consolidation	243 622
3	(Adjustment for securitised exposures that meet the operational requirements for the recognition of risk transference)	0
4	(Adjustment for temporary exemption of exposures to central banks (if applicable))	0
5	(Adjustment for fiduciary assets recognised on the balance sheet pursuant to the applicable accounting framework but excluded from the total exposure measure in accordance with point (i) of Article 429a(1) CRR)	0
6	Adjustment for regular-way purchases and sales of financial assets subject to trade date accounting	0
7	Adjustment for eligible cash pooling transactions	0
8	Adjustment for derivative financial instruments	12 869
9	Adjustment for securities financing transactions (SFTs)	18 268
10	Adjustment for off-balance sheet items (ie conversion to credit equivalent amounts of off-balance sheet exposures)	136 138
11	(Adjustment for prudent valuation adjustments and specific and general provisions which have reduced Tier 1 capital)	-421
EU-11a	(Adjustment for exposures excluded from the total exposure measure in accordance with point (c) of Article 429a(1) CRR)	0
EU-11b	(Adjustment for exposures excluded from the total exposure measure in accordance with point (j) of Article 429a(1) CRR)	0
12	Other adjustments	-281 327
13	Total exposure measure	3 232 291

EU LR2 LRCom: Leverage ratio common disclosure

The table shows the leverage ratio for the current and previous period. The exposures are specified for the categories on-balance, derivatives, securities finance and off-balance. The leverage ratio is calculated as tier 1 capital divided by the total exposures. The leverage ratio has decreased compared to the previous year.

LRCom: Leverage ratio common disclosure 2021		
SEK m		
On-balance-sheet exposures (excluding derivatives and SFTs)		
1	On-balance-sheet items (excluding derivatives, SFTs and fiduciary assets, but including collateral)	3 035 785
2	Gross-up for derivatives collateral provided, where deducted from the balance sheet assets pursuant to the applicable accounting framework	0
3	(Deductions of receivables assets for cash variation margin provided in derivatives transactions)	-2 996
4	(Adjustment for securities received under securities financing transactions that are recognised as an asset)	0
5	(General credit risk adjustments to on-balance sheet items)	0
6	(Asset amounts deducted in determining Tier 1 capital)	-21 266
7	Total on-balance sheet exposures (excluding derivatives and SFTs)	3 011 523
Derivative exposures		
8	Replacement cost associated with SA-CCR derivatives transactions (ie net of eligible cash variation margin)	16 104
EU-8a	Derogation for derivatives: replacement costs contribution under the simplified standardised approach	0
9	Add-on amounts for potential future exposure associated with SA-CCR derivatives transactions	21 924
EU-9a	Derogation for derivatives: Potential future exposure contribution under the simplified standardised approach	0
EU-9b	Exposure determined under Original Exposure Method	0
10	(Exempted CCP leg of client-cleared trade exposures) (SA-CCR)	0
EU-10a	(Exempted CCP leg of client-cleared trade exposures) (simplified standardised approach)	0
EU-10b	(Exempted CCP leg of client-cleared trade exposures) (Original Exposure Method)	0
11	Adjusted effective notional amount of written credit derivatives	3 379
12	(Adjusted effective notional offsets and add-on deductions for written credit derivatives)	-30
13	Total derivatives exposures	41 377
Securities financing transaction (SFT) exposures		
14	Gross SFT assets (with no recognition of netting), after adjustment for sales accounting transactions	38 849
15	Netted amounts of cash payables and cash receivables of gross SFT assets)	0
16	Counterparty credit risk exposure for SFT assets	5 194
EU-16a	Derogation for SFTs: Counterparty credit risk exposure in accordance with Articles 429e(5) and 222 CRR	0
17	Agent transaction exposures	0
EU-17a	(Exempted CCP leg of client-cleared SFT exposure)	0
18	Total securities financing transaction exposures	44 043
Other off-balance-sheet exposures		
19	Off-balance sheet exposures at gross notional amount	535 702
20	(Adjustments for conversion to credit equivalent amounts)	-399 564
21	(General provisions deducted in determining Tier 1 capital and specific provisions associated associated with off-balance sheet exposures)	0
22	Off-balance sheet exposures	136 138
Excluded exposures		
EU-22a	(Exposures excluded from the total exposure measure in accordance with point (c) of Article 429a(1) CRR)	0
EU-22b	(Exposures exempted in accordance with point (j) of Article 429a(1) CRR (on and off balance sheet))	0
EU-22c	(Excluded exposures of public development banks (or units) - Public sector investments)	0
EU-22d	(Excluded exposures of public development banks (or units) - Promotional loans)	0
EU-22e	(Excluded passing-through promotional loan exposures by non-public development banks (or units))	0
EU-22f	(Excluded guaranteed parts of exposures arising from export credits)	-790
EU-22g	(Excluded excess collateral deposited at triparty agents)	0
EU-22h	(Excluded CSD related services of CSD/institutions in accordance with point (o) of Article 429a(1) CRR)	0
EU-22i	(Excluded CSD related services of designated institutions in accordance with point (p) of Article 429a(1) CRR)	0
EU-22j	(Reduction of the exposure value of pre-financing or intermediate loans)	0
EU-22k	(Total exempted exposures)	-790
Capital and total exposure measure		
23	Tier 1 capital	163 222
24	Total exposure measure	3 232 290
Leverage ratio		
25	Leverage ratio (%)	5.05%
EU-25	Leverage ratio (excluding the impact of the exemption of public sector investments and promotional loans) (%)	5.05%
25a	Leverage ratio (excluding the impact of any applicable temporary exemption of central bank reserves) (%)	5.05%
26	Regulatory minimum leverage ratio requirement (%)	3.00%
EU-26a	Additional own funds requirements to address the risk of excessive leverage (%)	0
EU-26b	of which: to be made up of CET1 capital	0
27	Leverage ratio buffer requirement (%)	3.00%
EU-27a	Overall leverage ratio requirement (%)	
Choice on transitional arrangements and relevant exposures		
EU-27b	Choice on transitional arrangements for the definition of the capital measure	NA
Disclosure of mean values		
28	Mean of daily values of gross SFT assets, after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivable	39 184
29	Quarter-end value of gross SFT assets, after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables	38 849
30	Total exposure measure (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	3 232 625
30a	Total exposure measure (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	3 232 625
31	Leverage ratio (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	5.05%
31a	Leverage ratio (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	5.05%

EU LR3 LRSpl: Split-up of on balance sheet exposures (excluding derivatives, SFTs and exempted exposures)

The table specifies on-balance-sheet exposures excluding derivatives, SFTs, and exposures exempt from the leverage ratio calculation. The total exposure has increased compared to the previous period.

LRSpl: Split-up of on balance sheet exposures (excluding derivatives, SFTs and exempted exposures) 2021		CRR leverage ratio exposures
SEK m		
EU-1	Total on-balance sheet exposures (excluding derivatives, SFTs, and exempted exposures), of which:	3 100 045
EU-2	Trading book exposures	98 799
EU-3	Non-trading book exposures, of which:	3 001 246
EU-4	Covered bonds	26 683
EU-5	Exposures treated as sovereigns	555 070
EU-6	Exposures to regional governments, MDB, international organisations and PSE not treated as sovereigns	0
EU-7	Institutions	7 661
EU-8	Secured by mortgages of immovable properties	2 137 930
EU-9	Retail exposures	48 387
EU-10	Corporates	207 596
EU-11	Exposures in default	5 077
EU-12	Other exposures (e.g. equity, securitisations, and other non-credit obligation assets)	12 844

Funding and liquidity Risk

Liquidity risk is the risk that the Bank will not be able to meet its payment obligations as they fall due without being affected by unacceptable costs or losses.

The Bank has a low tolerance of liquidity risks, both at aggregate level and in each individual currency. The aim is to have good access to liquidity, a low level of variation in results and a considerable capacity to meet customers' funding needs, even in difficult times. This is achieved by maintaining a good matching of incoming and outgoing cash flows over time in all currencies essential to the Bank and by maintaining large liquidity reserves of high quality.

EU LIQA Liquidity risk management

In accordance with Articles 435(1) and 451a(4) CRR

Strategies and processes in the management of the liquidity risk, including policies on diversification in the sources and tenor of planned funding.

Handelsbanken's Board has overall responsibility for the Bank's risk management and establishes internal rules for this. The Board establishes policy documents and the CEO establishes guidelines describing how various risks should be managed and reported.

Handelsbanken has a low tolerance of liquidity risks, both at aggregate level and in each individual currency. The aim is to have good access to liquidity, a low level of variation in results and a considerable capacity to meet customers' funding needs, even in difficult times. This is achieved by maintaining a good matching of incoming and outgoing cash flows over time in all currencies essential to the Bank and by maintaining large liquidity reserves of good quality. The Bank thus minimises the economic risks in funding and can thereby maintain stable and long-term funding for the business-operating units. Furthermore, the Bank aims for breadth in its funding programmes and their use. This ensures that the Bank can keep its core business intact for a long period of time, even if there is extensive disruption in the financial markets. The result of this work is a well-matched balance sheet, where illiquid assets are financed using stable funding.

Good diversification between different types of funding sources in various markets, currencies and forms of funding instruments is a key component of the funding strategy. This reduces the significance of individual markets or sources of funding.

Structure and organisation of the liquidity risk management function (authority, statute, other arrangements).

Handelsbanken's Board has overall responsibility for the Bank's liquidity risk management and establishes internal rules for this. The Board establishes policy documents for funding and liquidity management and decides on limits. The financial policy describes the Bank's risk tolerance and risk strategy, and applies to the entire Group. Guidelines from the CEO and instructions from the CFO make these policies concrete. The CFO issues instructions for funding and liquidity management that are approved by the Central Board's risk committee. These instructions include details of risk management and strategy such as further limits, the composition of the funding, and benchmarks in the case of disruptions in the funding markets. Group risk control has the responsibility for risk measurement and methodology.

The CFO has the function responsibility for liquidity and funding, while the Head of Group Treasury, who reports to the CFO, is

responsible for the Group's liquidity and funding. This responsibility includes managing the Group's liquidity, foreign exchange and interest rate risks in its banking operations. Group treasury allocates the limits for ALM risks in the Group and thereby determines where in the Group such risks are taken. Risk Control monitors business operations' risk management. Exceeded limits and objectives are identified by Risk Control and are reported to the Bank's senior management or Central Board.

A description of the degree of centralisation of liquidity management and interaction between the group's units.

Handelsbanken has a decentralised business model, but all funding and liquidity risk management in the Group is centralised in Group Treasury where all liquidity risk limits are channelled to the operations. Group Treasury is also responsible for the Bank's liquidity reserve, including the pledged assets that must be kept in different payment and clearing systems, and monitors liquidity flows during the day to ensure that the Bank has sufficient collateral in its payment systems at any given time to meet the Bank's payment obligations. The Bank's liquidity monitoring takes place locally, near the transactions, and is supplemented by central management of collateral and the liquidity reserve for the whole Group.

Scope and nature of liquidity risk reporting and measurement systems.

Limit utilisation for liquidity risks is compiled and checked on a daily basis by Group Risk Control. Exceeded limits are immediately reported to the person who makes the decision about the limits. The liquidity risk is summarised by Group Risk Control and reported daily to the CFO, weekly to the CEO and to the Board at every regular Board meeting. The liquidity committee, chaired by the Head of Group Treasury, acts in an advisory capacity to the CEO and CFO and meets before each regular Board meeting and on other occasions when necessary. At these committee meetings, reports are presented on the current liquidity situation, on results of stress tests, scenario analysis, and other information which is relevant for the assessment of the Group's liquidity situation.

Policies for hedging and mitigating the liquidity risk and strategies and processes for monitoring the continuing effectiveness of hedges and mitigants.

In order to limit risk in liquidity management, the Bank has a robust risk tolerance framework including both limits and qualitative targets for liquidity risk. Group Risk Control is responsible for measuring risks and reports risk utilisation daily to the CFO, weekly to the CEO, and on a regular basis to the Board. Liquidity planning is based on an analysis of cash flows for the respective currency. As a general rule, a larger exposure is permitted in currencies with high liquidity than in currencies where the liquidity is low. The funding strategy is that illiquid assets are financed with stable, long-term funding, and that a positive liquidity position (cash flow plus liquid assets) must be maintained – even in stressed conditions. This gap analysis is supplemented by scenarios, in which the effect on liquidity is further stressed and analysed using various assumptions.

An outline of the Bank's contingency funding plans.

Handelsbanken maintains a contingency funding plan in the event of a liquidity shortfall (*Group Contingency Plan for Managing a Liquidity Crisis*). The plan stipulates responsibilities, sets out practical steps and considerations needed in order to implement various contingency actions, and describes their estimated impacts. It also determines a set of indicators to be used to help identify when it is appropriate to take contingency actions. A traffic light system is adopted, where each indicator has a baseline level and (up to three) trigger levels with predescribed escalation and reporting processes.

The focus is on being proactive rather than reactive, to ensure continued access to liquidity – and continued confidence in the Bank – in times of crisis.

The indicators cover the Bank's short-term and long-term funding needs, asset encumbrance, dependence on wholesale markets (incl. the cost of wholesale funding), retail deposits, and the behaviour of the Bank's funding counterparties. They also distinguish between key currencies.

Each indicator is monitored at the applicable level of periodicity, i.e. from daily to quarterly, depending on the indicator and the current business state. Indicators are evaluated and discussed by the Liquidity Committee and the Bank's advisory Risk Committee on a monthly basis and trigger levels are recalibrated if necessary. An annual review of the indicator framework is conducted.

All indicators are monitored over time, e.g. by including historic values, and hence trending information is an integral part of the reporting conducted within the Bank's general risk management framework. An escalation process is associated with all indicators, regardless of type. Pre-determined levels activate an escalation process to predefined decision-making bodies.

Group Risk Control and Group Treasury follow the liquidity metrics on a daily basis. If any of the metrics are in jeopardy, it is the responsibility of the Head of Group Treasury to take remedial action. Remedial actions may be to use non-encumbered assets (most likely mortgages) in secured financing transactions, selling assets in the liquidity reserve and utilising the funding programmes. In a very severe crisis measures such as withholding dividends, or reduced lending to the public would also be available. In such cases the CEO and the Central Board are involved in the decisions.

An explanation of how stress testing is used.

The governance of the Bank's liquidity situation is based on stress tests, which are performed at an aggregate level and also individually for the currencies that are essential to the Bank. The stress tests ensure that the Bank has sufficient liquidity, from both a short-term and long-term perspective, in various stressed scenarios and with various liquidity-generating actions, which reflect the Bank's recovery plan. The stress tests are carried out with the application of both market wide and idiosyncratic stress, on a regular basis and an ad hoc basis. These are also supplemented with scenario analyses which consider substantial falls in housing prices. In these stress tests, it is assumed that the Bank does not have access to market funding, at the same time as some deposits from households and companies gradually disappear in the first month. It is further assumed that the Bank will continue to conduct its core activities, that loans to households and companies will be renewed at maturity and that customers will partly utilise issued commitments and credit facilities. The stress tests assume that the cash assets in the liquidity reserve are used and that securities can immediately supply liquidity if provided as collateral, primarily in the market and as a last resort in central banks. In addition, the Bank can generate liquidity through utilising the unutilised issue amount for covered bonds and by implementing other liquidity-generating measures to gradually provide the Bank with liquidity. The volume and quality of unutilised collateral must be sufficient to offer the Bank the liquidity it needs in times of crisis.

A declaration approved by the management body on the adequacy of liquidity risk management arrangements of the institution providing assurance that the liquidity risk management systems put in place are adequate with regard to the institution's profile and strategy.

Handelsbanken has satisfactory arrangements for risk management which are fit for purpose in relation to the Bank's business goal, overall risk profile and the risk strategy which the Board has decided for the operations.

A concise liquidity risk statement approved by the management body succinctly describing the institution's overall liquidity risk profile associated with the business strategy.

This statement shall include key ratios and figures (other than those already covered in the EU LIQ1 template under this ITS) providing external stakeholders with a comprehensive view of the institution's management of liquidity risk, including how the liquidity risk profile of the institution interacts with the risk tolerance set by the management body.

Please also see the Board's complete risk statement in template EU OVA.

To ensure that the Bank has a good liquidity situation, the Board stipulates the Bank's risk tolerance for liquidity. Handelsbanken has a low risk tolerance. The structural risk in the balance sheet must promote stable, long-term profit growth and not be so high as to prevent Handelsbanken from being able to, in the short and long term, fulfil the requirements set by supervisory authorities. Financial risks shall only occur as a natural step in customer business, in connection with the Handelsbanken Group's funding and liquidity management, and in its role as a market maker. The Group's risks must be limited through the good matching of both cash flows and interest-fixing periods, the hedging of open positions, and the use of collateral, netting agreements and other risk mitigation measures. In addition, the Group should avoid business proposals and trading in products that appear to be complicated or difficult to understand.

The purpose of the Group's funding and liquidity management is to ensure that Handelsbanken is able to meet its payment obligations in the short and long term. A further aim is that the Group should have better access to the capital markets and a lower funding cost than the average for peer banks, as well as Handelsbanken retaining a high rating from the most important rating agencies.

To achieve this goal Handelsbanken maintains loan programmes in all currencies and instruments that are important to the Bank. The target intervals for the Banks short and long-term market funding are also established by the governing body.

Short-term market funding by currency 2021

Refers to the currency breakdown as at 31 December 2021 for issued securities with a short-term¹ original time to maturity. Amounts in parentheses in SEK bn.



¹Short-term maturity refers to a maturity of less than one year and one month.

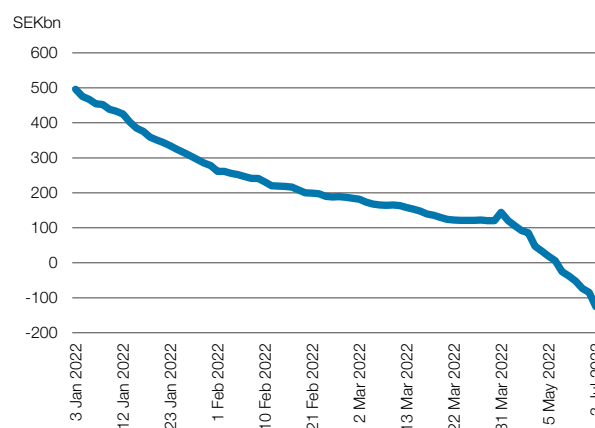
Long-term market funding by currency 2021

Refers to the currency breakdown as at 31 December 2021 for issued securities with a long-term¹ original time to maturity. Amounts in parentheses in SEK bn.

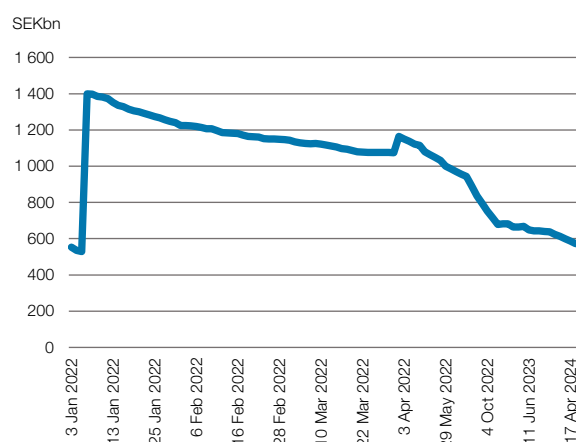


¹Long-term maturity refers to a maturity equal to or in excess of one year and one month.

Short term stress test of liquidity – accumulated liquidity position



Long term stress test of liquidity, including liquidity generating measures - accumulated liquidity position



Handelsbanken must have a good match of maturities for liabilities and assets, and positive structural net funding that comprises the difference between stable funding and illiquid assets. Handelsbanken's illiquid assets are risk-weighted and consist of lending to households and companies, and other assets requiring stable funding. Handelsbanken's stable funding is risk-weighted and consists of shareholders' equity, deposits from households and companies, and other funding with sufficiently long residual maturity or quality to withstand a protracted liquidity crisis. In addition, Handelsbanken must have adequate liquidity in the form of cash available from central banks and assets that are liquid and can be pledged, to be able to continue its operations for pre-determined periods of time, without new funding on the financial markets. This requirement must also be fulfilled in times of financial strain. In addition, the Bank must have the liquidity-generating capacity to cope with a lengthy period of financial strain without requiring new funding on the financial markets.

The maturity mismatch of assets and liabilities is monitored through internal short and long-term stress tests, as described above in the section regarding stress testing. The mismatch analysis also includes effects from off balance sheet items, such as increased cash collateral requirements and increased utilisation of outstanding credit (and liquidity) facilities.

EU LIQ1 Quantitative information of LCR

The following table shows weighted and unweighted components and levels for the liquidity coverage ratio (LCR) where the values presented are simple averages of month-end observations over the 12 months preceding the end of each quarter.

LCR disclosure template Consolidated situation		Total unweighted value (average)				Total weighted value (average)			
SEK m		31 Dec 21	30 Sep 21	30 Jun 21	31 Mar 21	31 Dec 21	30 Sep 21	30 Jun 21	31 Mar 21
Number of data points used in the calculation of averages		12	12	12	12	12	12	12	12
HIGH-QUALITY LIQUID ASSETS									
1	Total high-quality liquid assets (HQLA)					778 654	751 877	736 563	743 754
CASH – OUTFLOWS									
2	Retail deposits and deposits from small business customers, of which:	728 198	714 929	702 884	692 218	63 565	62 476	61 573	60 828
3	Stable deposits	345 633	336 663	327 588	318 626	17 282	16 833	16 379	15 931
4	Less stable deposits	382 565	378 266	375 296	373 592	46 283	45 643	45 194	44 897
5	Unsecured wholesale funding	853 831	817 487	798 097	792 250	453 896	427 431	419 388	420 742
6	Operational deposits (all counterparties) and deposits in networks of cooperative banks	367 973	355 203	342 064	330 054	89 246	86 273	83 212	80 387
7	Non-operational deposits (all counterparties)	405 141	388 244	382 038	382 667	283 933	267 118	262 181	260 826
8	Unsecured debt	80 717	74 040	73 995	79 529	80 717	74 040	73 995	79 529
9	Secured wholesale funding					9 046	7 836	7 865	7 099
10	Additional requirements	488 597	487 437	487 468	469 440	63 820	64 874	68 077	68 182
11	Outflows related to derivative exposures and other collateral requirements	15 549	16 633	20 091	21 540	14 685	15 733	19 061	20 565
12	Outflows related to loss of funding on debt products	-	-	-	-	-	-	-	-
13	Credit and liquidity facilities	473 048	470 804	467 377	447 900	49 135	49 141	49 016	47 617
14	Other contractual funding obligations	3 906	4 015	4 039	4 387	3 906	4 015	4 039	4 387
15	Other contingent funding obligations	73 596	75 382	78 143	92 192	1 056	1 036	1 077	1 070
16	TOTAL CASH OUTFLOWS	-	-	-	-	595 289	567 668	562 019	562 308
CASH – INFLOWS									
17	Secured lending (e.g. reverse repos)	43 908	39 236	36 335	32 904	16 296	16 155	17 839	19 569
18	Inflows from fully performing exposures	62 281	62 169	56 694	52 191	36 389	36 255	31 929	28 331
19	Other cash inflows	15 610	14 669	14 827	15 301	15 610	14 669	14 828	15 301
EU-19a	(Difference between total weighted inflows and total weighted outflows arising from transactions in third countries where there are transfer restrictions or which are denominated in non-convertible currencies)	-	-	-	-	-	-	-	-
EU-19b	(Excess inflows from a related specialised credit institution)	-	-	-	-	-	-	-	-
20	TOTAL CASH INFLOWS	121 799	116 074	107 856	100 396	68 295	67 079	64 596	63 201
EU-20a	Fully exempt inflows	-	-	-	-	-	-	-	-
EU-20b	Inflows subject to 90% cap	-	-	-	-	-	-	-	-
EU-20c	Inflows subject to 75% cap	121 799	116 074	107 856	100 396	68 295	67 079	64 596	63 201
21	LIQUIDITY BUFFER					778 654	751 877	736 563	743 754
22	TOTAL NET CASH OUTFLOWS					526 994	500 589	497 423	499 107
23	LIQUIDITY COVERAGE RATIO (%)					149%	151%	149%	150%

EU LIQ2 Net Stable Funding Ratio

The following template shows weighted and unweighted components and level for the Net Stable Funding Ratio (NSFR) at year-end 2021.

a. The main driving forces for the NSFR are issued debt and the deposit base. Group Treasury monitors the deposit base and manages the maturity structure of the issued debt to ensure a stable NSFR. The structure of the liability side should be based on the composition of the assets in order to maintain a sound structural liquidity position. The more long-term lending and other illiquid assets, the more stable financing is required. During the last year the NSFR has continued to be stable. The deposit base, and lending to the public, have increased at a steady pace and the management of the long term issued debt has followed the established plan. The growth in deposits is partly a consequence of the government and central bank policy response to the COVID-19 pandemic.

b. Handelsbanken does not have interdependent assets and liabilities at the reporting period.

Net Stable Funding Ratio 2021		Unweighted value by residual maturity				Weighted value
SEK m		No maturity	< 6 months	6 months to < 1yr	≥ 1yr	
Available stable funding (ASF) Items						
1	Capital items and instruments	184 513	0	0	18 364	202 877
2	Own funds	184 513	0	0	18 364	202 877
3	Other capital instruments		0	0	0	0
4	Retail deposits		760 472	1 605	910	704 382
5	Stable deposits		351 906	166	705	335 173
6	Less stable deposits		408 566	1 439	205	369 209
7	Wholesale funding:		1 136 889	258 785	686 558	1 113 915
8	Operational deposits		387 125	0	0	30 302
9	Other wholesale funding		749 764	258 785	686 558	1 083 613
10	Interdependent liabilities		0	0	0	0
11	Other liabilities:	0	46 738	0	5 239	5 239
12	NSFR derivative liabilities	0				
13	All other liabilities and capital instruments not included in the above categories		46 738	0	5 239	5 239
14	Total available stable funding (ASF)					2 026 413
Required stable funding (RSF) Items						
15	Total high-quality liquid assets (HQLA)					7 927
EU-15a	Assets encumbered for more than 12m in cover pool		0	0	528 615	449 323
16	Deposits held at other financial institutions for operational purposes		0	0	0	0
17	Performing loans and securities:		322 308	226 571	1 374 330	1 223 354
18	Performing securities financing transactions with financial customers collateralised by Level 1 HQLA subject to 0% haircut		11 043	0	0	0
19	Performing securities financing transactions with financial customer collateralised by other assets and loans and advances to financial institutions		31 986	1 628	3 845	6 402
20	Performing loans to non- financial corporate clients, loans to retail and small business customers, and loans to sovereigns, and PSEs, of which:		151 007	108 591	378 555	1 212 006
21	With a risk weight of less than or equal to 35% under the Basel II Standardised Approach for credit risk		9 931	5 483	29 410	780 156
22	Performing residential mortgages, of which:		127 803	116 326	986 504	0
23	With a risk weight of less than or equal to 35% under the Basel II Standardised Approach for credit risk		126 010	112 280	974 859	0
24	Other loans and securities that are not in default and do not qualify as HQLA, including exchange-traded equities and trade finance on-balance sheet products		469	26	5 426	4 946
25	Interdependent assets		0	0	0	0
26	Other assets:		15 890	745	60 553	69 258
27	Physical traded commodities				0	0
28	Assets posted as initial margin for derivative contracts and contributions to default funds of CCPs		0	0	6 518	5 541
29	NSFR derivative assets		7 223			7 223
30	NSFR derivative liabilities before deduction of variation margin posted		4 405			220
31	All other assets not included in the above categories		4 262	745	54 035	56 274
32	Off-balance sheet items		493 595	0	0	24 680
33	Total RSF					1 774 542
34	Net Stable Funding Ratio (%)					114%

EU LIQB on qualitative information on LCR, which complements template EU LIQ1

In accordance with Article 451a(2) CRR

Explanations on the main drivers of LCR results and the evolution of the contribution of inputs to the LCR's calculation over time.

The main drivers of the LCR are issued unsecured debt, non-operational deposits and central bank placements. The goal is to manage these three inputs so that they are highly correlated as regards to volume changes. By controlling these inputs, the Bank has achieved a relatively stable LCR over time.

Explanations on the changes in the LCR over time.

The LCR has been quite stable over time. However, given the nature of the measure there are inevitable fluctuations caused by slight changes in the maturity structure of Handelsbanken's issued debt and also from client activities (e.g. deposits, loans issued/repaid). Changes also occur due to the nature of LCR being a fraction where equal increases, or decreases, in outflows and liquid assets will incur a change in the LCR.

Explanations on the actual concentration of funding sources.

The actual concentration follows from the Bank's funding strategy. The strategy aims for well-diversified funding in terms of currencies, investors, debt types and geographic breakdown. The strategy is long-term and has been followed for many years. The result is a funding structure that is relatively stable over time. The most important sources of funding are deposits from households and companies as well as covered and senior bonds. The short-term funding mainly comprises deposits from financial companies and institutions as well as issues of commercial papers and certificates of deposit.

High-level description of the composition of the institution's liquidity buffer.

The liquidity reserve is built up by several different parts. Cash, central bank balances and liquid securities (government bonds, covered bonds and other securities of very high credit quality). Holdings which can provide Handelsbanken with almost immediate liquidity in normal and stressed situations in the relevant currencies for Handelsbanken.

Derivative exposures and potential collateral calls.

Cash flows stemming from derivative exposures and potential collateral calls are reported in row 11 and 19, where row 11 also includes outflows from the impact of an adverse market scenario on derivatives transactions (the historical look back approach) as well as material outflows due to deterioration of own credit quality.

Currency mismatch in the LCR.

The Bank holds large and relevant liquidity reserves to match the outflows and inflows of LCR in all currencies of relevance for Handelsbanken. The Swedish Financial Supervisory Authority also stipulates a 100% LCR in EUR, USD and 75% LCR in all other significant currencies for Handelsbanken within the framework of the supervisory review and evaluation process in Pillar 2 which the Bank is also obligated to fulfil.

Other items in the LCR calculation that are not captured in the LCR disclosure template but that the institution considers relevant for its liquidity profile.

Not applicable

ENCUMBERED AND UNENCUMBERED ASSETS

EU AE1 Encumbered and unencumbered assets

The following table shows encumbered and unencumbered assets. The information is presented as quarterly medians over the previous 12 months.

Encumbered and unencumbered assets 2021		Carrying amount of encumbered assets		Fair value of encumbered assets		Carrying amount of unencumbered assets		Fair value of unencumbered assets	
		of which notionally eligible EHQLA and HQLA		of which notionally eligible EHQLA and HQLA		of which EHQLA and HQLA		of which EHQLA and HQLA	
SEK m		010	030	040	050	060	080	090	100
010	Assets of the reporting institution	714 452	17 581			2 295 950	108 557		
030	Equity instruments	7 954	0			13 316	0		
040	Debt securities	17 217	17 217	17 217	17 217	105 136	105 136	105 136	105 136
050	of which: covered bonds	2 360	2 360	2 360	2 360	22 275	22 231	22 275	22 231
060	of which: asset-backed securities	0	0	0	0	0	0	0	0
070	of which: issued by general governments	14 110	14 110	14 110	14 110	12 232	12 232	12 232	12 232
080	of which: issued by financial corporations	2 955	2 955	2 955	2 955	26 847	26 644	26 847	26 644
090	of which: issued by non-financial corporations	0	0	0	0	3 850	499	3 846	499
120	Other assets	692 030	352			2 172 215	26		

EU AE2 Collateral received and own debt securities issued

The following table shows collateral received. The information is presented as quarterly medians over the previous 12 months.

Collateral received and own debt securities issued 2021		Fair value of encumbered collateral received or own debt securities issued		Unencumbered Fair value of collateral received or own debt securities issued available for encumbrance	
		of which notionally eligible EHQLA and HQLA		of which EHQLA and HQLA	
SEK m		010	030	040	060
130	Collateral received by the reporting institution	13 496	4 703	39 853	31 343
140	Loans on demand	0	0	0	0
150	Equity instruments	8 814	0	8 864	0
160	Debt securities	4 703	4 703	30 794	30 782
170	of which: covered bonds	1 273	1 273	20 210	20 210
180	of which: asset-backed securities	0	0	0	0
190	of which: issued by general governments	2 866	2 866	7 783	6 525
200	of which: issued by financial corporations	1 504	1 504	21 987	21 987
210	of which: issued by non-financial corporations	0	0	0	0
220	Loans and advances other than loans on demand	0	0	0	0
230	Other collateral received	0	0	0	0
240	Own debt securities issued other than own covered bonds or asset-backed securities	0	0	0	0
241	Own covered bonds and asset-backed securities issued and not yet pledged			0	0
250	Total assets, collateral received and own debt securities issued	733 591	23 996		

EU AE3 Sources of encumbrance

The following table shows sources of encumbrance. The information is presented as quarterly medians over the previous 12 months.

Sources of encumbrance 2021		Matching liabilities, contingent liabilities or securities lent	Assets, collateral received and own debt securities issued other than covered bonds and ABSs encumbered
SEK m		010	030
010	Carrying amount of selected financial liabilities	639 959	713 902

EU AE4 Accompanying narrative information

In accordance with Article 443 CRR

General narrative information on asset encumbrance, including:

An important part of Handelsbanken's liquidity management is to retain significant volumes of unutilised collateral that can be used in the event of disruptions in the financial markets. One prerequisite for being able to pledge additional collateral is for the Bank to have unutilised collateral at its disposal from the outset. The Bank therefore retains substantial volumes of non-encumbered assets that could be used as collateral in the issue of covered bonds. Furthermore, the Bank holds liquid securities with very high credit ratings which can be used as collateral in repo-transactions.

The Bank is restrictive with entering into agreements (such as CSA agreements) with other parties than credit institutions, that stipulate that the Bank, according to certain criteria, may be forced to provide collateral to a counterparty.

To assess the degree of subordination between investors of unsecured funding and secured funding, the volume and credit quality of the non-encumbered assets are important factors. The Bank's low risk tolerance ensures that the non-encumbered assets are of a high quality. Since Handelsbanken wishes to have a balanced utilisation of covered and senior bonds, there is a large volume of mortgage loans which are not encumbered. Other non-encumbered loans are also of a good credit quality and thus available for contingent purposes.

a) an explanation of any difference between the regulatory consolidation scope used for the purpose of the disclosures on asset encumbrance and the scope retained for the application of the liquidity requirements on a consolidated basis as defined in Chapter 2 of Title I of Part Two CRR, which is used to define (E)HQLA eligibility;

There is no difference between the regulatory consolidation scope used for the purpose of the disclosures on asset encumbrance.

b) an explanation of any difference between, on the one hand, pledged and transferred assets in accordance with the applicable accounting frameworks and as applied by the institution and, on the other hand, encumbered assets and an indication of any difference of treatment of transactions, such as when some transactions are deemed to lead to pledge or transfer of assets but not to encumbrance of assets, or vice versa;

There are no differences

c) the exposure value used for the purposes of disclosure and how median exposure values are derived.

The exposure value used for the purposes of disclosure is based on the accounting balances of each counterparty and quarter.

Narrative information relating to the impact of the institution's business model on its level of encumbrance and the importance of encumbrance on the institution's funding model, including the following:

a) the main sources and types of encumbrance, detailing, where applicable, encumbrance due to significant activities with derivatives, securities lending, repos, covered bonds issuance and securitisation;

Encumbrance is primarily a product of covered bonds issuance and to a lesser extent derivatives trading and banking book hedging.

b) the structure of encumbrance between entities within a group, and especially whether the encumbrance level of the consolidated group stems from particular entities and whether there is significant intragroup encumbrance;

The majority of the encumbered assets consist of Stadshypotek's cover pools, which comprise mortgage loans provided as collateral for outstanding covered bonds. There is no significant intragroup encumbrance.

c) information on over-collateralisation, especially regarding covered bonds and securitisations, and the incidence of over-collateralisation on the levels of encumbrance;

The majority of the encumbered assets consist of Stadshypotek's cover pools, which comprise mortgage loans provided as collateral for outstanding covered bonds. The Bank also has voluntary OC (over-collateralisation – extra assets in addition to those which are needed to cover the issued bonds, and in addition to the two per cent statutory requirement) of eight percent which is included in the pool.

d) additional information on encumbrance of assets, collateral and off-balance sheet items and the sources of encumbrance by any significant currencies other than the reporting currency as referred to in Article 415(2) CRR;

There is a small proportion of encumbrance of insignificant currencies other than the reporting currency, approximately 2.7%. Out of those, EUR accounts for 53% and GBP for 39%.

e) a general description of the proportion of items included in column 060 'Carrying amount of unencumbered assets' in Template EU AE1 that the institution would not deem available for encumbrance in the normal course of its business (e.g. intangible assets, including goodwill, deferred tax assets, property, plant and other fixed assets, derivative assets, reverse repo and stock borrowing receivables);

The proportion of items included in column 060 'Carrying amount of unencumbered assets' in Template EU AE1 that the Bank deem as not available for encumbrance in the normal course of business amounts to approximately 2.6%. This consist of intangible assets such as goodwill, deferred tax assets, property, plant and other fixed assets, derivative assets, reverse repo and stock borrowing receivables. As a result of the previous communicated divestment of Finland and Denmark a decision was made during the last quarter that these parts of the banks balance sheet are not to be considered available for encumbrance due to the uncertainty of the timing of the future divestment. These assets account for 17% of the available assets.

f) the amount of underlying assets and of cover pool assets of retained securitisations and retained covered bonds, and whether those underlying and cover pool assets are encumbered or unencumbered, along with the amount of associated retained securitisations and retained covered bonds;

The Bank does not have any retained securitisations nor retained covered bonds.

g) where relevant for explaining the impact of their business model on their level of encumbrance, details (including quantitative information if relevant) on each of the following:
Not relevant.

h) where relevant in the context of their use of encumbrance in relation to their business model, additional information on the breakdown of the following rows in the templates EU AE1, EU AE2 and EU AE3:
Not relevant.

Market risk

Handelsbanken aims to have low market risks and low volatility in its earnings. Market risks mainly arise in Handelsbanken Capital Markets as a result of customer-driven transactions, in its role as market maker and in connection with the Bank's funding and liquidity management. In addition, market risk arises in the pension system. Market risks arise from price and volatility changes in the financial markets. Market risks are divided into interest rate risk, equity price risk, foreign exchange risk and commodity price risk.

EU MRA Qualitative disclosure requirements related to market risk

Points (a) and (d) of Article 435 (1) CRR.

A description of the institution's strategies and processes to manage market risk, including:

- An explanation of management's strategic objectives in undertaking trading activities, as well as the processes implemented to identify, measure, monitor and control the institution's market risks
- A description of their policies for hedging and mitigating risk and strategies and processes for monitoring the continuing effectiveness of hedges

Handelsbanken has a restrictive view of market risks. Essentially, market risks in the banking operations are only taken as part of meeting customer's investment and risk management needs. Market risks must be limited by matching cash flows and interest rate adjustment periods, hedging open positions and taking other actions to limit risk. Market risks at Handelsbanken are thus very low. One result of the low market risks is that a small fraction of the Bank's earnings comes from net gains/losses on financial transactions.

In Handelsbanken's operations, market risks arise when the Bank's customers request services for which the Bank must have flexible funding. The Bank can also obtain funding on other markets than those where it has its lending so that it can diversify its sources of funding. The funding can also have different interest rate adjustment periods than the assets which it finances. In addition, market risks can arise in Group Treasury's liquidity portfolio, which can be converted into liquidity at short notice in conjunction with possible disruptions in the markets where the Bank conducts its operations. The portfolio secures the Group's payments in the daily clearing operations and forms part of the Bank's liquidity reserve. Market risks also arise to meet customers' demand for financial instruments with exposure to the fixed income, foreign exchange, equity or commodity markets. As a consequence, it may be necessary for the Bank to hold certain positions. This situation arises for example when the Bank has undertaken to quote prices in its role as a market maker. Market risks in the Bank's business operations arise – and thus are managed – mainly at Group Treasury and Handelsbanken Capital Markets. In addition, market risks also arise as part of Handelsbanken Liv's operations.

The Bank's limit system restricts the size of the exposure to market risks. Measurement methods and limits are established by the Board. The CFO has the functional responsibility for liquidity and funding, while the Head of Group Treasury, who reports to the CFO, is responsible for the Group's liquidity and funding. This responsibility includes managing the Group's liquidity, foreign exchange and interest rate risks in its banking operations. The limits for interest rate, foreign exchange and liquidity risk are allocated by the CEO and CFO to the Head of Group Treasury, who in turn allocates these to the business-operating units. Limits for equity price risk and commodity price risk are allocated directly to Capital Markets by the CFO. The CEO and the CFO also decide on supplementary risk measures, intraday limits and detailed guidelines. The supplementary limit measures aim to reduce the Bank's sensitivity to volatility changes in the financial markets, and to limit the risks of specific holdings and the liquidity risk per currency. These measures also limit the risks from a maturity

perspective. The CFO, CEO and Board continually receive reports on the market risks and utilisation of the limits.

Market risks are measured using several different methods. The sensitivity measures used show which changes in value would occur in the event of predefined changes in prices and volatilities. Position-related risk measures and probability-based Value at Risk models (VaR) are also used.

Point (b) of Article 435 (1) CRR.

A description of the structure and organisation of the market risk management function, including a description of the market risk governance structure established to implement the strategies and processes of the institution discussed in row (a) above, and that describes the relationships and the communication mechanisms between the different parties involved in market risk management.

Handelsbanken's Board has overall responsibility for the Bank's market risk management and establishes internal rules for this. The Board establishes policy documents and the CEO establishes guidelines describing how various market risks should be managed and reported. The financial policy describes the Bank's risk tolerance and risk strategy, and applies to the entire Group. The CFO issues instructions that are approved by the Central Board's risk committee. These instructions include details of risk management and strategy. The Head of Group Treasury has the responsibility for managing the Group's foreign exchange and interest rate risks in its banking operations. Risk Control has the responsibility for risk measurement and methodology, and monitors business operations' risk management.

For market risks, the Central Board sets total limits for the entire Handelsbanken Group for each type of risk. The limits are then delegated through the Group Chief Executive to the CFO. The limits for interest rate risk and exchange rate risk delegated by the Group Chief Executive to the CFO are then further allocated by the CFO to the Head of Treasury, who has overall responsibility for these Asset Liability Management (ALM) risks. The Head of Treasury in turn further allocates the limits to the business-operating units and also issues guidelines to smaller units. These guidelines are followed up as if they were limits. Limits for equity and commodity risk are allocated directly to the business-operating units by the CFO. The CFO also issues supplementary limitations and rules in a limit decision for derivatives trading at the investment bank. The investment bank then further limits its risk-taking by means of instructions.

Point (c) of Article 435 (1) CRR.

Scope and nature of risk reporting and measurement systems

The Bank's limit system restricts the size of the exposure to market risks. Measurement methods and limits are established by the Board. The CFO has the functional responsibility for liquidity and funding, while the Head of Group Treasury, who reports to the CFO, is responsible for the Group's liquidity and funding. This responsibility includes managing the Group's liquidity, foreign exchange and interest rate risks in its banking operations. The limits for interest rate, foreign exchange and liquidity risk are allocated by the CEO and CFO to the Head of Group Treasury, who in turn allocates these to the business-operating units. Limits for equity price risk and commodity price risk

MARKET RISK

are allocated directly to Capital Markets by the CFO. The CEO and the CFO also decide on supplementary risk measures, intraday limits and detailed guidelines. The supplementary limit measures aim to reduce the Bank's sensitivity to volatility changes in the financial markets, and to limit the risks of specific holdings and the liquidity risk per currency. These measures also limit the risks from a maturity perspective. The CFO, CEO and Board continually receive reports on the market risks and utilisation of the limits.

Market risks are measured using several different methods. Value at Risk (VaR) is calculated for the portfolios at Handelsbanken Capital Markets and Group Treasury that are classified as trading book. VaR is a probability-based measure and expresses the losses in Swedish kronor that may arise in risk positions due to movements in the underlying markets over a specified holding period and for a given confidence level.

General interest rate risk is measured daily, and limits are set as the absolute sum of the least favourable changes in fair value per currency in the case of substantial instantaneous upward or downward parallel shifts of one percentage point for all interest rates. Specific interest rate risk is measured and limits set using sensitivity to changes in credit spreads, that is, the difference between the interest on the current holding and the yield on a government bond with the same maturity. The risk is measured and limits set on the basis of different rating classes, calculated as the least favourable change in market value in the case of an upward or downward shift of one basis point in all credit spreads.

Yield curve twist risks, which show changes in the risks in the case of hypothetical changes in various yield curves, are measured and followed up on a regular basis. The non-linear interest rate risk, for example, part of the risk in interest rate options, is measured and a limit set with pre-defined stress scenarios expressed in matrices. This means that the risk is measured as changes in underlying market

interest rates and volatilities. VaR and other risk measures are also used for the trading book, supplemented by various stress scenarios.

To estimate the effect of interest rate changes on the income statement, the net interest income effect is also measured. The net interest income effect when interest rates change is measured as the change in net interest income over a twelve-month period in the case of a general increase of market rates by one percentage point. This effect reflects the differences in interest rate adjustment periods and volume composition between assets, liabilities and derivatives outside the trading book, assuming that the size of the balance sheet is constant.

Equity price risk is measured as the market value change in the Bank's total equity positions in the case of an instantaneous change in equity prices of +/-10 per cent and in volatilities of +/-25 per cent.

The structural foreign exchange risk is managed by considering the trade-off between the respective impacts of foreign exchange movements on either capital ratios or equity. The Board has established the maximum impact on equity which the structural foreign exchange position is permitted to give rise to in the hedging of the common equity tier 1 ratio. The Board, the CEO and the CFO have also set VaR limits and position limits for foreign exchange risk for non-structural risk, i.e. in the trading and banking book operations.

Commodity price risk, both linear and non-linear, is measured as the absolute total of risk for all commodities to which the Bank is exposed.

EU MR1 Market risk under the standardised approach

The following table shows RWEAs for market risk according to the standardised approach at year-end 2021

Market risk under the standardised approach 2021		RWEAs
SEK m		
Outright products		
1	Interest rate risk (general and specific)	2 484
2	Equity risk (general and specific)	20
3	Foreign exchange risk	4 457
4	Commodity risk	12
Options		
5	Simplified approach	-
6	Delta-plus approach	-
7	Scenario approach	172
8	Securitisation (specific risk)	-
9	Total	7 145

IRRBB

EU IRRBBA Qualitative information on interest rate risks of non-trading book activities**Article 448(1), point (e).**

A description of how the institution defines IRRBB for purposes of risk control and measurement

Interest rate risk is defined as the risk of earnings and the economic value being affected in an adverse manner for the Bank, as a result of fluctuations in interest rates and volatilities. Exposure to interest rate risk in the banking book is divided into general and specific risk (credit spread risk). The general interest rate risk is measured as the change in the economic value of all interest rate risk sensitive items on and off the balance sheet given a momentaneous 100 bp change in interest rate curves. The specific interest rate risk is calculated as the changes in economic value for credit-sensitive securities given a one basis point parallel shift in the current credit spread. This is calculated by rating level, sector and by individual counterparty.

The regulatory capital requirement for interest rate risk is measured on the basis of the EBA guidelines. Model and parametric assumptions are different where the Swedish FSA has additional requirements (FI dnr 19-4434). The internal capital assessment for IRRBB is included in the Bank's model for economic capital. IRRBB in the economic capital model is based on empirical scenarios for general interest rate risk, credit spread risk and basis spread risk. Scenarios span from the 1980s to the present day and cover the Swedish banking crisis in the early 1990s, the Financial crisis of 2008 and the Covid-19 pandemic.

Interest rate risk limit utilisation is measured daily. The regulatory capital requirement for IRRBB is calculated daily and reported quarterly to senior management and the Board. IRRBB in the Economic capital model is calculated monthly but may be calculated on a daily basis if deemed necessary. Internal hedges and the boundary between the trading and the non-trading book are monitored and regularly evaluated.

Net interest income stress testing is included in Group-wide stress and scenario analysis. It provides forward-looking assessments of risk and provides indications of how much capital might be needed to absorb losses in adverse market conditions. The various scenarios are formulated by Group Risk Control and Group Capital Management. The selected scenarios all represent possible adverse economic trends for the Bank. Scenario analysis is conducted regularly, at least quarterly.

Article 448(1), point (f).

A description of the institution's overall IRRBB management and mitigation strategies.

The Board determines the overall market risk tolerance and sets limits for the entire Group within each type of risk. The Bank applies a hierarchical limit structure for financial risks where a set of limits is delegated from the Board to the CEO and, in turn, to the CFO. The CFO has the functional responsibility for the Bank's liquidity and funding, and manages the Bank's interest rate risks in the banking operations in accordance with internal and external rules and regulations. The CFO allocates ALM-limits to the Head of Group Treasury, who is responsible for the management of ALM throughout the group and allocates ALM-limits to the various business units. Group Risk Control is responsible for identifying, measuring, analysing and reporting interest rate risks. Interest rate risks and limit utilisation for Handelsbanken Group Treasury, the mortgage loan business and other operations, are checked and summarised on a daily basis.

Group Risk Control calculates the capital requirement for IRRBB both according to regulatory requirements and according to the Bank's internal model for economic capital. The CRO, CFO, CEO and Board continually receive reports on the market risks, utilisation of the limits and capital requirements. Group Audit regularly reviews whether risk measurement and reporting are being undertaken in compliance with internal rules and regulatory requirements.

According to internal policies, the Bank's funding must be well-diversified in terms of markets, currencies and maturities. When the Bank obtains funding on other markets than the primary lending currencies, foreign exchange risk arises. Derivatives are used to transform the duration and currency of assets and liabilities in order to reach a suitable match and ensuring stable earnings. Derivatives in the banking book consists solely of vanilla instruments: interest rate swaps, cross currency basis swaps, FX-swaps and bond futures. In addition, there are also legacy holdings in interest rate options (caps) hedging mortgage loans with interest rate caps. The maturity profile of the funding is matched to that of the lending in order to restrict interest rate risk. In general, interest rate risk exposure is in markets which are characterised by good liquidity.

Article 448(1), points (e) (i) and (v); Article 448(2).

The periodicity of the calculation of the institution's IRRBB measures, and a description of the specific measures that the institution uses to gauge its sensitivity to IRRBB

Interest rate risk limit utilisation is evaluated daily. The regulatory capital requirement for IRRBB is calculated daily and reported quarterly to senior management and the Board. IRRBB in the Economic capital model is calculated monthly but may be calculated on a daily basis if deemed necessary. Internal hedges and the boundary between the trading and the non-trading book are monitored and regularly evaluated. Net interest income stress testing is conducted regularly and reported quarterly to senior management and the Board.

Article 448(1), point (e) (iii); Article 448(2).

A description of the interest rate shock and stress scenarios that the institution uses to estimate changes in the economic value and in net interest income (if applicable)

The general interest rate risk limit is measured as the change in profit and economic value of all interest rate risk sensitive items on and off the balance sheet when there is a 100 bp change in current interest rate levels. Non-parallel gap risk limit is measured as steepening scenario (short rates fall and long rates increase), short rates down scenario, long rates down scenario, and mid rates down scenario. The specific interest rate risk limit is calculated as the changes in value for credit-sensitive holdings in the case of a one basis point parallel shift in current credit spreads.

The regulatory capital requirement for interest rate risk is measured based on the EBA guidelines. Model and parametric assumptions are detailed by the Swedish FSA (FI dnr 19-4434). The Internal capital assessment for IRRBB is included in the Bank's model for Economic capital. IRRBB in the economic capital model is purely based on empirical scenarios for general interest rate risk, credit spread risk and basis spread risk. Scenarios span from the 1980s to the present day and cover the Swedish banking crisis in the early 1990s, the Financial crisis of 2008 and the Covid-19 pandemic. Net interest income stress testing include various scenarios formulated by Group Risk Control and Group Capital Management. The selected scenarios all represent possible adverse economic trends for the Bank. Net interest income is also measured and reported for a 100 bp parallel shift of interest curves over a one year horizon.

MARKET RISK

Article 448(1), point (e) (ii); Article 448(2).

A description of the key modelling and parametric assumptions different from those used for disclosure of template EU IRRBB1 (if applicable)

The general interest rate risk limit is measured as the change in profit and economic value of all interest rate risk sensitive items on and off the balance sheet when there is a 100 bp change in current interest rate levels. Non-parallel gap risk limit is measured as steepening scenario (short rates fall and long rates increase), short rates down scenario, long rates down scenario, and mid rates down scenario. The specific interest rate risk limit is calculated as the changes in value for credit-sensitive holdings in the case of a one basis point parallel shift in current credit spreads.

The regulatory capital requirement for interest rate risk is measured based on the EBA guidelines. Model and parametric assumptions are detailed by the Swedish FSA (FI dnr 19-4434). The Internal capital assessment for IRRBB is included in the Bank's model for Economic capital. IRRBB in the economic capital model is based on empirical scenarios for general interest rate risk, credit spread risk and basis spread risk. Scenarios span from the 1980s to the present day and cover the Swedish banking crisis in the early 1990s, the Financial crisis of 2008 and the Covid-19 pandemic. Net interest income stress testing includes various scenarios formulated by Group Risk Control and Group Capital Management. The selected scenarios all represent possible adverse economic trends for the Bank. Net interest income is also measured and reported for a 100 bp parallel shift of interest curves over a one year horizon.

Article 448(1), point (e) (iv); Article 448(2)

A high-level description of how the bank hedges its IRRBB, as well as the associated accounting treatment (if applicable).

Interest rate risk in the banking book is generally hedged at portfolio level. Derivatives are used to transform the duration and currency of assets and liabilities in order to reach a suitable match and ensuring stable earnings. The Bank employs hedge accounting to hedges and hedged items.

Article 448(1), point (c); Article 448(2).

A description of key modelling and parametric assumptions used for the IRRBB measures in template EU IRRBB1 (if applicable)
Not applicable

Article 448(1), point (d).

Explanation of the significance of the IRRBB measures and of their significant variations since previous disclosures

The regulatory capital requirement for IRRBB is calculated daily and reported quarterly to senior management and the Board. Regulatory capital is evaluated together with the internal capital requirement for IRRBB calculated in Handelsbanken's model for economic capital and with the results from internal models for IRRBB.

i) Any other relevant information regarding the IRRBB measures disclosed in template EU IRRBB1 (optional)

Until the regulatory technical standards under Articles 84 and 98(5a) CRD have been finalised, regarding the specifications for net interest income scenarios and definitions, Handelsbanken instead discloses the internal measure for the net interest income effect in the Annual Report, Note G2 Risk and capital management, Market risk section.

Supervisory shock scenarios in the IRRBB1 template are the six interest rate shock scenarios for measuring EVE as described in Annex III in the EBA Guidelines with the required modifications described in Finansinspektionen FI dnr 19-4434.

(1) (2) Article 448(1), point (g).

Disclosure of the average and longest repricing maturity assigned to non-maturity deposits

Based on the EBA guidelines and parametric assumptions detailed by the Swedish FSA (FI dnr 19-4434), the Bank applies a duration of 0.31 years for non-maturity deposits on average and 1 year as the longest. The equivalent for core is 0.75 and 1.

EU IRRBB1 Interest rate risks of non-trading book activities 2021

Interest rate risks of non-trading book activities 2021		Changes of the economic value of equity		Changes of the net interest income	
Supervisory shock scenarios					
SEK m		Current period	Last period	Current period	Last period
1	Parallel up	-5 549			
2	Parallel down	3 076			
3	Steepener	1 155			
4	Flattener	-2 961			
5	Short rates up	-4 860			
6	Short rates down	2 828			

Credit risk

Handelsbanken's low risk tolerance is maintained by means of a strong credit policy and credit culture. The Bank's credit policy states that credits must normally have satisfactory collateral. A weak repayment capacity can never be accepted on the grounds that good collateral has been offered to the Bank. The same principles for the Bank's approach to risks apply in all countries where the Bank operates and are sustainable over time. The decentralised work method with a local connection and the Bank's approach to risks are important reasons for the Bank reporting very low credit losses over a long period.

CREDIT QUALITY

EU CRA General qualitative information about credit risk

Institutions shall describe their risk management objectives and policies for credit risk by providing the following information:

In the concise risk statement in accordance with point (f) of Article 435(1) CRR, how the business model translates into the components of the institution's credit risk profile.

See table EU OVA.

When discussing their strategies and processes to manage credit risk and the policies for hedging and mitigating that risk in accordance with points (a) and (d) of Article 435(1) CRR, the criteria and approach used for defining the credit risk management policy and for setting credit risk limits.

The Board has overall responsibility for the Bank's risk management and establishes internal rules for this. The Board establishes various steering documents and the CEO establishes guidelines describing how risks should be managed and reported.

The Bank's operations entail a variety of risks that are systematically identified, measured, managed and reported in all parts of the Group. Handelsbanken's restrictive approach to risk means that the Bank deliberately avoids high-risk transactions. This low risk tolerance is maintained through a strong risk culture that is sustainable in the long term and applies to all areas of the Group. The risk culture is an integral part of the Bank's work and is deeply rooted among the Bank's employees. The Bank is characterised by a clear division of responsibility where each part of the business operations bears full responsibility for its business and for risk management. As a consequence, there are strong incentives for high risk awareness and for prudence in business operations. However, the decentralised business model is combined with strong centralised controls. The same principles for the Bank's approach to risks apply in all countries where the Bank operates.

The credit policy and credit instructions describe the Bank's risk tolerance including credit risk limits and risk strategy, and applies to the entire Group. These steering documents are evaluated and adopted by the Board on an annual basis. Handelsbanken has a low tolerance of credit risks and strives to maintain its historically low level of credit losses compared to other banks.

The branch has full financial responsibility for granted credits. Therefore, it addresses problems that arise when a customer has repayment difficulties and also bears any credit losses. If necessary, the local branch obtains support from the local head office and central departments. The Bank makes sure that all employees whose work involves transactions linked to credit risk acquire a solid and well-founded approach to this type of risk. This approach forms an important part of the Bank's culture. The work method and approach described are important for the Bank reporting very low credit losses over a long period. Customer and credit responsibility lies with the branch manager or with the employees appointed by the manager of the local branch. In Handelsbanken's decentralised organisation, the documentation that forms the basis for credit decisions is always prepared by the branch responsible for the credit, regardless of whether the final decision is to be made at the branch, at local level, in the Board's credit committee or by the Board. The Bank has an

established method with criteria for evaluating customers which is laid down by the Board in the credit policy. Branch managers and most branch staff have personal decision limits allowing them to decide on credits to the customers they manage. For decisions on larger credit limits, there are local and central decision levels. Each additional level of decision adds credit expertise. Each decision level has the right to reject credit limits both within their own decision level and also credit limits which would otherwise have been decided at a higher level. All staff throughout the decision process who are responsible for granting credits, regardless of level, must be in agreement in order to positively decide on a credit limit. If there is the slightest doubt among any of these staff, the credit application is rejected. The largest credits are reviewed by Group Credits and decided by the Board or the credit committee set up by the Board. However, no credit application may be processed in the Bank without the recommendation of the branch manager who is responsible for the credit, with the exception of retail credit commitments made via automatic processes. In Handelsbanken's decentralised organisation, where a large proportion of the credit and credit limit decisions are made by individual branches, a well-functioning review process is crucial for ensuring high-quality decision-making. The branch manager examines the quality of the staff's decisions and the local credit departments examine the quality of decisions made by branch managers. The purpose of the quality review is to ensure that the Bank's credit policy and internal instructions are complied with, that credit quality is maintained, and that credit and credit limit decisions show that there is good credit judgement and a sound business approach. A corresponding quality review is also performed for credit limit decisions made at higher levels in the Bank. Credit limits granted by local credit committees and The Country Board are examined by Group Credits, which also prepares and examines credit limits decided by the Board or the credit committee set up by the Board.

The Policy for risk control states that Handelsbanken should have a risk control function that is independent of the functions that are to be monitored. Risk control should be enforced regarding all material risks in Handelsbanken, with the exception of compliance risks, which are within the purview of Group Compliance. The risk control function should verify that all material risks to which the Group is exposed, or may be exposed in the future, are identified and managed by the relevant functions, and should also supervise and monitor the Group's risk management. In addition, the function must identify risks arising as a result of deficiencies in the Group's risk management. The risk control function should also verify that every business unit monitors all its material risks in an efficient manner.

The Bank's credit policy states that credits should have satisfactory collateral. A weak repayment capacity can never be accepted on the grounds that good collateral has been offered to the Bank. Collateral may, however, substantially reduce the Bank's loss if the borrower cannot fulfil his or her obligations. Credits must therefore be adequately secured. The local branch's close contact with its customers enables the branch to quickly identify any problems and take action. In many cases, this means that the Bank can take action more rapidly than would have been possible with a more centralised management of problem loans. The Bank's measures to limit its credit risk include the acceptance of collateral from customers. The primary means of reducing credit risk in the Bank is the pledging of immovable

CREDIT RISK

property, such as residential properties and other real estate, floating charges on assets, guarantees (including guarantor commitments) and the use of netting agreements.

The basic principle applied in property finance is that credits must be covered by collateral in the form of properties. For exposures with properties as collateral, a loan-to-value (LTV) ratio is calculated by dividing the credit exposure by the market value of the collateral. The Bank follows internal recommendations and external regulations which limit the maximum amount of a loan for which the collateral is property.

The value of collateral is reviewed in accordance with internal instructions, on an annual basis for commercial properties and every third year for residential properties, and is based on the estimated market value. If the market value is deemed to have declined and the value of the collateral has therefore diminished, reviews are carried out more often.

The size of counterparty exposures is restricted by credit limits in the regular credit process. The size of the exposures may vary substantially due to fluctuations in the price of the underlying asset. In order to take into account the risk that the exposure may increase, supplements are added to the value of the exposure when setting credit limits. These add-ons are calculated using standard amounts that depend on the type of contract and the time to maturity. The exposures are calculated and followed up daily. The counterparty risk in derivatives is reduced through close-out netting agreements, which involve offsetting positive values against negative values in all derivative transactions with the same counterparty. Netting agreements are supplemented with agreements for issuing collateral for the net exposure (Credit Support Annex, CSA), which further reduce the credit risk. The collateral for these transactions is mainly cash, but government securities are also used. Due to the high proportion of cash, the concentration risks in the collateral are limited. The majority of Handelsbanken's agreements include close-out netting, and the agreements with the largest exposures also include CSAs. Derivatives which are cleared via central counterparties also give rise to capital requirements. Central counterparties are clearing houses which act as the counterparty for both the buyer and seller in various transactions, and thus take over the responsibility for fulfilling the parties' obligations.

All parties that use a central counterparty must provide collateral for all transactions. In most cases the risk weight for centrally cleared derivatives is considerably lower than for other types of derivatives.

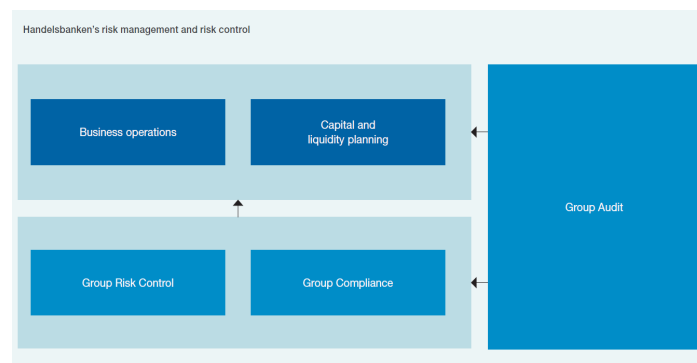
When informing on the structure and organisation of the risk management function in accordance with point (b) of Article 435(1) CRR, the structure and organisation of the credit risk management and control function.

At Handelsbanken, the credit process is based on a conviction that a decentralised organisation with local connection ensures high quality in credit decisions. The Bank is a relationship bank whose branches maintain regular contact with the customer. This gives the branch an in-depth knowledge of each individual customer and a continually up-to-date picture of the customer's financial situation.

In Handelsbanken's decentralised organisation, a well-functioning review process, involving the local credit department and Group Credits, is crucial for ensuring high-quality decision-making. The branch manager examines the quality of the staff's decisions and the local credit departments examine the quality of decisions made by branch managers. A corresponding quality review is also performed for credit limit decisions made at higher levels in the Bank. The purpose of the quality review is to ensure that the Bank's credit policy and internal instructions are complied with, that credit quality is maintained, and that credit and credit limit decisions show that there is good credit judgement and a sound business approach. Credit limits granted by county or national credit committees and national boards are examined by Group Credits, which also prepares and examines credit limits decided by the Board or the credit committee set up by the Board.

The Central Board's Policy for risk control states that the risk control should be independent from the functions it monitors. Handelsbanken's Framework for risk control also shows that the independent risk control and risk control units for subsidiaries are independent and organisationally separated from the units they monitor. Risk Control's role and independence from the operations under review is reported in Handelsbanken's Corporate Governance Report, for example.

When informing on the authority, status and other arrangements for the risk management function in accordance with point (b) of Article 435(1) CRR, the relationships between credit risk management, risk control, compliance and internal audit functions.



Group Credits, business operations, bears the overall responsibility for the Bank's credit process, and for preparing every major credit case that the Board's credit committee or the Board as a whole decides on. The head of the department, Handelsbanken's Chief Credit Officer, reports to the CEO and is a member of the credit committee established by the Board. The Chief Credit Officer also reports to the Board about losses and risks in the credit portfolio.

Group Risk Control, is responsible for independent monitoring and control of the credit risk management carried out by the business operations, the first line of defence. Group Risk Control is further responsible for identifying, measuring, analysing and for continuously reporting the current credit risk situation in the Group to the Bank's management and Board internally at an aggregated level. The risk control function is also responsible for ensuring that the measurement methods used for the calculation of capital requirements are fit-for-purpose and also for regularly evaluating the IRB system. Group Risk Control reports continually to the CEO and on a regular basis to the risk committee and the Central Board.

The Group Internal Audit organisation, the third line of defence, is governed by and reports to the Board. It performs independent periodic reviews and verifies that Group Risk Control and the Group Credit and the business operations' risk management is adequate and compliant. The internal auditors are in turn evaluated by external auditors.

The primary responsibilities of the compliance function are to work actively to ensure a high level of compliance within the Group and to ensure that Handelsbanken's low risk tolerance regarding non-compliance is fulfilled. The compliance function also manages public authority contacts related to supervisory cases. The compliance function is independent and organisationally separated from the functions and areas to be monitored and controlled. The Head of Group Compliance reports regularly to the CEO, the risk committee and the Board on matters regarding compliance.

EU CRB Additional disclosure related to the credit quality of assets.

The scope and definitions of 'past-due' and 'impaired' exposures used for accounting purposes and the differences, if any, between the definitions of past due and default for accounting and regulatory purposes as specified by the EBA Guidelines on the application of the definition of default in accordance with Article 178 CRR.

"Past-due" is defined as a borrower having an unsettled, overdue payment (interest, repayment instalment or fee not paid by the due date). The definition of "impaired" is identical with the definition of default. There is no difference between the definitions of past due and default for accounting and regulatory purposes.

The extent of past-due exposures (more than 90 days) that are not considered to be impaired and the reasons for this.

There are some cases where exposures that are more than 90 days past-due are not considered to be impaired. Those cases are: either the past-due amount is insignificant or the reason for the overdraft is technical, meaning that it has been caused by deficiencies in system outside the control of the customer and the customer is not considered to be in default for any other reason. The definition of insignificant is:

For retail exposures (Private individuals and Small companies) default is reported when the unpaid, overdue amount exceeds the equivalent of

- 1) SEK 1 000, and
- 2) 1% of the agreement's exposure

For corporate exposures (Corporate, Bank, Sovereign and Municipality), when the unpaid, overdue amount exceeds the equivalent of

- 1) SEK 5 000, and
- 2) The relative threshold of 1% of the borrower's total exposure in Handelsbanken.

Description of methods used for determining general and specific credit risk adjustments.

In the Capital Requirements Regulation (CRR), credit risk adjustments are loss provisions that are divided into two categories: specific and general. The term 'Credit risk adjustments' in CRR corresponds to 'provisions' in accounting rules. Expected credit losses (ECL) determined in accordance with IFRS 9 correspond to Specific Credit Risk Adjustments in CRR.

The impairment rules presented in IFRS 9 apply to financial assets at amortised cost, financial assets at fair value through other comprehensive income, as well as financial guarantees and other irrevocable commitments, and are based on a model for the recognition of expected credit losses (ECL). The assets to be tested for impairment are divided into three stages, depending on the degree of credit impairment.

- Stage 1 comprises financial assets with no significant increase in credit risk since initial recognition.
- Stage 2 comprises financial assets with a significant increase in credit risk since initial recognition, but for which there is no objective evidence that the claim is credit-impaired at the time of reporting.
- Stage 3 comprises financial assets for which objective circumstances have been identified indicating that the claim is credit-impaired.

In order to cover the effects of the Covid-19 crisis on certain specific sectors, where the assessment has been made that the effects are not fully captured in the models for calculating expected credit losses in stage 1 and stage 2, a "Covid add-on" has been introduced. The add-on to the ECL (expected credit losses) consists of the difference between the effects from a stressed scenario and the model based calculations for actual sub-portfolios. The add-on complements the results from the model calculations.

Model-based calculation

The quantitative models which form the basis for the calculation of expected credit losses for agreements in Stage 1 and Stage 2 make use of several assumptions and assessments. One key assumption is that the quantifiable relationships between macroeconomic risk factors and risk parameters in historical data are representative of future events. The quantitative models applied are based on a history of approximately 10 years, although this history varies by product and region due to inconsistency in the availability of historical outcomes. The quantitative models have been constructed with the help of econometric models, applying the assumption that the observations are independently conditioned by the risk factors. This means that the risk parameters can be predicted without distortion. Furthermore, a selection of the most significant macroeconomic risk factors is made on the basis of the macroeconomic risk factors' ability to demonstrate to individual risk parameters. The selection of the macroeconomic risk factors and specification of the model are based on achieving a balance between simplicity, demonstrative ability and stability. Manual and expert-based calculation as a rule, manual calculation is used for agreements in Stage 3, with the exception of a small portfolio of homogeneous claims in Stage 3. Expert-based calculation is carried out for model outcomes on agreements in Stage 1 and Stage 2, in order to incorporate the estimated impact of factors not deemed to have been considered in the model, as well as for manually assessed agreements in Stage 3.

The institution's own definition of a restructured exposure used for the implementation of point (d) of Article 178(3) CRR specified by the EBA Guidelines on default in accordance with Article 178 CRR when different from the definition of forbore exposure defined in Annex V to Commission Implementing Regulation (EU) 680/2014.

Forborne exposure is defined as debt contracts to which forbearance measures have been extended. Forbearance measures are concessions towards debtors facing, or about to face, difficulties in meeting their financial commitments. Pursuant to regulations from the EBA, the Bank is required to manage credit agreements where the borrower has insufficient payment capacity at an early stage. At the stage where there are already delays to payment for a credit agreement, or where there are suspicions that payment will be delayed, the Bank must take action. If changes to credit terms and conditions, or other terms and conditions affecting the credit agreement, are made by the Bank to facilitate payment, this is to be considered forbearance. However, it is important that the granting of forbearance does not delay the implementation of any further necessary measures, such as managing credit losses. Forbearance on a credit includes both concessions in terms and conditions for existing credits and concessions through the issuance of new credit used to fully or partially repay existing credits. For the concession to be considered forbearance, all of the following conditions must be met:

- The borrower has, or is going to have, financial difficulties.
- The borrower is no longer able to fulfil existing credit terms and conditions.
- The concession gives a benefit that the borrower would have been unable to attain without having, or being about to have, financial difficulties.

When assessing forbearance measures, a simultaneous assessment is to be made as to whether payment is unlikely, in which case default should be reported.

All contractual including overdrafts, credit cards, loans and committed loan offers (revocable and irrevocable) are considered credit agreements, as are debt instruments, although not when these are held by the Bank for trading purposes. Committed loan offers refer to agreed or contracted loan facilities. Changes to credit terms and conditions for financially stable borrowers are not normally considered forbearance.

CREDIT RISK

When the following indications are identified, default is set automatically.

- If the decided forbearance measures result in the classification of the concession as material.
- If a concession is granted to a customer who has one or more other agreements that are in default, the agreement with the concession is placed in default.
- If an agreement is 30 days late and has previously been in default, the agreement is placed in default because of the delay, even if it is only a matter of 30 days.
- If a new concession is granted to a customer that already has a concession, the agreement is placed in default (this is also how it is coded).
- If the agreement is in a trial period according to the regulations for 'non-performing' agreements and the customer is granted a concession, the agreement is placed in default and classified as a distressed restructuring.

EU CQ1 Credit quality of forborne exposures

Gross carrying amount of forborne exposures and the related accumulated impairment, provisions, accumulated change in fair value due to credit risk, and collateral and financial guarantees received, according to the scope of regulatory consolidation in accordance with Chapter 2 of Title II of Part One of the CRR.

Credit quality of forborne exposures 2021		Gross carrying amount/nominal amount of exposures with forbearance measures				Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions		Collateral received and financial guarantees received on forborne exposures	
		Non-performing forborne						Of which collateral and financial guarantees received on non-performing exposures with forbearance measures	
SEK m		Performing forborne	Of which defaulted	Of which impaired	On performing forborne exposures	On non-performing forborne exposures			
005	Cash balances at central banks and other demand deposits								
010	Loans and advances	6 428	4 745	4 520	3 233	-153	-1 381	6 758	2 184
020	Central banks	2	0	0	0	0	0	0	0
030	General governments	0	43	43	43	0	-18	25	25
040	Credit institutions	0	0	0	0	0	0	0	0
050	Other financial corporations	36	1	1	1	0	-1	33	0
060	Non-financial corporations	4 011	3 438	3 412	2 581	-132	-1 032	3 695	1 363
070	Households	2 379	1 263	1 064	608	-21	-330	3 005	796
080	Debt Securities	0	0	0	0	0	0	0	0
090	Loan commitments given	575	150	139	117	-25	-60	112	26
100	Total	7 003	4 895	4 659	3 350	-178	-1 441	6 870	2 210

EU CQ4 Quality of non-performing exposures by geography

Quality of non-performing exposures by geography 2021		Gross carrying/nominal amount					Provisions on off-balance- sheet commitments and financial guarantees given	Accumulated negative changes in fair value due to credit risk on non- performing exposures
		Of which non-performing			Accumulated impairment			
				Of which defaulted		Of which subject to impairment		
SEK m								
010	On-balance-sheet exposures	2 987 064	7 322	7 275	2 986 760	-2 942		-38
020	Sweden	1 734 775	2 295	2 263	1 734 775	-1 166		-16
030	United Kingdom	354 757	1 262	1 251	354 757	-280		-18
040	Norway	295 786	1 551	1 551	295 786	-665		0
050	Denmark	139 615	417	417	139 615	-258		0
060	Finland	261 319	1 664	1 663	261 015	-491		-4
070	the Netherlands	103 683	11	11	103 683	-21		0
080	other countries	97 129	122	119	97 129	-61		0
090	Off-balance-sheet exposures	658 247	489	480	658 247		-588	
100	Sweden	407 089	197	197	407 089		-285	
110	United Kingdom	49 818	20	20	49 818		-23	
120	Norway	67 314	43	43	67 314		-45	
130	Denmark	48 464	38	38	48 464		-38	
140	Finland	39 062	189	180	39 062		-194	
150	the Netherlands	6 268			6 268		-1	
160	other countries	40 232	2	2	40 232		-2	
170	Total	3 645 311	7 811	7 755	3 645 007	-2 942	-588	-38

EU CQ5 Credit quality of loans and advances by industry

Credit quality of loans and advances to non-financial corporations by industry 2021		Gross carrying amount					Accumulated negative changes in fair value due to credit risk on non-performing exposures
		Of which non-performing			Of which loans and advances subject to impairment	Accumulated impairment	
			Of which defaulted				
SEK m							
010	Agriculture, forestry and fishing	8 925	13	13	8 925	-16	0
020	Mining and quarrying	2 567	0	0	2 567	-34	0
030	Manufacturing	24 139	68	68	24 139	-65	0
040	Electricity, gas, steam and air conditioning supply	10 918	3	3	10 781	-14	0
050	Water supply	2 588	2	2	2 588	-2	0
060	Construction	40 653	184	184	40 653	-127	-18
070	Wholesale and retail trade	23 579	378	378	23 532	-147	0
080	Transport and storage	11 086	1 230	1 230	11 086	-503	0
090	Accommodation and food service activities	28 179	83	83	28 179	-144	-1
100	Information and communication	2 477	68	68	2 477	-54	0
110	Financial and insurance activities	29 138	42	42	29 138	-47	0
120	Real estate activities	769 879	1 402	1 402	769 879	-353	-3
130	Professional, scientific and technical activities	53 645	77	77	53 645	-142	0
140	Administrative and support service activities	15 833	55	55	15 833	-45	0
150	Public administration and defence, compulsory social security	259			259	0	
160	Education	1 748	0	0	1 748	-5	0
170	Human health services and social work activities	2 875	4	4	2 875	-6	0
180	Arts, entertainment and recreation	3 893	46	46	3 893	-33	0
190	Other services	24 036	70	70	24 036	-59	-1
200	Total	1 056 417	3 725	3 725	1 056 233	-1 796	-23

EU CQ7 Collateral obtained by taking possession and execution processes

Information on the instruments that were cancelled in exchange for the collateral obtained by taking possession and on the value of the collateral obtained by taking possession.

Collateral obtained by taking possession and execution processes 2021		Value at initial recognition	Accumulated negative changes
SEK m			
010	Property, plant and equipment (PP&E)	-	-
020	Other than PP&E	0	-
030	Residential immovable property	-	-
040	Commercial Immovable property	-	-
050	Movable property (auto, shipping, etc.)	0	-
060	Equity and debt instruments	-	-
070	Other	-	-
080	Total	0	-

CREDIT RISK

EU CR1 Performing and non-performing exposures and related provisions

Gross carrying amount of performing and non-performing exposures and the related accumulated impairment, provisions, accumulated change in fair value due to credit risk, accumulated partial write-off, and collateral and financial guarantees received, according to the scope of regulatory consolidation in accordance with Chapter 2 of Title II of Part One of the CRR. Exposures in Denmark and Finland are not included in this table as they have been moved to assets held for sale on the balance sheet.

Performing and non-performing exposures and related provisions 2021		Gross carrying amount/nominal amount						Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions						Collateral and financial guarantees received		
		Performing exposures		Non-performing exposures		Performing exposures accumulated impairment and provisions		Non-performing exposures – accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions		Accumulated partial write off						
		Of which stage 1	Of which stage 2	Of which stage 2	Of which stage 3	Of which stage 1	Of which stage 2	Of which stage 2	Of which stage 3		On performing exposures	On non-performing exposures				
SEK m																
005	Cash balances at central banks and other demand deposits	293 236	293 236	0	0	0	0	0	0	0	0	0	0		0	0
010	Loans and advances	2 186 008	2 129 198	56 810	5 487	102	5 268	-900	-341	-559	-1 544	-1	-1 535	0	1 863 380	2 726
020	Central banks	1 255	1 255	0	0	0	0	0	0	0	0	0	0	0	0	0
030	General governments	3 889	3 886	3	0	0	0	-1	-1	0	0	0	0	0	2 100	0
040	Credit institutions	20 193	20 184	9	6	0	6	-2	-2	0	-5	0	-5	0	46	0
050	Other financial corporations	18 611	17 617	995	6	0	6	-6	-2	-4	0	0	0	0	3 844	6
060	Non-financial corporations	937 368	900 274	37 094	2 721	4	2 608	-611	-178	-434	-984	0	-975	0	810 545	1 108
070	Of which SMEs	684 114	660 076	24 037	1 177	3	1 163	-380	-126	-254	-246	0	-247	0	649 868	903
080	Households	1 204 692	1 185 982	18 709	2 754	98	2 648	-280	-158	-121	-555	-1	-555	0	1 046 845	1 612
090	Debt securities	126 050	9 414	0	0	0	0	-2	-2	0	0	0	0	0	4 345	0
100	Central banks	80 280	0	0	0	0	0	0	0	0	0	0	0	0	0	0
110	General governments	17 745	397	0	0	0	0	0	0	0	0	0	0	0	397	0
120	Credit institutions	28 025	9 017	0	0	0	0	-2	-2	0	0	0	0	0	3 948	0
130	Other financial corporations	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
140	Non-financial corporations	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
150	Off-balance-sheet exposures	558 422	405 025	10 971	335	2	324	-253	-109	-144	-91	0	-91		212 570	163
160	Central banks	0	0	0	0	0	0	0	0	0	0	0	0		0	0
170	General governments	23 177	15 659	6	72	0	62	0	0	0	0	0	0		385	18
180	Credit institutions	10 562	9 003	53	0	0	0	-1	0	-1	0	0	0		350	0
190	Other financial corporations	13 697	10 756	181	3	0	3	-1	-1	0	0	0	0		2 880	2
200	Non-financial corporations	403 256	262 713	9 902	196	2	195	-174	-53	-120	-88	0	-88		139 869	125
210	Households	107 730	106 894	829	64	0	64	-77	-55	-23	-3	0	-3		69 086	18
220	Total	3 163 716	2 836 873	67 781	5 822	104	5 592	-1 155	-452	-703	-1 635	-1	-1 626	0	2 080 295	2 889

EU CR1-A Maturity of exposures

Maturity of exposures 2021		Net exposure value					
SEK m		On demand	< = 1 year	> 1 year < = 5 years	> 5 years	No stated maturity	Total
1	Loans and advances	11 647	2 109 849		329 289	32 391	2 483 176
2	Debt securities		53 172		91 435		144 607
3	Total	11 647	2 163 021		420 724	32 391	2 627 783

EU CR2 Changes in the stock of non-performing loans and advances

Changes in the stock of non-performing loans and advances 2021		
SEK m		Gross carrying amount
010	Initial stock of non-performing loans and advances	7 013
020	Inflows to non-performing portfolios	966
030	Outflows from non-performing portfolios	-657
040	Outflows due to write-offs	-657
050	Outflow due to other situations	
060	Final stock of non-performing loans and advances	7 322

EU CQ3 Credit quality of performing and non-performing exposures by past due days

Credit quality of performing and non-performing exposures by past due days 2021		Performing exposures			Non-performing exposures								
					Unlikely to pay that are not past due or are past due ≤ 90 days								
Gross carrying amount/nominal amount		Not past due or past due ≤ 30 days	Past due > 30 days ≤ 90 days				Past due > 90 days ≤ 180 days	Past due > 180 days ≤ 1 year	Past due > 1 year ≤ 2 years	Past due > 2 years ≤ 5 years	Past due > 5 years ≤ 7 years	Past due > 7 years	Of which defaulted
SEK m													
005	Cash balances at central banks and other demand deposits	293 236	293 236	0	0	0	0	0	0	0	0	0	0
010	Loans and advances	2 186 008	2 184 739	1 268	5 487	3 954	238	335	293	447	65	155	5 366
020	Central banks	1 255	1 255	0	0	0	0	0	0	0	0	0	0
030	General governments	3 889	3 889	0	0	0	0	0	0	0	0	0	0
040	Credit institutions	20 193	20 193	0	6	0	0	0	0	0	0	6	6
050	Other financial corporations	18 611	18 611	0	6	0	6	0	0	0	0	0	6
060	Non-financial corporations	937 368	936 601	766	2 722	2 159	144	131	98	106	15	68	2 706
070	Of which SMEs	684 114	683 361	752	1 177	805	130	108	48	53	6	26	1 163
080	Households	1 204 692	1 204 190	502	2 753	1 795	88	204	195	341	50	81	2 648
090	Debt securities	126 050	126 050	0	0	0	0	0	0	0	0	0	0
100	Central banks	80 280	80 280	0	0	0	0	0	0	0	0	0	0
110	General governments	17 745	17 745	0	0	0	0	0	0	0	0	0	0
120	Credit institutions	28 025	28 025	0	0	0	0	0	0	0	0	0	0
130	Other financial corporations	0	0	0	0	0	0	0	0	0	0	0	0
140	Non-financial corporations	0	0	0	0	0	0	0	0	0	0	0	0
150	Off-balance-sheet exposures	558 422			335								334
160	Central banks	0			0								0
170	General governments	23 177			72								72
180	Credit institutions	10 562			0								0
190	Other financial corporations	13 697			3								3
200	Non-financial corporations	403 255			196								195
210	Households	107 731			64								64
220	Total	3 163 716	2 604 025	1 268	5 822	3 954	238	335	293	447	65	155	5 700

CREDIT RISK MITIGATION TECHNIQUES

EU CRC Qualitative disclosure requirements related to CRM techniques

Article 453 (a) CRR.

A description of the core the policies and processes for on- and off-balance sheet netting and an indication of the extent to which institutions make use of balance sheet netting.

The Bank does not use on- or off-balance sheet netting as a credit risk mitigation technique.

Article 453 (b) CRR.

The core features of policies and processes for eligible collateral evaluation and management eligible collateral evaluation and management.

The Bank follows up and regularly updates the market value of the collateral used for credit risk mitigation purposes. A control procedure is established whereby the market value is checked at least every third year for residential properties, and at least annually for other types of property. The value is checked more frequently when there are material changes in factors affecting the property market. For properties with an exposure exceeding EUR 3 million, a new valuation by an independent assessor is made at least every third year.

Article 453 (c) CRR.

A description of the main types of collateral taken by the institution to mitigate credit risk.

The Bank has real estate collateral for a large majority of its exposures and a large majority of this collateral consists of residential properties.

Article 453 (d) CRR.

For guarantees and credit derivatives used as credit protection, the main types of guarantor and credit derivative counterparty and their creditworthiness used for the purposes of reducing capital requirements, excluding those used as part of synthetic securitisation structures.

Guarantees from sovereigns with very high creditworthiness represent the type of guarantee with the largest impact on capital requirements. The Bank also has guarantees from a wide range of banks and corporate guarantors which have a lesser impact on capital requirements.

Article 453 (e) CRR.

Information about market or credit risk concentrations within the credit mitigation taken.

The Bank monitors the credit risk concentrations, within the credit mitigation taken, as part of its process of monitoring large exposures. The effect of financial collateral received is measured and added to the relevant client's total exposure. The effect of credit risk mitigations taken is measured regularly and has only minor impact on the Bank's credit risk concentrations.

EU CR3 CRM techniques overview: Disclosure of the use of credit risk mitigation techniques

The table shows secured exposures and unsecured exposures. The outstanding secured exposures are broken down by amounts secured by collateral, guarantees and credit derivatives. Relations are in line with the previous period.

CRM techniques overview: Disclosure of the use of credit risk mitigation techniques 2021		Secured carrying amount			
		Unsecured carrying amount	Of which secured by collateral	Of which secured by financial guarantees	
					Of which secured by credit derivatives
SEK m					
1	Loans and advances	663 284	2 263 361	2 194 527	68 834
2	Debt securities	141 135	3 472		3 472
3	Total	804 419	2 266 833	2 194 527	72 306
4	Of which non-performing exposures	1 731	3 770	3 425	345
EU-5	Of which defaulted	1 723	3 728	3 383	345

CREDIT RISK STANDARDISED APPROACH

EU CRD Qualitative disclosure requirements related to standardised model

Article 444 (a) CRR.

Names of the external credit assessment institutions (ECAIs) and export credit agencies (ECAs) nominated by the institution, and the reasons for any changes over the disclosure period.

When calculating risk weights according to the standardised approach, information regarding the external rating from the external rating agency Standard & Poor's is used, where applicable.

Article 444 (b) CRR.

The exposure classes for which each ECAI or ECA is used.

The Bank uses external ratings from Standard & Poor's for exposures to sovereigns, institutions and corporates.

Article 444 (c) CRR.

A description of the process used to transfer the issuer and issue credit ratings onto comparable assets items not included in the trading book.

Not applicable

Article 444 (d) CRR.

The association of the external rating of each nominated ECAI or ECA (as referred to in row (a)) with the risk weights that correspond with the credit quality steps as set out in Chapter 2 of Title II of Part Three CRR (except where the institution complies with the standard association published by the EBA).

The Bank complies with the standard association in accordance with Commission Implementing Regulation (EU) 2016/1799 as illustrated below.

Credit quality steps and external credit ratings from Standard & Poor's

Credit quality steps and external credit ratings from Standard & Poor's 2021		Risk Weights		
S&P		Institutions and regional and local authorities		
		Corporates %	Central governments and central banks	
Step 1	AAA to AA-	20	20	0
Step 2	A+ to A-	50	50	20
Step 3	BBB+ to BBB-	100	100	50
Step 4	BB+ to BB-	100	100	100
Step 5	B+ to B-	150	100	100
Step 6	CCC+ and below	150	150	150
unrated		100	100	100

Article 444 (e) CRR

Exposure calculated according to standardised approach broken down into credit quality steps based on external ratings 2021

SEK m	Sovereign and central banks		Municipalities		Institutions		Corporate	
	Exposure	Exposure value	Exposure	Exposure value	Exposure	Exposure value	Exposure	Exposure value
Step 1	104 071	103 125			2 596	2 595		
Step 2					1 174	1 172	1 750	0
Step 3					207	207	2 646	83
Step 4					0	0	2 567	1 017
Step 5								
Step 6					693	693	925	486

CREDIT RISK

EU CR4 Standardised approach - Credit risk exposure and CRM effects

The table shows exposures before and after credit conversion factors and credit risk mitigation, and risk exposure amounts and risk weights according to the standardised approach. The amounts and risk weights are specified by exposure class. The total exposure has increased compared to the previous year.

Standardised approach - Credit risk exposure and CRM effects 2021		Exposures before CCF and before CRM		Exposures post CCF and post CRM		RWAs and RWA density	
SEK m		On-balance-sheet exposures	Off-balance-sheet exposures	On-balance-sheet exposures	Off-balance-sheet exposures	RWAs	RWA density, %
1	Central governments or central banks	102 534	1 181	102 972	239		0.00%
2	Regional governments or local authorities	120	0	120			0.00%
3	Public sector entities						
4	Multilateral development banks	2 425		2 425			0.00%
5	International organisations						
6	Institutions	1 758	59	1 758	9	354	20.00%
7	Corporates	10 693	26 238	9 542	2 766	11 532	93.69%
8	Retail	14 077	11 503	5 295	2 404	5 681	73.79%
9	Secured by mortgages on immovable property	315 394	28 069	315 922	5 320	141 876	44.16%
10	Exposures in default	1 515	66	1 202	16	1 406	115.50%
11	Exposures associated with particularly high risk	1 105	874	607	133	1 110	150.00%
12	Covered bonds						
13	Institutions and corporates with a short-term credit assessment						
14	Collective investments undertakings						
15	Equity	6 614		6 614		15 995	241.85%
16	Other items	5 124	22	2 807	5	598	21.27%
17	Total	461 359	68 012	449 264	10 892	178 552	38.80%

EU CR5 Standardised approach

The table below shows the EAD broken down by exposure class and risk weight. It comprises figures obtained using the standardised approach. Total EAD has increased compared with the previous period.

Standardised approach 2021		Risk weight														Total	Of which unrated	
		0%	2%	4%	10%	20%	35%	50%	70%	75%	100%	150%	250%	370%	1 250%			Others
SEK m																		
1	Central governments or central banks	103 210															103 210	
2	Regional government or local authorities	120															120	
3	Public sector entities																	
4	Multilateral development banks	2 425															2 425	
5	International organisations																	
6	Institutions					1 767		1									1 768	
7	Corporates							0			12 308						12 308	12 292
8	Retail exposures									7 699							7 699	7 595
9	Exposures secured by mortgages on immovable property					227 208		15 271		289	78 475						321 243	321 073
10	Exposures in default										840		377				1 217	1 029
11	Exposures associated with particularly high risk												740				740	739
12	Covered bonds																	
13	Exposures to institutions and corporates with a short-term credit assessment																	
14	Units or shares in collective investment undertakings																	
15	Equity exposures										359		6 255				6 614	6 614
16	Other items					2 767					45						2 812	2 811
17	Total	105 755				4 534	227 208	15 272		7 988	92 027	1 117	6 255				460 156	352 153

CREDIT RISK IRB APPROACH

EU CRE Qualitative disclosure requirements related to IRB approach

Article 452 (a) CRR

The competent authority's permission of the approach or approved transition

The Bank has had permission from the Swedish Financial Supervisory Authority to calculate the capital requirement for credit risk using the IRB approach since 2007. The permission applies to the consolidated situation, in which the parent company Svenska Handelsbanken AB (publ) is the ultimate parent, and to the companies Svenska Handelsbanken AB (publ), Stadshypotek AB (publ) and Handelsbanken Finans AB. Ecster AB received permission to use the IRB approach in 2019.

Handelsbanken has eight rating systems (consolidated level): retail, retail Ecster, large corporates, medium-sized corporates, property companies, housing co-operative associations, institutions and central and regional governments.

Handelsbanken has approval to use own estimates of PD, LGD and CCF for the rating systems retail, retail Ecster, large corporates, medium-sized corporates, property companies, and housing co-operative associations whereas the capital requirement for the remaining rating systems is calculated without own estimates of LGD and CCF.

The Swedish Financial Supervisory Authority has also granted Handelsbanken permission to apply the standardised approach instead of the IRB approach for certain exposures in accordance with Article 150(1)(c) and 150(1)(e) of the CRR. These exceptions cover 'insignificant size' portfolios and 'intra group' exposures.

The majority of the exposures subject to sequential implementation in accordance with Article 148 of the CRR consists of exposures in Handelsbanken plc and retail exposures in the Netherland business.

Article 452 (c) CRR

The control mechanisms for rating systems at the different stages of model development, controls and changes, which shall include information on:

i) the relationship between the risk management function and the internal audit function;

Group Risk Control and the subsidiaries' risk control units (risk management function) are responsible for developing IRB-models and for the oversight, supervision, ongoing review and alterations of IRB-models. Furthermore Group Risk Control and the subsidiaries risk control units are responsible for the estimation and application of IRB credit risk models and Group Risk Control has the overarching responsibility for the management of changes to the Banks IRB-approach.

Group Audit (the internal audit function) performs a general annual review of all aspects (including all rating systems) of the IRB approach to ensure compliance with the established principles and regulatory requirements. In addition, Group Audit reviews all IRB-model applications. The Chief Audit Officer is appointed by the Board and reports regularly to the audit committee, orally and in writing, and also submits an annual summary report to the whole Board.

(ii) the rating system review;

Model validation forms part of the review of the rating systems. Over their lifecycles models are first subject to initial validation following model development. When the model has been approved, recurring validation is performed at least on an annual basis. The annual validation cycle consists of a planning, execution and post validation phases including recommendation follow-up. Validation is performed in accordance with predefined methods, which include a review of estimates, evaluation of the models' risk differentiating capabilities and evaluation of representativeness in the light of the new data and other information that has become available.

(iii) procedure to ensure the independence of the function in charge of reviewing the models from the functions responsible for the development of the models;

The validation function and the unit responsible for IRB model development and calibration are divided into two different organisational units reporting separately to the same member of the senior management, the CRO.

(iv) the procedure to ensure the accountability of the functions in charge of developing and reviewing the models

Accountability of the functions in charge of developing and reviewing the models is ensured through delegation of responsibility through instructions. The CRO delegates responsibility to the Head of Group Credit Risk Control who in turn delegates relevant tasks to the head of the model development unit. Furthermore, the CRO delegates responsibility to the head of the validation function. Validation reports are also signed off by the head of the validation function.

Article 452 (d) CRR

The role of the functions involved in the development, approval and subsequent changes of the credit risk models;

The role of the model development unit involves the following:

To critically review decisions that affect the Bank's risk exposure and propose appropriate changes regarding relevant internal rules, processes and routines.

To ensure that the Bank's capital requirements for credit risk according to IRB are calculated based on models that are suitable for the purpose, that these models are maintained through ongoing review, that decided changes to the models used in the risk classification process are implemented, and that new models are developed based on the Bank's needs and authorities' requirements.

To be responsible for control, calculation and reporting of capital requirements according to Pillar 2 for credit risks.

To verify that the risk classification systems and changes in them are assessed and documented in accordance with the Bank's IRB Change instructions.

To ensure, within the unit's area of responsibility, that applicable regulations are complied with, that information requested by the Swedish FSA is prepared and submitted to the Swedish FSA and also to otherwise ensure that the Bank's obligation to the Swedish FSA and other authorities is fulfilled.

To actively participate in the implementation and validation of the models used in the risk classification process.

To make sure that established rules and procedures are evaluated annually and document that the internal control within the unit is appropriate, and to ensure that necessary measures are implemented based on this together with reports from control functions.

To prepare and maintain appropriate information and reporting systems to ensure control over all significant risks in the relevant parts of the business.

The role of the model validation function is to perform initial validation of new models and validation of subsequent changes. This includes independently reviewing and assessing the main steps of model development, assessing whether models are fit for purpose and performing as intended, evaluating models against relevant regulatory requirements, assessing the implementation of models, assessing the usage of models, documenting validation results including observations and recommendations, following-up on issued recommendations and reporting validation results to relevant stakeholders.

Article 452 (e) CRR

The scope and main content of the reporting related to credit risk models;

An IRB report which scope and main content consists of the IRB evaluation report (summarised), validation, new estimates and material changes to the IRB approach and with the objective of providing a general understanding of the rating systems of the institution, is addressed to the Board's Risk Committee annually and summarised to the Central Board.

An IRB evaluation report is addressed to members of senior management annually. The scope of the report is the evaluation of the Bank's rating systems performance. This encompasses areas needing improvement and the status of efforts to improve previously identified deficiencies of the rating system. The latter is also presented to the Risk Committee quarterly.

The main content is the rating system's results at an overall level. This entails i.e. a comparison of realised default rates, realised LGDs and realised conversion factors against expectations, migration across grades and updating of estimates.

A Credit Risk Report is addressed to members of senior management on a monthly basis. The scope of the report is changes in the credit risk portfolio since the previous month. The main content related to IRB is migration of PD risk class, PD risk class distribution, defaults, lending to customers with high risk and property collaterals for corporates and private individuals.

The Group risk report (Koncernriskrapport) includes a follow-up of the Bank's risk tolerance, the CRO's assessment of the Group's material risks and an assessment of whether there are significant deficiencies in the operation to report and address. The main content of the report related to IRB is the same as for the Credit risk report with the stress-test results and information on capital requirements calculation. The Group risk report is addressed to the Board, risk committee and CEO quarterly. The report is also presented to members of the senior management.

Validation of the Bank's IRB models is performed on an annual basis. The scope of the validation is the quality assurance of the models based on a number of predefined quantitative and qualitative tests. The conclusions, observations and recommendations are compiled into detailed validation reports which are distributed to Group Credit Risk Control and the CRO. Validation results are presented to the Board's risk committee and to members of senior management on an annual basis. Validation results are distributed in written form through the IRB report to the Board's risk committee, and through the IRB evaluation report to members of senior management, both on an annual basis.

Article 452 (f) CRR

A description of the internal ratings process by exposure class, including the number of key models used with respect to each portfolio and a brief discussion of the main differences between the models within the same portfolio, covering:

(i) the definitions, methods and data for estimation and validation of PD, which shall include information on how PDs are estimated for low default portfolios, whether there are regulatory floors and the drivers for differences observed between PD and actual default rates at least for the last three periods;

(ii) where applicable, the definitions, methods and data for estimation and validation of LGD, such as methods to calculate downturn LGD, how LGDs are estimated for low default portfolio and the time lapse between the default event and the closure of the exposure;

(iii) where applicable, the definitions, methods and data for estimation and validation of credit conversion factors, including assumptions employed in the derivation of those variables.

To quantify its credit risks, the Bank calculates the probability of default, PD, the exposure the Bank is expected to have if a default occurs, EAD, and the proportion of the loan that the Bank would be expected to lose in the case of default, LGD. A default shall be considered to have occurred when the obligor is unlikely to pay its credit obligation to the institution or the obligor is past due more than 90 days on any material credit obligation.

The PD value is expressed as a percentage where, for example, a PD value of 0.5% means that one borrower of 200 with the same PD value would be expected to default within one year.

For exposures to corporates and to institutions, as well as for exposures to central governments, central banks, regional governments and local authorities (sovereign exposures), the internal rating set for each counterparty is directly converted into a risk class on a scale from 1 to 10 (where risk class 10 refers to defaulted counterparties). Corporate exposures are divided into four counterparty types, based on the business evaluation template used for the counterparty. PD is calculated individually for each risk class and counterparty type.

Regional governments and local authorities share the sovereign risk class scale with central governments and central banks. However, to account for the higher risk of the former they are assigned one risk class worse than the latter, given the same internal rating. Hence, the risk class scale for regional governments and local authorities is from 2 to 10, not 1 to 10.

The models for sovereigns, institutions and large corporates are global and the ones for medium sized corporates, real estate corporates, and housing co-operative associations apply to exposures in Sweden, Norway, Denmark, and Finland.

For retail exposures, the risk class is also based on the internal rating assigned to all credit customers. The rating is, however, not translated directly into a risk class as for corporate exposures; instead, the different exposures are sorted into a number of smaller groups on the basis of certain factors. Such factors include the type of credit, the counterparty's debt-servicing record and whether there are one or more borrowers. An average default rate is calculated for each of the smaller groups, and on the basis of this, the groups are sorted into one of the 10 risk classes. Different models are used for exposures to private individuals and to small companies (that are also classified as retail exposures), and by country, Sweden, Norway, Denmark, and Finland, but the principle is the same.

For exposures to medium-sized corporates, property companies and housing co-operative associations as well as for retail exposures, the LGD is determined using the Bank's own loss history. For exposures to large corporates that are subject to a capital requirement using the IRB approach with own estimates of LGD and CCF, the LGD is determined on the basis of internal losses and external observations. For retail exposures secured by property in Sweden and for property exposures to medium-sized companies, property companies and housing co-operative associations, different LGD values are applied depending on the loan-to-value ratio of the collateral. For other exposures, the LGD value is determined by factors that may depend on the existence and valuation of collateral, the type of product and similar factors. For exposures that are subject to a capital requirement according to the IRB approach without own estimates of LGD and CCF, prescribed values are applied for those parameters. The prescribed value that may be used is determined by the collateral provided for each exposure.

For each exposure class, the PD is calculated for each of the risk classes that refer to non-defaulted counterparties or agreements.

The PD-models for corporates are based on historical default frequencies, by risk class and by portfolio. The estimates on portfolio level are based partly on the Bank's internal data and partly on data from other sources, such as external credit rating agencies, and are based on the duration of a hypothetical business cycle in which one of five years is a downturn year and the Swedish banking crisis in the 1990s is taken into account, as required by the Swedish Financial Supervisory Authority. Significant margins of conservatism are added to these estimates, and these PD-values are normally not expected to vary year on year. The estimates by risk class are based on the Bank's internal default data and a model that determines the relationship of PD between different risk classes. Margins are then added so that each portfolio's aggregate PD coincides with the estimate of portfolio PD. The models are recalibrated at least annually as the distribution of counterparties over risk classes varies over time. This process assures that aggregate PD does not deviate significantly from the estimated portfolio PD. This implies that the PD for each risk class may vary over time as the model is recalibrated.

PD-values for institutions are estimated by mapping internal ratings to external ratings. External default rates are then used to estimate an implied internal default rate per risk class. PD-values for sovereign exposures are based on default rates and PD for large corporates and expert assessments, as the bank has no defaults at all to this type of counterparty.

The PD-values for retail are based on calculations of the historical default frequencies for each risk class. The average default rates are then adjusted such that one year out of five represents a downturn year, and margins of conservatism are added.

When establishing LGD, the risk measure shall reflect the loss rates in economically unfavourable circumstances, known as 'downturn LGD'. For collateral in property, the downturn LGD is based on observed loss rates from the property crisis in the early 1990s. For other collateral relating to retail exposures, observed LGD is adjusted for downturns by a factor which depends on the PD and type of product. For corporate exposures in the IRB approach with own estimates of LGD and CCF, the LGD is adjusted for downturns so that the Bank's observed losses in the crisis years of 1991–1996 can be explained by the risk measures with a good margin. For exposures with property collateral, in many cases LGD is estimated on the basis of the property's loan-to-value-ratio (LTV). Since the value of the property, and consequently also the LTV, usually varies with the business cycle, this means that the capital requirement will also to some extent have a cyclical dependency.

When the exposure amount, EAD, is to be calculated, certain adjustments are made to the carried exposure. Examples of this are committed loan offers or revolving credits, where the Bank agrees with the customer that the customer may borrow up to a certain amount in the future. This type of commitment constitutes a credit risk that must also be covered by adequate capital. Normally this means that the credit granted is adjusted using a certain credit conversion factor (CCF) for the part of the credit that is utilised at the time of reporting. For certain product categories for corporate exposures and exposures to institutions, the credit conversion factors are determined by the regulatory code, while for retail exposures and certain product categories for large corporates, medium-sized companies, property companies and housing co-operative associations, the Bank uses its own calculated conversion factors. Here, it is the product referred to that mainly governs the CCF, but the utilisation level may also be relevant.

In Sweden and Norway different national regulatory floors apply. In Sweden, the average risk weight of the portfolio of mortgage loans must not be below 25%. In Norway, the LGD for mortgage loans must not be below 20% and the average risk weight must not be below 20%. Furthermore, in Norway, corporate exposures with collateral in real estate must not have a risk weight below 35%.

The following methods are used for the validation of PD, LGD and CCF models:

Risk quantification. Assessment of the predictive ability. Primarily quantitative tests: one-sided outcome tests on observed outcomes (default rates, realised LGDs or realised CCFs) versus estimates and historical outcomes. Two-sided outcome tests on observed outcomes versus historical outcomes. For PD models binomial tests are applied, except for low default portfolios where alternative tests are used such as Jeffrey's test. For LGD and CCF models t-tests are applied, except for low default portfolios where exact tests such as the sign test are applied.

Risk differentiation. Assessment of rank order ability (AR, Somers' D, gAUC), concentration (adjusted Herfindahl index) and heterogeneity (Z-test, Welch's F-test).

Model structure tests. Qualitative and quantitative assessment of the conceptual approach, segmentation, risk factor selection and other structural components of the model.

Review of model documentation and source code. Qualitative assessment of the quality and completeness of model documentation and source code.

Data quality assessment. Assessment of the accuracy, completeness and appropriateness of data.

Population stability and representativeness. Assessment of the representativeness of data used in model development and model calibration, based on qualitative and quantitative tests (PSI).

Model implementation. Qualitative and quantitative tests to assess the integrity of the implemented model.

Migration analysis (PD models). Analysis of migrations based on qualitative and quantitative (Notches, MWB) tests.

Long-run average default rate (PD models). Assessment based on regulatory requirements concerning long-run average default rate, complemented with quantitative tests including outcome tests.

Downturn adjustment (LGD and CCF models). Validation of conditional LGDs and CCFs appropriate for an economic downturn. This includes a qualitative assessment on the identification of an economic downturn and downturn estimation method, based on relevant regulatory requirements, complemented with quantitative tests including outcome tests.

Margin of conservatism and appropriate adjustments. Qualitative assessment based on regulatory requirements, complemented with quantitative tests including outcome tests.

Comparison with external data sources. Comparison of PD, LGD and CCF estimates and outcomes with those of other comparable banks.

In general, the data used for validation consists of all available data from the model development period (including model calibration) until the date of the validation. All available data is used meaning the time period and data series used for validation is as long as possible. In general quantitative tests are performed on the most recent available data, depending on the test and model. In many cases this means the most recent annual data. In other cases, for instance for low default portfolios, longer time periods may be used for quantitative tests (that also include the most recent data).

CREDIT RISK

EU CR6 IRB approach - Credit risk exposures by exposure class and PD range

The following table shows the total EAD, undrawn commitments, exposure-weighted average PD, LGD and CCF, and exposure-weighted average risk weights broken down by exposure class and obligor grade. FI's board of directors decided to change the method used to apply current risk weight floor for Swedish mortgages on 25 per cent though pillar 2 by replacing it with a corresponding requirement under article 458 CRR. The change entered into force on 31 December 2018. RWA and RWA density is here calculated using the IRB Approach not including the risk weight floor.

IRB Approach - Credit risk exposures by exposure class and PD range 2021		On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Number of obligors ¹	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
A-IRB	SEK m												
	PD range												
Corporates SME	0.00 to < 0.15	451 100	18 820	40.40%	458 704	0.07%	24 493	15.79%	3.0	29 257	6.38%	63	-31
Corporates SME	0.00 to < 0.10	291 332	9 295	39.39%	294 993	0.05%	16 611	10.35%	4.0	8 974	3.04%	12	-8
Corporates SME	0.10 to < 0.15	159 768	9 525	41.39%	163 710	0.12%	7 882	25.59%	2.0	20 283	12.39%	51	-23
Corporates SME	0.15 to < 0.25	50 677	2 005	40.19%	51 483	0.17%	4 181	7.52%	5.0	3 046	5.92%	7	-2
Corporates SME	0.25 to < 0.50	62 907	2 215	39.21%	63 776	0.43%	4 231	21.68%	3.0	13 465	21.11%	59	-12
Corporates SME	0.50 to < 0.75	13 773	4 433	42.98%	15 679	0.52%	2 562	32.80%	3.0	5 608	35.77%	27	-38
Corporates SME	0.75 to < 2.50	30 562	3 476	40.49%	31 970	1.60%	4 785	26.92%	3.0	14 405	45.06%	143	-176
Corporates SME	0.75 to < 1.75	22 769	1 086	36.24%	23 163	1.46%	2 675	23.04%	3.0	8 306	35.86%	79	-27
Corporates SME	1.75 to < 2.5	7 793	2 391	42.42%	8 807	1.96%	2 110	37.12%	3.0	6 099	69.25%	64	-150
Corporates SME	2.50 to < 10.00	5 417	520	43.30%	5 643	5.76%	544	27.61%	2.0	3 684	65.29%	93	-48
Corporates SME	2.5 to < 5	117	0	42.82%	117	3.04%	18	9.32%	5.0	23	19.66%	0	0
Corporates SME	5 to < 10	5 301	520	43.30%	5 526	5.82%	526	28.00%	2.0	3 661	66.25%	92	-47
Corporates SME	10.00 to < 100.00	2 204	365	42.13%	2 358	29.28%	528	31.18%	3.0	2 669	113.21%	202	-123
Corporates SME	10 to < 20	974	284	43.93%	1 099	16.31%	265	35.23%	3.0	1 319	120.03%	63	-74
Corporates SME	20 to < 30	129	64	38.86%	153	26.87%	85	39.04%	4.0	241	157.35%	16	-20
Corporates SME	30.00 to < 100.00	1 101	17	24.52%	1 106	42.49%	178	26.07%	3.0	1 109	100.32%	122	-30
Corporates SME	100.00 (Default)												
Corporates SME	Subtotal	616 641	31 835	40.74%	629 611	0.36%	41 324	16.86%	3.2	72 134	11.46%	592	-429
Corporates Other	0.00 to < 0.15	168 944	172 352	32.72%	225 332	0.07%	1 959	31.68%	2.0	37 762	16.76%	54	-8
Corporates Other	0.00 to < 0.10	80 006	75 488	32.82%	104 783	0.03%	855	30.52%	3.0	12 016	11.47%	11	-3
Corporates Other	0.10 to < 0.15	88 938	96 864	32.63%	120 548	0.11%	1 104	32.69%	2.0	25 747	21.36%	43	-5
Corporates Other	0.15 to < 0.25						4						
Corporates Other	0.25 to < 0.50	30 710	26 461	29.82%	38 599	0.32%	587	34.84%	2.0	14 913	38.64%	41	-7
Corporates Other	0.50 to < 0.75	7 003	8 381	33.89%	9 843	0.73%	220	39.00%	2.0	6 982	70.94%	28	-15
Corporates Other	0.75 to < 2.50	8 329	3 755	37.10%	9 722	1.55%	106	24.87%	2.0	6 017	61.89%	38	-55
Corporates Other	0.75 to < 1.75	7 611	3 337	36.95%	8 844	1.51%	36	23.46%	3.0	5 172	58.48%	31	-51
Corporates Other	1.75 to < 2.5	718	419	38.30%	878	1.95%	70	39.00%	2.0	845	96.21%	7	-4
Corporates Other	2.50 to < 10.00	207	0	1.00%	207	5.42%	7	25.24%	1.0	168	81.22%	3	-1
Corporates Other	2.5 to < 5												
Corporates Other	5 to < 10	207	0	1.00%	207	5.42%	7	25.24%	1.0	168	81.22%	3	-1
Corporates Other	10.00 to < 100.00	1 575	657	45.56%	1 874	26.16%	45	37.54%	2.0	3 915	208.90%	180	-98
Corporates Other	10 to < 20	131	134	25.24%	165	10.78%	28	39.00%	2.0	291	175.71%	7	-1
Corporates Other	20 to < 30	1 222	523	50.78%	1 487	25.79%	10	39.00%	2.0	3 305	222.19%	150	-96
Corporates Other	30.00 to < 100.00	221			221	40.14%	7	26.67%	1.0	319	144.32%	24	-1
Corporates Other	100.00 (Default)												
Corporates Other	Subtotal	216 767	211 606	32.52%	285 577	0.35%	2 928	32.16%	2.0	69 758	24.43%	344	-184

IRB Approach - Credit risk exposures by exposure class and PD range 2021		On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Number of obligors¹	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
A-IRB	PD range												
SEK m													
Retail Secured by Immovable Property SME	0.00 to < 0.15	1 902	14	100.00%	1 916	0.07%	915	22.81%		70	3.65%	0	-1
Retail Secured by Immovable Property SME	0.00 to < 0.10	1 614	2	100.00%	1 616	0.06%	737	20.00%		42	2.58%	0	-1
Retail Secured by Immovable Property SME	0.10 to < 0.15	288	12	100.00%	300	0.14%	178	37.95%		28	9.41%	0	0
Retail Secured by Immovable Property SME	0.15 to < 0.25	1 068	240	79.09%	1 255	0.17%	1 366	22.51%		81	6.46%	0	0
Retail Secured by Immovable Property SME	0.25 to < 0.50	2 891	254	86.22%	3 107	0.43%	2 391	26.55%		463	14.90%	4	-3
Retail Secured by Immovable Property SME	0.50 to < 0.75	384	177	79.00%	522	0.64%	1 087	32.10%		125	24.01%	1	0
Retail Secured by Immovable Property SME	0.75 to < 2.50	1 927	265	89.92%	2 149	1.56%	2 073	33.31%		950	44.19%	11	-7
Retail Secured by Immovable Property SME	0.75 to < 1.75	1 364	169	95.46%	1 524	1.28%	1 298	33.90%		615	40.34%	7	-5
Retail Secured by Immovable Property SME	1.75 to < 2.5	563	96	80.12%	624	2.25%	775	31.89%		335	53.59%	4	-2
Retail Secured by Immovable Property SME	2.50 to < 10.00	872	143	95.68%	1 006	6.30%	980	35.68%		1 015	100.92%	22	-16
Retail Secured by Immovable Property SME	2.5 to < 5	334	25	83.86%	355	3.61%	317	35.87%		285	80.41%	5	-2
Retail Secured by Immovable Property SME	5 to < 10	538	118	98.17%	651	7.76%	663	35.58%		730	112.11%	17	-15
Retail Secured by Immovable Property SME	10.00 to < 100.00	145	16	99.51%	161	23.63%	118	38.71%		285	176.31%	15	-5
Retail Secured by Immovable Property SME	10 to < 20	74	6	91.08%	79	16.72%	71	34.51%		119	150.05%	5	-1
Retail Secured by Immovable Property SME	20 to < 30												
Retail Secured by Immovable Property SME	30.00 to < 100.00	71	10	104.76%	82	30.25%	47	42.73%		166	201.46%	11	-4
Retail Secured by Immovable Property SME	100.00 (Default)												
Retail Secured by Immovable Property SME	Subtotal	9 189	1 109	86.00%	10 116	1.53%	8 930	28.16%		2 988	29.54%	53	-33
Retail Secured by Immovable Property Non-SME	0.00 to < 0.15	901 821	52 179	100.01%	954 114	0.06%	479 198	13.73%		24 142	2.53%	91	-30
Retail Secured by Immovable Property Non-SME	0.00 to < 0.10	731 873	48 525	100.01%	780 513	0.05%	354 461	13.42%		15 629	2.00%	55	-23
Retail Secured by Immovable Property Non-SME	0.10 to < 0.15	169 948	3 654	100.00%	173 602	0.14%	124 737	15.13%		8 513	4.90%	37	-8
Retail Secured by Immovable Property Non-SME	0.15 to < 0.25	63 729	3 555	101.41%	67 381	0.18%	33 628	23.23%		6 039	8.96%	27	-6
Retail Secured by Immovable Property Non-SME	0.25 to < 0.50	73 076	459	92.60%	73 422	0.30%	65 042	18.83%		8 102	11.03%	43	-5
Retail Secured by Immovable Property Non-SME	0.50 to < 0.75	28 219	994	100.00%	29 213	0.62%	11 256	25.55%		7 128	24.40%	46	-18
Retail Secured by Immovable Property Non-SME	0.75 to < 2.50	24 387	602	100.90%	25 005	1.78%	20 010	19.72%		8 920	35.67%	81	-8
Retail Secured by Immovable Property Non-SME	0.75 to < 1.75	7 883	601	100.93%	8 501	1.33%	9 106	30.06%		3 982	46.84%	33	-4
Retail Secured by Immovable Property Non-SME	1.75 to < 2.5	16 503	2	91.00%	16 505	2.01%	10 904	14.40%		4 938	29.92%	48	-4
Retail Secured by Immovable Property Non-SME	2.50 to < 10.00	539	11	91.00%	546	3.14%	266	21.27%		314	57.55%	4	-1
Retail Secured by Immovable Property Non-SME	2.5 to < 5	539	11	91.00%	546	3.14%	266	21.27%		314	57.55%	4	-1
Retail Secured by Immovable Property Non-SME	5 to < 10												
Retail Secured by Immovable Property Non-SME	10.00 to < 100.00	5 653	24	100.65%	5 679	12.11%	4 456	19.72%		5 874	103.44%	143	-13
Retail Secured by Immovable Property Non-SME	10 to < 20	5 653	24	100.65%	5 679	12.11%	4 456	19.72%		5 874	103.44%	143	-13
Retail Secured by Immovable Property Non-SME	20 to < 30												
Retail Secured by Immovable Property Non-SME	30.00 to < 100.00												
Retail Secured by Immovable Property Non-SME	100.00 (Default)												
Retail Secured by Immovable Property Non-SME	Subtotal	1 097 423	57 824	100.04%	1 155 361	0.19%	613 856	15.07%		60 521	5.24%	435	-80
Retail Other SME	0.00 to < 0.15	266	26	43.43%	277	0.08%	324	23.24%		11	4.03%	0	0
Retail Other SME	0.00 to < 0.10	218			218	0.06%	217	20.00%		6	2.74%	0	0
Retail Other SME	0.10 to < 0.15	47	26	43.43%	59	0.14%	107	35.25%		5	8.82%	0	0
Retail Other SME	0.15 to < 0.25	284	2 155	79.00%	1 938	0.17%	23 483	34.79%		197	10.18%	1	-1
Retail Other SME	0.25 to < 0.50	1 780	1 580	77.23%	2 978	0.44%	13 402	35.68%		570	19.13%	5	-4
Retail Other SME	0.50 to < 0.75	239	1 443	79.00%	1 370	0.64%	11 194	34.43%		313	22.87%	3	-3
Retail Other SME	0.75 to < 2.50	1 964	791	79.24%	2 522	1.73%	8 544	37.53%		919	36.43%	16	-21
Retail Other SME	0.75 to < 1.75	1 422	364	79.50%	1 707	1.42%	3 092	38.56%		608	35.59%	9	-16
Retail Other SME	1.75 to < 2.5	543	427	79.03%	815	2.36%	5 452	35.38%		311	38.20%	7	-5
Retail Other SME	2.50 to < 10.00	596	429	87.79%	940	7.02%	3 631	38.08%		447	47.52%	25	-37

IRB Approach - Credit risk exposures by exposure class and PD range 2021													
A-IRB		On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Number of obligors ¹	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
SEK m	PD range												
Retail Other SME	2.5 to < 5	51	131	79.55%	154	3.17%	1 123	35.00%		61	39.76%	2	-4
Retail Other SME	5 to < 10	545	298	91.42%	786	7.77%	2 508	38.68%		385	49.04%	23	-33
Retail Other SME	10.00 to < 100.00	75	23	90.36%	96	20.97%	194	44.32%		76	78.63%	9	-7
Retail Other SME	10 to < 20	51	14	85.62%	63	15.88%	116	44.16%		45	71.25%	4	-4
Retail Other SME	20 to < 30												
Retail Other SME	30.00 to < 100.00	24	9	98.09%	34	30.46%	78	44.63%		31	92.38%	5	-3
Retail Other SME	100.00 (Default)												
Retail Other SME	Subtotal	5 204	6 447	79.08%	10 120	1.53%	60 772	35.77%		2 532	25.02%	58	-73
Retail Other Non-SME	0.00 to < 0.15	10 761	8 361	91.99%	18 362	0.08%	284 116	42.16%		1 758	9.57%	6	-5
Retail Other Non-SME	0.00 to < 0.10	7 229	8 361	91.99%	14 830	0.07%	272 549	41.91%		1 246	8.40%	4	-3
Retail Other Non-SME	0.10 to < 0.15	3 532			3 532	0.14%	11 567	43.22%		512	14.48%	2	-2
Retail Other Non-SME	0.15 to < 0.25	2 764	820	101.93%	3 610	0.17%	18 828	54.83%		777	21.52%	3	-2
Retail Other Non-SME	0.25 to < 0.50	9 628	4 850	88.70%	13 769	0.34%	347 102	31.68%		2 514	18.26%	14	-13
Retail Other Non-SME	0.50 to < 0.75	1 723	1	100.00%	1 724	0.54%	13 096	42.99%		588	34.11%	4	-4
Retail Other Non-SME	0.75 to < 2.50	2 746	1 049	76.69%	3 420	1.42%	98 773	37.71%		1 510	44.16%	17	-34
Retail Other Non-SME	0.75 to < 1.75	1 517	747	81.25%	2 053	1.05%	61 177	45.00%		1 012	49.29%	10	-13
Retail Other Non-SME	1.75 to < 2.5	1 229	302	65.43%	1 367	1.98%	37 596	26.75%		499	36.46%	7	-21
Retail Other Non-SME	2.50 to < 10.00	968	196	78.39%	1 083	5.50%	39 994	41.97%		718	66.28%	25	-48
Retail Other Non-SME	2.5 to < 5	50	3	91.00%	52	3.01%	391	36.53%		28	54.06%	1	0
Retail Other Non-SME	5 to < 10	918	193	78.19%	1 031	5.63%	39 603	42.24%		689	66.90%	25	-47
Retail Other Non-SME	10.00 to < 100.00	682	87	76.73%	731	19.38%	21 502	46.84%		733	100.27%	64	-30
Retail Other Non-SME	10 to < 20	529	67	82.58%	574	13.13%	14 477	48.42%		552	96.11%	37	-17
Retail Other Non-SME	20 to < 30												
Retail Other Non-SME	30.00 to < 100.00	153	20	56.73%	157	42.28%	7 025	41.04%		181	115.51%	27	-12
Retail Other Non-SME	100.00 (Default)												
Retail Other Non-SME	Subtotal	29 271	15 365	90.18%	42 699	0.77%	823 411	39.60%		8 598	20.14%	134	-136
Total	0.00 to < 0.15	1 534 792	251 751	49.21%	1 658 704	0.07%	687 914	17.06%	1.0	93 001	5.61%	214	-75
Total	0.00 to < 0.10	1 112 271	141 671	59.76%	1 196 953	0.05%	543 234	14.52%	1.0	37 912	3.17%	82	-37
Total	0.10 to < 0.15	422 521	110 081	35.64%	461 751	0.13%	144 680	23.66%	1.0	55 088	11.93%	132	-38
Total	0.15 to < 0.25	118 523	8 775	81.36%	125 666	0.17%	78 289	17.88%	2.0	10 140	8.07%	39	-12
Total	0.25 to < 0.50	180 991	35 820	41.67%	195 652	0.35%	427 468	24.20%	1.0	40 027	20.46%	165	-43
Total	0.50 to < 0.75	51 341	15 429	45.50%	58 350	0.61%	39 202	30.55%	1.0	20 745	35.55%	109	-78
Total	0.75 to < 2.50	69 915	9 939	51.09%	74 788	1.65%	132 241	25.28%	2.0	32 722	43.75%	306	-300
Total	0.75 to < 1.75	42 567	6 303	52.20%	45 792	1.42%	75 565	26.35%	2.0	19 695	43.01%	169	-115
Total	1.75 to < 2.5	27 349	3 636	49.17%	28 996	2.01%	56 676	23.59%	1.0	13 027	44.93%	137	-185
Total	2.50 to < 10.00	8 600	1 299	69.45%	9 424	5.76%	45 365	30.75%	1.0	6 346	67.34%	170	-151
Total	2.5 to < 5	1 091	170	81.12%	1 224	3.27%	2 104	26.74%		712	58.17%	11	-7
Total	5 to < 10	7 509	1 129	67.69%	8 200	6.13%	43 261	31.34%	1.0	5 634	68.70%	159	-144
Total	10.00 to < 100.00	10 334	1 173	49.57%	10 899	18.98%	26 026	27.58%	1.0	13 551	124.33%	614	-276
Total	10 to < 20	7 412	531	48.38%	7 659	12.84%	18 596	24.86%		8 199	107.05%	260	-109
Total	20 to < 30	1 351	586	49.48%	1 641	25.89%	95	39.00%	2.0	3 546	216.13%	166	-116
Total	30.00 to < 100.00	1 571	55	61.77%	1 599	41.26%	7 335	28.87%	2.0	1 806	112.94%	189	-50
Total	100.00 (Default)												
Total	Subtotal	1 974 495	324 186	49.21%	2 133 484	0.29%	1 436 505	18.53%	1.1	216 531	10.15%	1 617	-934

¹ The amount is based on the number of agreements rather than counterparties for retail exposures

CREDIT RISK

IRB Approach - Credit risk exposures by exposure class and PD range 2021													
F-IRB		On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Number of obligors ¹	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
SEK m	PD range												
Central Governments and Central Banks	0.00 to < 0.15	496 575	33 130	35.38%	508 297		336	44.81%	1.0	7 840	1.54%	6	-11
Central Governments and Central Banks	0.00 to < 0.10	496 575	33 130	35.38%	508 297		336	44.81%	1.0	7 840	1.54%	6	-11
Central Governments and Central Banks	0.10 to < 0.15												
Central Governments and Central Banks	0.15 to < 0.25	183	0	20.00%	184	0.20%	15	44.87%	3.0	80	43.45%	0	0
Central Governments and Central Banks	0.25 to < 0.50												
Central Governments and Central Banks	0.50 to < 0.75												
Central Governments and Central Banks	0.75 to < 2.50	2	0	20.00%	2	1.00%	2	45.00%	3.0	1	75.55%	0	0
Central Governments and Central Banks	0.75 to < 1.75	2	0	20.00%	2	1.00%	2	45.00%	3.0	1	75.55%	0	0
Central Governments and Central Banks	1.75 to < 2.5												
Central Governments and Central Banks	2.50 to < 10.00												
Central Governments and Central Banks	2.5 to < 5												
Central Governments and Central Banks	5 to < 10												
Central Governments and Central Banks	10.00 to < 100.00	1			1	20.00%	1	45.00%	3.0	3	252.53%	0	0
Central Governments and Central Banks	10 to < 20												
Central Governments and Central Banks	20 to < 30	1			1	20.00%	1	45.00%	3.0	3	252.53%	0	0
Central Governments and Central Banks	30.00 to < 100.00												
Central Governments and Central Banks	100.00 (Default)												
Central Governments and Central Banks	Subtotal	496 761	33 131	35.38%	508 483	0.00%	354	44.81%	1.0	7 924	1.56%	6	-11
Institutions	0.00 to < 0.15	28 840	7 076	47.21%	32 180	0.11%	64	17.52%	3.0	5 262	16.35%	6	-3
Institutions	0.00 to < 0.10	2 095	1 745	23.97%	2 513	0.06%	23	18.34%	3.0	325	12.94%	0	0
Institutions	0.10 to < 0.15	26 745	5 331	54.81%	29 667	0.12%	41	17.45%	3.0	4 937	16.64%	6	-3
Institutions	0.15 to < 0.25	1 685	1 678	30.58%	2 198	0.21%	25	37.65%	3.0	1 073	48.81%	2	-1
Institutions	0.25 to < 0.50												
Institutions	0.50 to < 0.75	14	327	43.33%	156	0.56%	9	45.00%	3.0	158	101.43%	0	0
Institutions	0.75 to < 2.50	30	76	49.76%	68	1.63%	16	44.94%	3.0	94	139.00%	0	0
Institutions	0.75 to < 1.75	1	55	49.76%	28	1.04%	10	44.86%	3.0	34	120.84%	0	0
Institutions	1.75 to < 2.5	29	20	49.77%	39	2.05%	6	45.00%	3.0	59	152.25%	0	0
Institutions	2.50 to < 10.00												
Institutions	2.5 to < 5												
Institutions	5 to < 10												
Institutions	10.00 to < 100.00		18	50.00%	9	23.33%	2	45.00%	3.0	23	256.59%	1	
Institutions	10 to < 20		10	50.00%	5	10.00%	1	45.00%	3.0	12	239.17%	0	
Institutions	20 to < 30												
Institutions	30.00 to < 100.00		8	50.00%	4	40.00%	1	45.00%	3.0	11	278.37%	1	
Institutions	100.00 (Default)												
Institutions	Subtotal	30 569	9 174	44.06%	34 611	0.13%	116	18.98%	3.0	6 609	19.10%	10	-4

IRB Approach - Credit risk exposures by exposure class and PD range 2021													
F-IRB		On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Number of obligors ¹	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
SEK m	PD range												
Corporates SME	0.00 to < 0.15	6 722	5 730	60.54%	10 190	0.08%	1 598	18.36%	3.0	783	7.68%	2	-5
Corporates SME	0.00 to < 0.10	3 331	3 544	64.11%	5 603	0.03%	452	12.68%	3.0	181	3.22%	0	-2
Corporates SME	0.10 to < 0.15	3 390	2 186	54.75%	4 587	0.13%	1 146	25.30%	3.0	602	13.13%	1	-3
Corporates SME	0.15 to < 0.25	74	164	68.66%	187	0.17%	34	33.17%	3.0	36	19.04%	0	0
Corporates SME	0.25 to < 0.50	854	471	56.92%	1 122	0.43%	252	33.98%	3.0	372	33.16%	2	0
Corporates SME	0.50 to < 0.75	1 240	941	55.92%	1 766	0.52%	646	32.55%	3.0	624	35.31%	3	-4
Corporates SME	0.75 to < 2.50	712	975	53.80%	1 236	1.75%	715	27.53%	3.0	546	44.16%	6	-15
Corporates SME	0.75 to < 1.75	269	340	63.04%	483	1.41%	183	31.04%	3.0	225	46.48%	2	-1
Corporates SME	1.75 to < 2.5	443	635	48.86%	753	1.96%	532	25.28%	3.0	322	42.68%	4	-14
Corporates SME	2.50 to < 10.00	101	89	51.99%	147	7.12%	101	39.55%	3.0	152	103.52%	4	-4
Corporates SME	2.5 to < 5		0				3						0
Corporates SME	5 to < 10	101	89	52.22%	147	7.12%	98	39.55%	3.0	152	103.52%	4	-4
Corporates SME	10.00 to < 100.00	91	130	45.72%	151	24.60%	100	34.91%	3.0	193	128.03%	11	-12
Corporates SME	10 to < 20	42	112	49.65%	98	16.31%	66	40.49%	3.0	146	148.95%	6	-7
Corporates SME	20 to < 30	10	10	23.39%	13	26.87%	18	35.50%	3.0	17	132.52%	1	-1
Corporates SME	30.00 to < 100.00	39	8	17.46%	40	44.00%	16	21.19%	3.0	31	75.88%	4	-4
Corporates SME	100.00 (Default)												
Corporates SME	Subtotal	9 794	8 500	58.89%	14 800	0.62%	3 446	22.57%	3.0	2 706	18.28%	28	-40
Corporates Other	0.00 to < 0.15	23 677	75 926	58.13%	67 815	0.06%	520	36.04%	3.0	12 640	18.64%	15	-3
Corporates Other	0.00 to < 0.10	14 188	52 743	57.26%	44 388	0.04%	228	33.03%	3.0	5 700	12.84%	5	-1
Corporates Other	0.10 to < 0.15	9 490	23 183	60.12%	23 426	0.10%	292	41.74%	3.0	6 940	29.62%	10	-3
Corporates Other	0.15 to < 0.25	0	230	58.26%	134	0.21%	6	45.00%	3.0	85	63.61%	0	0
Corporates Other	0.25 to < 0.50	3 772	12 800	41.07%	9 029	0.28%	157	39.94%	3.0	4 416	48.91%	10	-3
Corporates Other	0.50 to < 0.75	508	3 374	32.54%	1 606	0.73%	101	44.70%	3.0	1 382	86.01%	5	-1
Corporates Other	0.75 to < 2.50	349	63	64.81%	390	1.95%	23	44.47%	3.0	465	119.37%	3	-5
Corporates Other	0.75 to < 1.75		1				1						0
Corporates Other	1.75 to < 2.5	349	62	65.83%	390	1.95%	22	44.47%	3.0	465	119.37%	3	-5
Corporates Other	2.50 to < 10.00												
Corporates Other	2.5 to < 5												
Corporates Other	5 to < 10												
Corporates Other	10.00 to < 100.00	18	54	16.96%	27	13.94%	19	11.52%	3.0	15	54.01%	0	-1
Corporates Other	10 to < 20	18	43	8.07%	22	10.78%	15	14.44%	3.0	15	67.51%	0	-1
Corporates Other	20 to < 30	0	10	53.57%	6	25.79%	4	0.58%	3.0	0	3.36%	0	0
Corporates Other	30.00 to < 100.00												
Corporates Other	100.00 (Default)												
Corporates Other	Subtotal	28 325	92 447	54.81%	79 001	0.11%	826	36.71%	3.0	19 002	24.05%	34	-13

CREDIT RISK

IRB Approach - Credit risk exposures by exposure class and PD range 2021													
F-IRB		On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Number of obligors¹	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
SEK m	PD range												
Total	0.00 to < 0.15	555 814	121 862	51.43%	618 483	0.02%	2 518	41.99%	1.0	26 524	4.29%	29	-22
Total	0.00 to < 0.10	516 188	91 162	48.94%	560 802	0.01%	1 039	43.44%	1.0	14 046	2.50%	12	-14
Total	0.10 to < 0.15	39 625	30 700	58.81%	57 681	0.11%	1 479	27.94%	3.0	12 479	21.63%	18	-9
Total	0.15 to < 0.25	1 943	2 072	36.67%	2 703	0.21%	80	38.19%	3.0	1 273	47.12%	2	-1
Total	0.25 to < 0.50	4 626	13 271	41.63%	10 151	0.29%	409	39.28%	3.0	4 788	47.17%	12	-4
Total	0.50 to < 0.75	1 762	4 642	38.04%	3 528	0.62%	756	38.63%	3.0	2 163	61.31%	9	-5
Total	0.75 to < 2.50	1 092	1 115	54.15%	1 695	1.79%	756	32.13%	3.0	1 107	65.26%	10	-20
Total	0.75 to < 1.75	271	397	61.00%	513	1.39%	196	31.85%	3.0	260	50.70%	2	-1
Total	1.75 to < 2.5	821	718	50.36%	1 182	1.96%	560	32.25%	3.0	846	71.58%	7	-19
Total	2.50 to < 10.00	101	89	51.99%	147	7.12%	101	39.55%	3.0	152	103.52%	4	-4
Total	2.5 to < 5		0				3						0
Total	5 to < 10	101	89	52.22%	147	7.12%	98	39.55%	3.0	152	103.52%	4	-4
Total	10.00 to < 100.00	111	202	38.47%	188	22.97%	122	32.07%	3.0	234	124.24%	13	-13
Total	10 to < 20	60	165	38.85%	124	15.10%	82	36.16%	3.0	172	138.48%	7	-7
Total	20 to < 30	12	20	38.83%	20	26.14%	23	25.83%	3.0	20	101.91%	1	-1
Total	30.00 to < 100.00	39	16	34.03%	44	43.64%	17	23.34%	3.0	42	94.16%	4	-4
Total	100.00 (Default)												
Total	Subtotal	565 449	143 253	49.88%	636 896	0.04%	4 742	41.88%	1.1	36 242	5.69%	78	-69
Total	(all exposures classes)	2 539 944	467 438	49.42%	2 770 380	0.23%	1 441 247	23.90%	1.2	252 773	9.12%	1 696	-1 003

¹ The amount is based on the number of agreements rather than counterparties for retail exposures

EU CR6-A Scope of the use of IRB and SA approaches

Scope of the use of IRB and SA approaches 2021		Exposure value as defined in Article 166 CRR for exposures subject to IRB approach	Total exposure value for exposures subject to the Standardised approach and to the IRB approach	Percentage of total exposure value subject to the permanent partial use of the SA (%)	Percentage of total exposure value subject to IRB Approach (%)	Percentage of total exposure value subject to a roll-out plan (%)
SEK m						
1	Central governments or central banks	476 719	582 995	18.22%	0.01%	81.77%
1.1	<i>Of which Regional governments or local authorities</i>		17 783	0.68%		99.32%
1.2	<i>Of which Public sector entities</i>					
2	Institutions	50 418	55 398	8.04%	0.95%	91.01%
3	Corporates	1 293 452	1 571 050	0.61%	17.06%	82.33%
3.1	<i>Of which Corporates - Specialised lending, excluding slotting approach</i>					
3.2	<i>Of which Corporates - Specialised lending under slotting approach</i>					
4	Retail	1 224 259	1 361 985	1.00%	9.11%	89.89%
4.1	<i>of which Retail – Secured by real estate SMEs</i>		11 476	0.83%	7.74%	91.44%
4.2	<i>of which Retail – Secured by real estate non-SMEs</i>		1 267 166	0.47%	8.24%	91.29%
4.3	<i>of which Retail – Qualifying revolving</i>					
4.4	<i>of which Retail – Other SMEs</i>		13 701	1.38%	11.69%	86.94%
4.5	<i>of which Retail – Other non-SMEs</i>		69 642	0.87%	27.00%	72.14%
5	Equity	926	7 540	87.72%		12.28%
6	Other non-credit obligation assets	12 235	12 235			100.00%
7	Total	3 058 009	3 591 203	3.91%	10.93%	85.15%

EU CR7 IRB approach - Effect on the RWEAs of credit derivatives used as CRM techniques

The table shows gross risk exposure amount and net risk exposure amount after taking into account the impact of netting agreements and collateral posting. Risk exposure amount is now shown without taking pillar 1 floors in consideration and as such is lower than previous publications. Handelsbanken's risk exposure amount is not affected by credit derivatives.

IRB Approach - Effect on the RWEAs of credit derivatives used as CRM techniques 2021		Pre-credit derivatives risk weighted exposure amount	Actual risk weighted Exposure amount
SEK m			
1	Exposures under F-IRB	36 242	36 242
2	Central governments and central banks	7 924	7 924
3	Institutions	6 609	6 609
4	Corporates	21 709	21 709
4.1	<i>of which Corporates – SMEs</i>	2 706	2 706
4.2	<i>of which Corporates - Specialised lending</i>		
5	Exposures under A-IRB	224 096	224 096
6	Central governments and central banks		
7	Institutions		
8	Corporates	145 437	145 437
8.1	<i>of which Corporates – SMEs</i>	73 761	73 761
8.2	<i>of which Corporates - Specialised lending</i>		
9	Retail	78 659	78 659
9.1	<i>of which Retail – SMEs - Secured by immovable property collateral</i>	3 272	3 272
9.2	<i>of which Retail – non-SMEs - Secured by immovable property collateral</i>	63 346	63 346
9.3	<i>of which Retail – Qualifying revolving</i>		
9.4	<i>of which Retail – SMEs – Other</i>	2 818	2 818
9.5	<i>of which Retail – Non-SMEs- Other</i>	9 223	9 223
10	TOTAL (including F-IRB exposures and A-IRB exposures)	260 338	260 338

EU CR7-A IRB approach - Disclosure of the extent of the use of CRM techniques

IRB approach – Disclosure of the extent of the use of CRM techniques 2021		Credit risk Mitigation techniques												Credit risk Mitigation methods in the calculation of RWEAs	
		Funded credit Protection (FCP)										Unfunded credit Protection (UFCP)		RWEA without substitution effects (reduction effects only)	RWEA with substitution effects (both reduction and substitution effects)
		Total exposures	Part of exposures covered by Financial Collaterals (%)	Part of exposures covered by Other eligible collaterals (%)	Part of exposures covered by Immovable property Collaterals (%)	Part of exposures covered by Receivables (%)	Part of exposures covered by Other physical collateral (%)	Part of exposures covered by Other funded credit protection (%)	Part of exposures covered by Cash on deposit (%)	Part of exposures covered by Life insurance policies (%)	Part of exposures covered by Instruments held by a third party	Part of exposures covered by Guarantees (%)	Part of exposures covered by Credit Derivatives (%)		
Row															
1	Central governments and central banks														
2	Institutions														
3	Corporates	952 709	0.00%	78.01%	77.41%		0.60%	0.00%	0.00%			4.03%		164 490	162 898
3.1	Of which Corporates - SMEs	645 675	0.00%	93.68%	92.86%		0.81%					2.40%		89 288	87 809
3.2	Of which Corporates Specialised lending														
3.3	Of which Corporates Other	307 034		45.07%	44.91%		0.16%	0.00%	0.00%			7.45%		75 202	75 089
4	Retail	1 327 546	1.28%	88.58%	87.82%		0.76%	0.17%	0.17%			1.32%		314 575	313 801
4.1	Of which Retail - Immovable property SMEs	10 234	0.04%	95.71%	95.51%		0.20%	0.09%	0.09%			0.00%		3 377	3 377
4.2	Of which retail - Immovable property non-SMEs	1 156 868	0.04%	99.74%	99.73%		0.00%	0.01%	0.01%					275 623	275 623
4.3	Of which retail - Qualifying revolving														
4.4	Of which retail - Other SMEs	10 387	2.24%	13.15%	0.00%		13.15%	0.49%	0.49%			0.14%		2 819	2 818
4.4	Of which retail - Other non-SMEs	44 106	8.42%	19.43%	0.00%		19.43%	0.98%	0.98%			2.02%		9 259	9 226
5	Total	2 280 255	0.21%	88.15%	87.43%		0.72%	0.03%	0.03%			1.81%		479 065	476 699

IRB approach – Disclosure of the extent of the use of CRM techniques 2021		Credit risk Mitigation techniques											Credit risk Mitigation methods in the calculation of RWEAs		
		Funded credit Protection (FCP)										Unfunded credit Protection (UFCP)		RWEA without substitution effects (reduction effects only)	RWEA with substitution effects (both reduction and substitution effects)
		Total exposures	Part of exposures covered by Financial Collaterals (%)	Part of exposures covered by Other eligible collaterals (%)	Part of exposures covered by Immovable property Collaterals (%)	Part of exposures covered by Receivables (%)	Part of exposures covered by Other physical collateral (%)	Part of exposures covered by Other funded credit protection (%)	Part of exposures covered by Cash on deposit (%)	Part of exposures covered by Life insurance policies (%)	Part of exposures covered by Instruments held by a third party	Part of exposures covered by Guarantees (%)	Part of exposures covered by Credit Derivatives (%)		
Row															
1	Central governments and central banks	461 437	0.00%	0.01%	0.01%							0.16%		5 692	8 101
2	Institutions	45 935	0.04%					0.00%	0.00%			4.55%		11 023	11 228
3	Corporates	125 591	14.25%	4.39%	4.19%		0.20%	2.65%	2.65%			14.63%		26 981	26 073
3.1	Of which Corporates - SMEs	19 640	27.50%	16.05%	15.01%		1.04%	8.33%	8.33%			8.97%		3 483	3 315
3.2	Of which Corporates Specialised lending														
3.3	Of which Corporates Other	105 951	11.79%	2.23%	2.18%		0.04%	1.59%	1.59%			15.67%		23 498	22 757
4	Total	632 963	2.83%	0.88%	0.84%		0.04%	0.52%	0.52%			3.35%		43 696	45 402

EU CR8 RWEA flow statements of credit risk exposures under the IRB approach

The following table shows the change for risk exposure amount for credit risk calculated by the IRB Approach. It further specifies the capital requirement. The change of risk exposure amount is broken down by type of driver. The risk exposure amount has increased compared to the previous Period. The main driver is asset size.

RWEA flow statements of credit risk exposures under the IRB Approach 2021		Risk weighted exposure amount
SEK m		
1	RWAs as at the end of the previous reporting period	512 254
2	Asset size	27 320
3	Asset quality	-18 900
4	Model updates	5 645
5	Methodology and policy	-48 093
6	Acquisitions and disposals	0
7	Foreign exchange movements	8 352
8	Other	28 353
9	Risk weighted exposure amount as at the end of the reporting period	514 931

EU CR9 IRB approach - Back-testing of PD per exposure class (fixed PD scale)

IRB Approach – Backtesting of PD by exposure class 2021		Number of obligors at the end of previous year					
A- IRB							
Exposure class	PD range		Of which number of obligors which defaulted in the year	Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
Corporate exposures: SMEs	0.00 to <0.15	30 728	8	0.03%	0.07%	0.09%	0.02%
Corporate exposures: SMEs	0.00 to <0.10	15 913			0.05%	0.04%	0.01%
Corporate exposures: SMEs	0.10 to <0.15	14 815	8	0.05%	0.12%	0.14%	0.03%
Corporate exposures: SMEs	0.15 to <0.25				0.17%		0.06%
Corporate exposures: SMEs	0.25 to <0.50	7 368			0.43%	0.47%	0.07%
Corporate exposures: SMEs	0.50 to <0.75	3 388	1	0.03%	0.52%	0.56%	0.17%
Corporate exposures: SMEs	0.75 to <2.50	6 503	19	0.29%	1.60%	1.85%	0.47%
Corporate exposures: SMEs	0.75 to <1.75	3 536	9	0.25%	1.46%	1.62%	0.41%
Corporate exposures: SMEs	1.75 to <2.5	2 967	10	0.34%	1.96%	2.11%	0.55%
Corporate exposures: SMEs	2.50 to <10.00	959	19	1.98%	5.76%	7.37%	2.26%
Corporate exposures: SMEs	2.5 to <5				3.04%		2.30%
Corporate exposures: SMEs	5 to <10	959	19	1.98%	5.82%	7.37%	2.82%
Corporate exposures: SMEs	10.00 to <100.00	758	55	7.26%	29.28%	28.06%	8.53%
Corporate exposures: SMEs	10 to <20	358	13	3.63%	16.31%	17.05%	4.04%
Corporate exposures: SMEs	20 to <30	130	9	6.92%	26.87%	28.08%	8.95%
Corporate exposures: SMEs	30.00 to <100.00	270	33	12.22%	42.49%	42.65%	13.72%
Corporate exposures: SMEs	100.00 (Default)	235	20	8.51%		100.00%	10.57%
Corporates Other	0.00 to <0.15	1 969			0.07%	0.08%	0.01%
Corporates Other	0.00 to <0.10	830			0.03%	0.04%	
Corporates Other	0.10 to <0.15	1 139			0.11%	0.12%	0.02%
Corporates Other	0.15 to <0.25						0.09%
Corporates Other	0.25 to <0.50	735			0.32%	0.33%	
Corporates Other	0.50 to <0.75				0.73%		
Corporates Other	0.75 to <2.50	480			1.55%	1.19%	0.69%
Corporates Other	0.75 to <1.75	370			1.51%	0.94%	0.71%
Corporates Other	1.75 to <2.5	110			1.95%	2.04%	
Corporates Other	2.50 to <10.00	34			5.42%	8.94%	0.80%
Corporates Other	2.5 to <5						
Corporates Other	5 to <10	34			5.42%	8.94%	0.80%
Corporates Other	10.00 to <100.00	34	1	2.94%	26.16%	30.87%	6.72%
Corporates Other	10 to <20				10.78%		4.19%
Corporates Other	20 to <30	22			25.79%	22.25%	1.45%
Corporates Other	30.00 to <100.00	12	1	8.33%	40.14%	46.67%	12.19%
Corporates Other	100.00 (Default)	22	2	9.09%		100.00%	17.40%
Retail Secured by real estate property: SME	0.00 to <0.15	981	1	0.10%	0.07%	0.08%	0.08%
Retail Secured by real estate property: SME	0.00 to <0.10	739	1	0.14%	0.06%	0.06%	0.08%
Retail Secured by real estate property: SME	0.10 to <0.15	242			0.14%	0.14%	0.12%
Retail Secured by real estate property: SME	0.15 to <0.25	1 396	1	0.07%	0.17%	0.17%	0.02%
Retail Secured by real estate property: SME	0.25 to <0.50	2 584	5	0.19%	0.43%	0.43%	0.30%
Retail Secured by real estate property: SME	0.50 to <0.75	1 247	3	0.24%	0.64%	0.64%	0.20%
Retail Secured by real estate property: SME	0.75 to <2.50	2 323	17	0.73%	1.56%	1.65%	0.51%
Retail Secured by real estate property: SME	0.75 to <1.75	1 551	6	0.39%	1.28%	1.30%	0.27%
Retail Secured by real estate property: SME	1.75 to <2.5	772	11	1.42%	2.25%	2.36%	1.20%
Retail Secured by real estate property: SME	2.50 to <10.00	1 220	31	2.54%	6.30%	6.55%	4.47%
Retail Secured by real estate property: SME	2.5 to <5	376	6	1.60%	3.61%	3.42%	3.03%
Retail Secured by real estate property: SME	5 to <10	844	25	2.96%	7.76%	7.94%	5.16%

IRB Approach – Backtesting of PD by exposure class 2021		Number of obligors at the end of previous year					
A- IRB							
Exposure class	PD range		Of which number of obligors which defaulted in the year	Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
Retail Secured by real estate property: SME	10.00 to <100.00	158	11	6.96%	23.63%	23.04%	8.78%
Retail Secured by real estate property: SME	10 to <20	85	9	10.59%	16.72%	16.83%	8.96%
Retail Secured by real estate property: SME	20 to <30						8.33%
Retail Secured by real estate property: SME	30.00 to <100.00	73	2	2.74%	30.25%	30.27%	5.78%
Retail Secured by real estate property: SME	100.00 (Default)	73	35	47.95%		100.00%	23.63%
Retail Secured by real estate property: Other Non-SME	0.00 to <0.15	482 837	283	0.06%	0.06%	0.07%	0.06%
Retail Secured by real estate property: Other Non-SME	0.00 to <0.10	352 763	124	0.04%	0.05%	0.05%	0.04%
Retail Secured by real estate property: Other Non-SME	0.10 to <0.15	130 074	159	0.12%	0.14%	0.14%	0.12%
Retail Secured by real estate property: Other Non-SME	0.15 to <0.25	35 581	16	0.04%	0.18%	0.18%	0.07%
Retail Secured by real estate property: Other Non-SME	0.25 to <0.50	71 694	192	0.27%	0.30%	0.30%	0.30%
Retail Secured by real estate property: Other Non-SME	0.50 to <0.75	11 648	20	0.17%	0.62%	0.61%	0.39%
Retail Secured by real estate property: Other Non-SME	0.75 to <2.50	22 523	256	1.14%	1.78%	1.63%	1.30%
Retail Secured by real estate property: Other Non-SME	0.75 to <1.75	10 074	49	0.49%	1.33%	1.17%	0.97%
Retail Secured by real estate property: Other Non-SME	1.75 to <2.5	12 449	207	1.66%	2.01%	2.01%	6.27%
Retail Secured by real estate property: Other Non-SME	2.50 to <10.00	462	15	3.25%	3.14%	3.23%	3.56%
Retail Secured by real estate property: Other Non-SME	2.5 to <5	447	14	3.13%	3.14%	3.13%	3.56%
Retail Secured by real estate property: Other Non-SME	5 to <10	15	1	6.67%		6.22%	5.96%
Retail Secured by real estate property: Other Non-SME	10.00 to <100.00	5 800	572	9.86%	12.11%	11.95%	12.95%
Retail Secured by real estate property: Other Non-SME	10 to <20	5 797	572	9.87%	12.11%	11.93%	12.85%
Retail Secured by real estate property: Other Non-SME	20 to <30						26.67%
Retail Secured by real estate property: Other Non-SME	30.00 to <100.00	3				40.52%	14.29%
Retail Secured by real estate property: Other Non-SME	100.00 (Default)	939	603	64.22%		100.00%	22.49%
Retail Other SME	0.00 to <0.15	309			0.08%	0.09%	0.02%
Retail Other SME	0.00 to <0.10	196			0.06%	0.06%	
Retail Other SME	0.10 to <0.15	113			0.14%	0.14%	0.02%
Retail Other SME	0.15 to <0.25	23 539	24	0.10%	0.17%	0.17%	0.10%
Retail Other SME	0.25 to <0.50	13 985	22	0.16%	0.44%	0.43%	0.30%
Retail Other SME	0.50 to <0.75	12 808	49	0.38%	0.64%	0.64%	0.59%
Retail Other SME	0.75 to <2.50	10 030	110	1.10%	1.73%	2.01%	1.24%
Retail Other SME	0.75 to <1.75	3 638	21	0.58%	1.42%	1.44%	0.86%
Retail Other SME	1.75 to <2.5	6 392	89	1.39%	2.36%	2.33%	1.49%
Retail Other SME	2.50 to <10.00	4 809	190	3.95%	7.02%	6.68%	4.59%
Retail Other SME	2.5 to <5	1 703	44	2.58%	3.17%	3.39%	2.74%
Retail Other SME	5 to <10	3 106	146	4.70%	7.77%	8.48%	5.62%
Retail Other SME	10.00 to <100.00	339	40	11.80%	20.97%	23.69%	14.08%
Retail Other SME	10 to <20	209	18	8.61%	15.88%	16.22%	12.41%
Retail Other SME	20 to <30						18.45%
Retail Other SME	30.00 to <100.00	130	22	16.92%	30.46%	35.69%	20.63%
Retail Other SME	100.00 (Default)	497	131	26.36%		100.00%	11.51%
Retail Other Non-SME	0.00 to <0.15	289 339	163	0.06%	0.08%	0.07%	0.07%
Retail Other Non-SME	0.00 to <0.10	276 274	144	0.05%	0.07%	0.07%	0.06%
Retail Other Non-SME	0.10 to <0.15	13 065	19	0.15%	0.14%	0.14%	0.14%
Retail Other Non-SME	0.15 to <0.25	6 442	2	0.03%	0.17%	0.20%	0.18%
Retail Other Non-SME	0.25 to <0.50	370 079	1 379	0.37%	0.34%	0.31%	0.34%
Retail Other Non-SME	0.50 to <0.75	16 641	107	0.64%	0.54%	0.51%	0.60%
Retail Other Non-SME	0.75 to <2.50	116 641	1 473	1.26%	1.42%	1.37%	1.04%
Retail Other Non-SME	0.75 to <1.75	73 372	705	0.96%	1.05%	1.00%	0.94%
Retail Other Non-SME	1.75 to <2.5	43 269	768	1.77%	1.98%	1.98%	1.47%
Retail Other Non-SME	2.50 to <10.00	44 620	2 073	4.65%	5.50%	5.60%	4.72%
Retail Other Non-SME	2.5 to <5	737	49	6.65%	3.01%	3.00%	4.93%
Retail Other Non-SME	5 to <10	43 883	2 024	4.61%	5.63%	5.65%	5.10%
Retail Other Non-SME	10.00 to <100.00	24 463	4 383	17.92%	19.38%	22.51%	15.88%
Retail Other Non-SME	10 to <20	16 899	1 890	11.18%	13.13%	13.69%	13.23%
Retail Other Non-SME	20 to <30						23.28%
Retail Other Non-SME	30.00 to <100.00	7 564	2 493	32.96%	42.28%	42.23%	32.03%
Retail Other Non-SME	100.00 (Default)	12 437	3 479	27.97%		100.00%	9.88%
Total A-IRB	0.00 to <0.15	783 390	443	0.06%	0.07%	0.07%	0.06%
Total A-IRB	0.00 to <0.10	624 803	258	0.04%	0.05%	0.06%	0.05%
Total A-IRB	0.10 to <0.15	158 587	185	0.12%	0.13%	0.14%	0.11%
Total A-IRB	0.15 to <0.25	66 480	43	0.06%	0.17%	0.18%	0.12%
Total A-IRB	0.25 to <0.50	466 007	1 592	0.34%	0.35%	0.31%	0.32%
Total A-IRB	0.50 to <0.75	45 580	179	0.39%	0.61%	0.58%	0.44%
Total A-IRB	0.75 to <2.50	158 167	1 869	1.18%	1.65%	1.47%	1.09%
Total A-IRB	0.75 to <1.75	92 356	789	0.85%	1.42%	1.07%	0.93%
Total A-IRB	1.75 to <2.5	65 811	1 080	1.64%	2.01%	2.03%	1.60%
Total A-IRB	2.50 to <10.00	52 029	2 327	4.47%	5.76%	5.73%	4.56%

IRB Approach – Backtesting of PD by exposure class 2021		Number of obligors at the end of previous year					
A- IRB							
Exposure class	PD range		Of which number of obligors which defaulted in the year	Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
Total A-IRB	2.5 to <5	3 239	112	3.46%	3.27%	3.27%	3.56%
Total A-IRB	5 to <10	48 790	2 215	4.54%	6.13%	5.90%	5.09%
Total A-IRB	10.00 to <100.00	30 828	4 935	16.01%	18.98%	20.97%	14.81%
Total A-IRB	10 to <20	22 622	2 373	10.49%	12.84%	13.43%	12.68%
Total A-IRB	20 to <30	152	9	5.92%	25.89%	27.24%	9.25%
Total A-IRB	30.00 to <100.00	8 054	2 553	31.70%	41.26%	42.04%	21.85%
Total A-IRB	100.00 (Default)	14 118	4 208	29.81%		100.00%	11.36%

IRB Approach – Backtesting of PD by exposure class 2021		Number of obligors at the end of previous year					
F- IRB							
Exposure class	PD range		Of which number of obligors which defaulted in the year	Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
Central governments or central banks	0.00 to <0.15	367				0.01%	
Central governments or central banks	0.00 to <0.10	367				0.01%	
Central governments or central banks	0.10 to <0.15						
Central governments or central banks	0.15 to <0.25	16			0.20%	0.20%	
Central governments or central banks	0.25 to <0.50						
Central governments or central banks	0.50 to <0.75						
Central governments or central banks	0.75 to <2.50	3			1.00%	1.00%	
Central governments or central banks	0.75 to <1.75	3			1.00%	1.00%	
Central governments or central banks	1.75 to <2.5						
Central governments or central banks	2.50 to <10.00						
Central governments or central banks	2.5 to <5						
Central governments or central banks	5 to <10						
Central governments or central banks	10.00 to <100.00	1			20.00%	20.00%	
Central governments or central banks	10 to <20						
Central governments or central banks	20 to <30	1			20.00%	20.00%	
Central governments or central banks	30.00 to <100.00						
Central governments or central banks	100.00 (Default)						
Corporates SME	0.00 to <0.15	2 234	1	0.04%	0.08%	0.12%	0.03%
Corporates SME	0.00 to <0.10	614			0.03%	0.04%	0.02%
Corporates SME	0.10 to <0.15	1 620	1	0.06%	0.13%	0.14%	0.04%
Corporates SME	0.15 to <0.25				0.17%		0.05%
Corporates SME	0.25 to <0.50	558			0.43%	0.48%	0.07%
Corporates SME	0.50 to <0.75	1 530	1	0.07%	0.52%	0.56%	0.40%
Corporates SME	0.75 to <2.50	1 239	4	0.32%	1.75%	2.02%	0.81%
Corporates SME	0.75 to <1.75	245			1.41%	1.66%	1.05%
Corporates SME	1.75 to <2.5	994	4	0.40%	1.96%	2.11%	0.69%
Corporates SME	2.50 to <10.00	243	3	1.23%	7.12%	7.75%	2.38%
Corporates SME	2.5 to <5						2.04%
Corporates SME	5 to <10	243	3	1.23%	7.12%	7.75%	2.85%
Corporates SME	10.00 to <100.00	139	5	3.60%	24.60%	23.20%	10.49%
Corporates SME	10 to <20	90	1	1.11%	16.31%	17.05%	4.82%
Corporates SME	20 to <30	28	1	3.57%	26.87%	28.08%	15.23%
Corporates SME	30.00 to <100.00	21	3	14.29%	44.00%	43.04%	18.38%
Corporates SME	100.00 (Default)	26	3	11.54%		100.00%	13.15%
Corporates Other	0.00 to <0.15	547			0.06%	0.08%	0.08%
Corporates Other	0.00 to <0.10	227			0.04%	0.04%	0.05%
Corporates Other	0.10 to <0.15	320			0.10%	0.11%	0.05%
Corporates Other	0.15 to <0.25				0.21%		
Corporates Other	0.25 to <0.50	237			0.28%	0.29%	0.07%
Corporates Other	0.50 to <0.75				0.73%		
Corporates Other	0.75 to <2.50	194	1	0.52%	1.95%	1.10%	0.46%
Corporates Other	0.75 to <1.75	148	1	0.68%		0.82%	0.50%
Corporates Other	1.75 to <2.5	46			1.95%	2.04%	
Corporates Other	2.50 to <10.00	21				9.16%	
Corporates Other	2.5 to <5						

IRB Approach – Backtesting of PD by exposure class 2021			Number of obligors at the end of previous year				
F- IRB							
Exposure class	PD range		Of which number of obligors which defaulted in the year	Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
Corporates Other	5 to <10		21			9.16%	
Corporates Other	10.00 to <100.00		10		13.94%	25.03%	1.05%
Corporates Other	10 to <20				10.78%		2.90%
Corporates Other	20 to <30		9		25.79%	22.25%	
Corporates Other	30.00 to <100.00		1			50.00%	
Corporates Other	100.00 (Default)		4	1	25.00%	100.00%	18.52%
Special lending	0.00 to <0.15		92			0.12%	
Special lending	0.00 to <0.10		18			0.04%	
Special lending	0.10 to <0.15		74			0.14%	
Special lending	0.15 to <0.25						
Special lending	0.25 to <0.50		85			0.48%	
Special lending	0.50 to <0.75						
Special lending	0.75 to <2.50		28			1.73%	
Special lending	0.75 to <1.75		28			1.73%	
Special lending	1.75 to <2.5						
Special lending	2.50 to <10.00						50.00%
Special lending	2.5 to <5						
Special lending	5 to <10						50.00%
Special lending	10.00 to <100.00		1			40.00%	
Special lending	10 to <20						
Special lending	20 to <30						
Special lending	30.00 to <100.00		1			40.00%	
Special lending	100.00 (Default)						100.00%
Total F-IRB	0.00 to <0.15		3 240	1	0.03%	0.10%	0.04%
Total F-IRB	0.00 to <0.10		1 226			0.03%	0.02%
Total F-IRB	0.10 to <0.15		2 014	1	0.05%	0.14%	0.04%
Total F-IRB	0.15 to <0.25		16			0.20%	0.04%
Total F-IRB	0.25 to <0.50		880			0.43%	0.08%
Total F-IRB	0.50 to <0.75		1 530	1	0.07%	0.56%	0.40%
Total F-IRB	0.75 to <2.50		1 464	5	0.34%	1.89%	0.73%
Total F-IRB	0.75 to <1.75		424	1	0.24%	1.37%	0.79%
Total F-IRB	1.75 to <2.5		1 040	4	0.38%	2.11%	0.67%
Total F-IRB	2.50 to <10.00		264	3	1.14%	7.86%	2.18%
Total F-IRB	2.5 to <5						0.80%
Total F-IRB	5 to <10		264	3	1.14%	7.86%	2.57%
Total F-IRB	10.00 to <100.00		151	5	3.31%	23.41%	9.33%
Total F-IRB	10 to <20		90	1	1.11%	17.05%	5.39%
Total F-IRB	20 to <30		38	1	2.63%	26.49%	11.99%
Total F-IRB	30.00 to <100.00		23	3	13.04%	43.21%	12.78%
Total F-IRB	100.00 (Default)		30	4	13.33%	100.00%	14.60%

EU CR9.1 IRB approach – Back-testing of PD per exposure class (only for PD estimates according to point (f) of Article 180(1) CRR)

IRB approach – Back-testing of PD per exposure class (only for PD estimates according to point (f) of Article 180(1) CRR) 2021			Number of obligors at the end of previous year				
F-IRB							
				Of which number of obligors which defaulted in the year	Observed average default rate (%)	Average PD (%)	Average historical annual default rate (%)
Exposure class	PD range	External rating equivalent					
Institutions	0,00% to < 0,10%	Aaa,Aa	27			0.06%	
Institutions	0,10% to < 0,20%	Aa,A	42			0.12%	
Institutions	0,20% to < 0,50%	A,Baa	41			0.21%	
Institutions	0,50% to < 1,00%	Baa	9			0.56%	
Institutions	1,00% to < 2,00%	Baa,Ba	10			1.04%	
Institutions	2,00% to < 5,00%	Ba	10			2.05%	
Institutions	5,00% to < 25,00%	B	3			10.00%	
Institutions	25,00% to < 35,00%	B,Caa					
Institutions	35.00% to < 100.00%	Caa,C	3			40.00%	

SPECIALISED LENDING

EU CR10 Specialised lending and equity exposures under the simple riskweighted approach

The following table shows carrying values, exposure amounts, risk-weighted assets and capital requirements for specialised lending and equity exposures. Risk-weighted assets are calculated using the simple risk-weighted approach. Risk-weighted assets have increased compared to the previous period.

Equity exposures under the simple risk-weighted approach 2021						
SEK m	On-balance-sheet exposure	Off-balance-sheet exposure	Risk weight	Exposure value	Risk weighted exposure amount	Expected loss amount
Private equity exposures			190%			
Exchange-traded equity exposures	0	0	290%	0	0	0
Other equity exposures	926	0	370%	926	3 427	22
Total	926	0		926	3 427	22

COUNTERPARTY CREDIT RISK

EU CCRA Qualitative disclosure related to CCR

Article 439 (a) CRR.

Description of the methodology used to assign internal capital and credit limits for counterparty credit exposures, including the methods to assign those limits to exposures to central counterparties

The value fluctuation risk for transactions longer than spot (foreign exchange risk, equity risk, commodity risk and interest rate risks) is included in the Bank's credit limit for the client. For limitation purposes, the exposure for counterparty credit risk is calculated as the current mark-to-market value (MTM) plus an Add-on to cover future changes in the MTM value.

The Bank assigns limits to central counterparties for value fluctuation risk in terms of the replacement cost should the central counterparty default, and for the risk of the central counterparty needing to utilise the Bank's funds to cover losses as a result of other members defaulting.

Article 439 (b) CRR.

Description of policies related to guarantees and other credit risk mitigants, such as the policies for securing collateral and establishing credit reserves

The counterparty credit risk in derivatives is reduced through close-out netting agreements, which involve offsetting positive values against negative values in all derivative transactions with the same counterparty. Netting agreements are supplemented with credit support annex (CSA) agreements, for issuing collateral for the net exposure, which further reduces the counterparty credit risk. The collateral for these transactions is mainly cash, but government instruments are also used. Due to the high proportion of cash, the concentration risks in the collateral are limited.

Article 439 (c) CRR.

Description of policies with respect to Wrong-Way risk as defined in Article 291 of the CRR

The Bank has very limited exposure to wrong-way risk, as derivative transactions are generally client driven with the purpose of hedging the clients' business from market risk exposures (i.e. the opposite of wrong-way risk). In order to formalise the evaluation of specific wrong-way risk to ensure no customer deviates from the general assessment of correlation, a formal evaluation will be integrated into the customer onboarding process.

Article 431 (3) and (4) CRR.

Any other risk management objectives and relevant policies related to CCR

The credit policy describes the Bank's risk tolerance for counterparty credit risk. The risk tolerance concerning counterparty credit risk is expressed in terms of a level derived from a forward-looking stress test for CVA. Limits based on the stress test result are monitored daily and distributed to the business unit responsible for managing the counterparty credit risk in the Bank.

Counterparty credit risk is reported to the Board periodically via the Group risk report. Counterparty credit risk is also reported through the Bank's risk committee. The risk tolerance is monitored and reported daily within the risk control function and the business unit responsible for managing the counterparty credit risk in the Bank.

Article 439 (d)

CRR The amount of collateral the institution would have to provide if its credit rating was downgraded

A small number of the collateral agreements entered into by the Bank include terms and conditions concerning ratings-based threshold amounts for Handelsbanken. These conditions mean that the Bank must provide further collateral for the counterparty in question, in the event of external parties lowering the Bank's rating. At year-end, a downgrading from AA/Aa2 to AA-/Aa3 would have meant the Bank having to provide additional collateral of SEK 0m (60).

EU CCR1 Analysis of CCR exposure by approach

The table shows the approach used to calculate credit counterparty risk (CCR) exposure and REA and the main parameters used within each approach.

Analysis of CCR exposure by approach 2021		Replac ement cost (RC)	Potential future exposure (PFE)	EEPE	Alpha used for computing regulatory exposure value	Exposure value pre-CRM	Exposure value post-CRM	Exposure value	RWEA
SEK m									
EU-1	EU - Original Exposure Method (for derivatives)				1.4				
EU-2	EU - Simplified SA-CCR (for derivatives)				1.4				
1	SA-CCR (for derivatives)	6 867	13 688		1.4	58 692	28 695	28 646	8 924
2	IMM (for derivatives and SFTs)								
2a	Of which securities financing transactions netting sets								
2b	Of which derivatives and long settlement transactions netting sets								
2c	Of which from contractual cross-product netting sets								
3	Financial collateral simple method (for SFTs)								
4	Financial collateral comprehensive method (for SFTs)					7 839		4 995	505
5	VaR for SFTs								
6	Total					66 531	28 695	33 641	9 429

EU CCR2 Transactions subject to own funds requirements for CVA risk

The table shows exposure value and risk-weighted assets for credit value adjustment (CVA) broken down by approach. Risk-weighted assets have increased compared to the previous year.

Transactions subject to own funds requirements for CVA risk 2021		Exposure value	RWEA
SEK m			
1	Total transactions subject to the Advanced method		
2	(i) VaR component (including the 3x multiplier)		
3	(ii) stressed VaR component (including the 3x multiplier)		
4	Transactions subject to the Standardised method	12 327	2 614
EU-4	Transactions subject to the Alternative approach (Based on the Original Exposure Method)		
5	Total transactions subject to own funds requirements for CVA risk	12 327	2 614

EU CCR3 Standardised approach - CCR exposures by regulatory exposure class and risk weights

The table shows EAD for credit counterparty risk (CCR) according to the standardised approach. Amounts are broken down by exposure class and risk weight. The regulatory capital requirement has decreased compared to the previous year.

Standardised approach - CCR exposures by regulatory portfolio and risk 2021		Risk weight												Total exposure value
SEK m		0%	2%	4%	10%	20%	35%	50%	70%	75%	100%	150%	Others	
1	Central governments or central banks													
2	Regional governments or local authorities													
3	Public sector entities													
4	Multilateral development banks	16												16
5	International organisations													
6	Institutions		3 105			55								3 160
7	Corporates										3			3
8	Retail									24				24
9	Institutions and corporates with a short-term credit assessment													
10	Other items										5		0	5
11	Total exposure value	16	3 105			55				24	8		0	3 208

EU CCR4 IRB approach-CCR exposures by portfolio and PD scale

The table shows credit counterparty risk (CCR) exposures and risk-weighted assets subject to the IRB Approach. Amounts are broken down by exposure class and obligor grade. The table further specifies average PD, average LGD and resulting risk weights. The total exposure has decreased compared to the previous period.

IRB Approach - CCR exposures by exposure class and PD scale 2021			Exposure value	Exposure weighted average PD (%)	Number of obligors	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	RWEA	Density of risk weighted exposure amounts
SEK m		PD scale							
1	Central Governments and Central Banks	0.00 to < 0.15	7 084		38	44.98%	2.00	177	2.50%
2	Central Governments and Central Banks	0.15 to < 0.25							
3	Central Governments and Central Banks	0.25 to < 0.50							
4	Central Governments and Central Banks	0.50 to < 0.75							
5	Central Governments and Central Banks	0.75 to < 2.50							
6	Central Governments and Central Banks	2.50 to < 10.00							
7	Central Governments and Central Banks	10.00 to < 100.00							
8	Central Governments and Central Banks	100.00 (Default)							
9	Central Governments and Central Banks	Subtotal (exposure class)	7 084		38	44.98%	2.00	177	2.50%
10	Institutions	0.00 to < 0.15	7 582	0.11%	48	44.88%	2.00	3 039	40.10%
11	Institutions	0.15 to < 0.25	1 992	0.21%	10	45.00%	2.00	1 253	62.88%
12	Institutions	0.25 to < 0.50							
13	Institutions	0.50 to < 0.75	315	0.56%	5	45.00%	3.00	320	101.42%
14	Institutions	0.75 to < 2.50	6	1.04%	1	45.00%	3.00	6	99.24%
15	Institutions	2.50 to < 10.00							
16	Institutions	10.00 to < 100.00							
17	Institutions	100.00 (Default)							
18	Institutions	Subtotal (exposure class)	9 895	0.14%	64	44.91%	2.00	4 618	46.68%
19	Corporates SME	0.00 to < 0.15	2 757	0.07%	494	44.83%	2.00	384	13.93%
20	Corporates SME	0.15 to < 0.25			1				
21	Corporates SME	0.25 to < 0.50	273	0.42%	81	43.06%	3.00	117	42.76%
22	Corporates SME	0.50 to < 0.75	73	0.52%	85	41.60%	3.00	34	45.80%
23	Corporates SME	0.75 to < 2.50	98	1.67%	76	43.20%	3.00	73	74.10%
24	Corporates SME	2.50 to < 10.00	10	5.58%	8	44.95%	3.00	12	123.03%
25	Corporates SME	10.00 to < 100.00	1	16.91%	4	39.57%	3.00	1	158.49%
26	Corporates SME	100.00 (Default)							
27	Corporates SME	Subtotal (exposure class)	3 212	0.18%	749	44.55%	2.00	621	19.33%
28	Corporates Specialized Lending	0.00 to < 0.15							
29	Corporates Specialized Lending	0.15 to < 0.25							
30	Corporates Specialized Lending	0.25 to < 0.50							
31	Corporates Specialized Lending	0.50 to < 0.75							
32	Corporates Specialized Lending	0.75 to < 2.50							
33	Corporates Specialized Lending	2.50 to < 10.00							
34	Corporates Specialized Lending	10.00 to < 100.00							
35	Corporates Specialized Lending	100.00 (Default)							
36	Corporates Specialized Lending	Subtotal (exposure class)							
37	Corporates other	0.00 to < 0.15	11 580	0.06%	365	44.75%	2.00	2 827	24.41%
38	Corporates other	0.15 to < 0.25	262	0.21%	6	45.00%	2.00	166	63.54%
39	Corporates other	0.25 to < 0.50	1 134	0.29%	84	44.67%	3.00	630	55.57%
40	Corporates other	0.50 to < 0.75	296	0.73%	17	45.00%	3.00	257	86.73%
41	Corporates other	0.75 to < 2.50	97	1.52%	12	41.59%	3.00	101	103.77%
42	Corporates other	2.50 to < 10.00							
43	Corporates other	10.00 to < 100.00	5	11.13%	8	45.00%	3.00	10	211.58%
44	Corporates other	100.00 (Default)							
45	Corporates other	Subtotal (exposure class)	13 374	0.12%	492	44.73%	2.00	3 991	29.84%
46	Total	0.00 to < 0.15	29 001	0.06%	945	44.85%	2.00	6 428	22.16%
47	Total	0.15 to < 0.25	2 254	0.21%	17	45.00%	2.00	1 419	62.96%
48	Total	0.25 to < 0.50	1 408	0.31%	165	44.36%	3.00	747	53.08%
49	Total	0.50 to < 0.75	685	0.63%	107	44.64%	3.00	610	89.10%
50	Total	0.75 to < 2.50	201	1.58%	89	42.47%	3.00	179	89.15%
51	Total	2.50 to < 10.00	10	5.58%	8	44.95%	3.00	12	123.03%
52	Total	10.00 to < 100.00	6	12.07%	12	44.12%	3.00	12	202.96%
53	Total	100.00 (Default)							
54	Total	Total (all exposures classes)	33 565	0.11%	1 343	44.82%	2.00	9 407	28.03%

EU CCR5 Composition of collateral for CCR exposures

The table shows collateral posted or received to support or reduce counterparty credit risk (CCR) exposures related to derivative transactions and securities finance transactions, including transactions cleared through a CCP.

Composition of collateral for CCR exposures 2021		Collateral used in derivative transactions				Collateral used in SFTs			
		Fair value of collateral received		Fair value of posted collateral		Fair value of collateral received		Fair value of posted collateral	
		Segregated	Unsegregated	Segregated	Unsegregated	Segregated	Unsegregated	Segregated	Unsegregated
SEK m									
1	Cash – domestic currency		3 977		227		13 415		16 622
2	Cash – other currencies		9 626		2 769		664		23 530
3	Domestic sovereign debt		1 240				15 086		13 287
4	Other sovereign debt		545				22 910		
5	Government agency debt								
6	Corporate bonds		2 016	5 155	505	40	413	118	437
7	Equity securities			462		1 354	7 892	251	12 723
8	Other collateral								
9	Total		17 404	5 617	3 501	1 394	60 380	369	66 599

EU CCR6 Credit derivative exposures

The table shows exposures to credit derivative transactions broken down to derivatives bought or sold as well as notional amounts and fair value. Total fair value have decreased compared to the previous year.

Credit derivative exposures 2021			
SEK m		Protection bought	Protection sold
Notionals			
1	Single-name credit default swaps		655
2	Index credit default swaps		64
3	Total return swaps		
4	Credit options		
5	Other credit derivatives		
6	Total notionals		719
Fair values			
7	Positive fair value (asset)	1	258
8	Negative fair value (liability)	-11	-14

EU CCR8 Exposures to CCPs

The table shows exposures to QCCPs. The total exposure has decreased compared to the previous year.

Exposures to CCPs 2021			
SEK m		Exposure value	RWEA
1	Exposures to QCCPs (total)		212
2	Exposures for trades at QCCPs (excluding initial margin and default fund contributions); of which	3 105	62
3	(i) OTC derivatives	2 628	52
4	(ii) Exchange-traded derivatives	278	6
5	(iii) SFTs	199	4
6	(iv) Netting sets where cross-product netting has been approved		
7	Segregated initial margin	2 906	
8	Non-segregated initial margin	31	10
9	Prefunded default fund contributions	395	140
10	Unfunded default fund contributions		
11	Exposures to non-QCCPs (total)		
12	Exposures for trades at non-QCCPs (excluding initial margin and default fund contributions); of which		
13	(i) OTC derivatives		
14	(ii) Exchange-traded derivatives		
15	(iii) SFTs		
16	(iv) Netting sets where cross-product netting has been approved		
17	Segregated initial margin		
18	Non-segregated initial margin		
19	Prefunded default fund contributions		
20	Unfunded default fund contributions		

Operational risk

EU ORA Qualitative information on operational risk

Points (a), (b), (c) and (d) Article 435(1) CRR.

Disclosure of the risk management objectives and policies

Operational risk refers to the risk of loss due to inadequate or failed internal processes, human error, erroneous systems or external events. The definition includes legal risk as well as IT- and information security risks (ICT-risks).

The Board establishes the Handelsbanken Group's tolerance for operational risk and compliance risks. Handelsbanken has a low tolerance for operational risk and compliance risks, although these risks are inevitable components in the Bank's operations. As far as possible, Handelsbanken must endeavour to prevent these risks and to reduce the losses in these areas. An operational risk which could lead to a material deterioration of the Group's profit in the event of an incident must be reduced to a lower risk level. Risk mitigation measures must be taken so that the risk is made acceptable. A compliance risk which has been assessed as major or critical must have an adequate action plan to be reduced. Losses resulting from an operational risk event can be covered by insurance or other solutions. Risk assessments are conducted by assessing the impact and probability of events occurring, based on a scale from 1 to 5. The assessed consequences, coupled with the assessed probability of the event, will determine the scope of the risk limitation measures required. If an action plan is missing or if risk control considers that the work is taking too long or not progressing according to plan the risk is outside of the Bank's risk tolerance. Handelsbanken's operational losses during 2021, which comprise expected and recognised operational losses above SEK 25 000 and any recoveries, totalled SEK 38m (88). It is not unusual that the amount referring to operational losses is adjusted over time due to recoveries, or that additional losses are added which are related to a previously reported incident. This may affect the comparison figures for previously reported losses.

Organisational Structure

The responsibility for identifying, assessing and managing operational risk is an integral part of managerial responsibility at all levels in the Handelsbanken Group. The Bank's decentralised way of working and cost-consciousness promote good management of operational risk, which leads to vigilance against potential loss risks in daily procedures and events.

Methods For Identifying, Assessing And Managing Operational Risk

The business operations are responsible for owning and managing risks associated with day-to-day operational activities by gathering relevant risk facts within their units. The Bank monitors the development of operational risk according to the following categories:

- execution, delivery and process management
- business disruptions and system failures
- clients, products and business practices
- external crime
- damage to physical assets
- employment practices and workplace safety
- internal fraud

The Group wide operational risk methods for identifying, assessing and managing operational risk are incident reporting, risk indicators and operational risk self-assessments.

Incident reporting: Reporting of operational risk incidents which have resulted in direct financial losses in excess of SEK 25 000 is mandatory. Other incidents illustrating material operational risk must also be reported, and risk facts must be collected.

Risk indicators: Risk indicators are monitored in order to warn of heightened operational risk. If a threshold for a risk indicator is exceeded, a risk assessment must be carried out to serve as a basis for assessing any risk management measures to be taken. For some risk indicators, thresholds are set by the CEO.

Self-assessment OPRA Risk Analysis: OPRA Risk Analysis is a method and self-assessment procedure to document and assess operational risks. It is carried out at least once a year at all units. OPRA Risk Analysis can also be event driven and shall be performed in case of serious incident, threshold breaches or serious external events.

Change Management

The change management area covers new or materially changed products, services, markets, processes or IT systems, or when there are material changes in the Group's operations or organisational structure. The activities and actors involved in the respective processes are described in the Bank's instructions and approval processes for change management, which also describe how and when to involve the control functions. The processes also include requirements that risk analyses are carried out and that these consider, for example, areas such as financial crime, sustainability, information security and data quality. Decisions related to changes must also be documented.

Continuity Planning And Crisis Management

The CEO's guidelines for continuity planning and crisis management as well as supplementary instructions state that consequence analyses are to be performed each year, in order to ascertain which operations and IT systems are of such critical importance that they require continuity plans. The continuity plans include planning the maintenance of operations during the disruption and recovery to normal operations. For essential processes, the plans must include the longest permitted duration of a stoppage. There is a Central Crisis Team for the entire Group. In addition, the CEO has specified that certain units require a designated crisis function. Work in the crisis functions is to be undertaken according to special crisis manuals. Continuity plans and crisis manuals must be revised on an annual basis at a minimum. The plans must be tested each year, at the least, and crisis drills are carried out by the units required to have crisis functions. The work is evaluated annually and reported to the Central Board, which is also informed of the Bank's strategy for continuity management.

Article 446 CRR.

Disclosure of the approaches for the assessment of minimum own funds requirements

Handelsbanken uses the standardised approach to calculate the capital requirement for operational risk. According to the standardised approach, the capital requirement is calculated by multiplying a factor specified in the regulations by the average operating income during the last three years of operation. Different factors are applied in different business segments.

At the end of 2021, the total capital requirement for operational risk for the consolidated situation was SEK 5 573m (5 489).

Article 446 CRR.

Description of the AMA methodology approach used (if applicable)
Not applicable.

Article 454 CRR.

Disclose the use of insurance for risk mitigation in the Advanced Measurement Approach (if applicable)
Not applicable.

EU OR1 Operational risk own funds requirements and risk-weighted exposure amounts

Operational risk own funds requirements and risk-weighted exposure amounts 2021		Relevant indicator			Own funds requirements	Risk weighted exposure amount
		Year-3	Year-2	Last year		
SEK m						
1	Banking activities subject to basic indicator approach (BIA)					
2	Banking activities subject to standardised (TSA) / alternative standardised (ASA) approaches	41 400	42 922	42 594	5 573	69 668
3	Subject to TSA:	41 400	42 922	42 594		
4	Subject to ASA:					
5	Banking activities subject to advanced measurement approaches AMA					

Remuneration policy

The Bank's principles for remuneration to employees are long established. In general, Handelsbanken has low tolerance of risk and holds the opinion that fixed remuneration contributes to healthy and sustainable operations. Performance-based variable remuneration is applied with great caution and to a very limited extent. Performance-based variable remuneration is not given to risktakers.

EU REMA Remuneration policy

Institutions shall describe the main elements of their remuneration policies and how they implement these policies. In particular, the following elements, where relevant, shall be described:

Information relating to the bodies that oversee remuneration

Disclosures shall include: Name, composition and mandate of the main body (management body and remuneration committee where established) overseeing the remuneration policy and the number of meetings held by that main body during the financial year

Management body: Group Chief Executive and the Central Board ("the Board"), Board members of material subsidiaries,

Remuneration Committee: Chairman of the Board and two Board members.

Mandate: The Board's remuneration committee evaluates the employment conditions for the Bank's executive officers in the light of prevailing market terms. The committee's tasks include preparing the Board's proposals to the AGM concerning guidelines for remuneration to executive officers, monitoring and evaluating the application of these guidelines, and preparing the Board's decisions on remuneration and other terms of employment for executive officers, as well as for the Chief Audit Officer. The committee also makes an assessment of Handelsbanken's remuneration policy and remuneration system.

Number of meetings: 9

External consultants whose advice has been sought, the body by which they were commissioned, and in which areas of the remuneration framework.

No advice has been sought.

A description of the scope of the institution's remuneration policy (eg by regions, business lines), including the extent to which it is applicable to subsidiaries and branches located in third countries.

The remuneration policy applies throughout the Handelsbanken Group. The Group policy is implemented within our subsidiaries and branches. If there are obstacles to this policy being applied, due to binding regulations in a country where Handelsbanken pursues its operations, or due to regulations that are binding upon subsidiaries, adapted rules are to be formulated for these operations.

A description of the staff or categories of staff whose professional activities have a material impact on institutions' risk profile (identified staff).

The following categories have been identified as risk-takers at Handelsbanken:

- Members of the Board of the parent company and the Boards of material subsidiaries
- Heads of units or staff functions at Central Head Office
- Heads of business areas
- Chief Executives of material subsidiaries
- Heads of operations in main markets and the Head of Business Support who reports to the Group Chief Executive
- Country General Managers in main markets
- The Heads of Group Compliance, Group Risk Control and Group Audit
- Managers who report to the heads specified in points b-g above
- Heads of the Bank's operations in countries of operations outside the Bank's main markets

- The Head of central treasury and managers who report to the Head of central treasury
- Members of the risk committee and the capital committee
- Persons taking decisions on new products
- Any person with total earned remuneration equal to or exceeding any risk-taker identified in points b-l, or with a total earned remuneration between EUR 500,000 and EUR 749,999.
- Any person who is among the 0.3% of employees at Handelsbanken with the highest remuneration, or who has a total earned remuneration equal to or exceeding EUR 750,000
- Any person who is not covered by points a-n above, but who is considered to have a material impact on the Bank's risk profile.

Information relating to the design and structure of the remuneration system for identified staff

An overview of the key features and objectives of remuneration policy, and information about the decision-making process used for determining the remuneration policy and the role of the relevant stakeholders (e.g. the shareholders' meeting).

The Bank's principles for remuneration to employees are long established. In general, Handelsbanken has a low tolerance of risk and holds the opinion that fixed remuneration contributes to healthy and sustainable operations. This is, therefore, the main principle. Performance-based variable remuneration is applied with great caution and to a very limited extent. It is only offered to employees in the Capital Markets business area and in mutual fund and asset management operations. The profit-sharing system covers all employees in the Handelsbanken Group. The provision is classified as variable remuneration and is based on profitability metrics linked to Handelsbanken's corporate goals being met, in combination with the Board's overall assessment regarding the Bank's performance.

At Handelsbanken, the Board decides on the remuneration policy. The AGM decides on guidelines for remuneration to executive officers.

Information on the criteria used for performance measurement and ex ante and ex post risk adjustment.

Salaries are based on factors known in advance: the nature and level of difficulty of the work, competency and skills, work performance and results achieved, leadership, and being a cultural ambassador for the Bank.

Performance-based variable remuneration is based on Handelsbanken's factors for setting salaries and it must be designed so that it does not encourage unhealthy risk-taking. The financial results of business areas with the performance-based variable remuneration is adjusted for risk and charged with the actual cost of the capital and liquidity required by the operations.

Whether the management body and the remuneration committee, where established, reviewed the institution's remuneration policy during the past year, and if so, an overview of any changes that were made, the reasons for those changes and their impact on remuneration.

The remuneration policy was reviewed by the remuneration committee during the past year. The profit-sharing scheme was re-classified as variable remuneration. Adaption to the EBA GL 2020/06 Final report on GL loan origination and monitoring and EU Regulation 2019/2088 on sustainability-related disclosures in the financial services sector.

Information of how the institution ensures that staff in internal control functions are remunerated independently of the businesses they oversee

No performance-related variable remuneration is provided at internal control functions. Internal control functions only participate in the profit-sharing scheme. For employees within the Bank's control functions, the contribution is based on criteria adapted to the control function's assignment, independent of profitability. Fixed remuneration is determined independently of the business areas the control functions are assigned to control.

Policies and criteria applied for the award of guaranteed variable remuneration and severance payments.

Guaranteed variable remuneration is not permitted according to the remuneration policy. Termination benefits can only be paid when an employment contract is terminated by means of mutual agreement on the remuneration, taking into account laws, collective bargaining agreements and the prevailing practices in the labour market; they must not encourage failure or negligence.

Description of the ways in which current and future risks are taken into account in the remuneration processes.

Disclosures shall include an overview of the key risks, their measurement and how these measures affect remuneration

The Bank's principles for remuneration to employees are long established. In general, Handelsbanken has a low tolerance of risk and holds the opinion that fixed remuneration contributes to healthy operations. This is, therefore, the main principle.

Performance-based variable remuneration:

An assessment of performance, which forms the basis for the allocation and transfer of performance-based variable remuneration, must be primarily based on risk-adjusted profit metrics. Both current and future risks are to be taken into consideration. The performance assessment must be based on a perspective of several years, to take into account the underlying business cycle and any business risks, and on long-term sustainable profits. The assessment must also take into account the operations' cost of capital and liquidity. In the assessment, it must be possible to take into account the employee and the unit's contribution to Handelsbanken's total business operations, even if these cannot be quantified. Proposals for the allocation and transfer of performance-based variable remuneration must include thorough documentation of performance and risks.

In addition to the stipulations above regarding performance assessments, the results that form the basis for performance-based variable remuneration must be based on results achieved without incurring credit, market or liquidity risk for Handelsbanken. The assessment must also include how well the unit has been able to attract, retain and develop competent employees, thus being able to maintain high quality in its operations, in order to contribute to the achievement of Handelsbanken's corporate goal in the long term. The individual performance-based variable remuneration must also reflect a sustainable, risk-adjusted performance, with the Bank's salary-setting factors being taken into account

Profit-sharing scheme:

Assessments that form the basis for the allocation to the profit-sharing scheme are to be based on Handelsbanken's corporate goals, calculated as return on equity (ROE) compared with peer banks in the Bank's main markets, and on the Board's overall assessment of the Bank's performance.

The performance assessment must be risk adjusted, and based on a perspective over several years, to take into account the underlying business cycle and any business risks, and on long-term sustainable profits. The assessment must also take into account the Bank's cost of capital and liquidity.

The ratios between fixed and variable remuneration set in accordance with point (g) of Article 94(1) of Directive (EU) 2013/36("CRD")².

No employee may receive performance-based variable remuneration equivalent to more than 100% of their fixed remuneration. According to the rules of the profit-sharing scheme, the amount per employee is limited to maximum of SEK 100,000 per year. The total amount allocated for performance-based variable remuneration for one year for Handelsbanken employees must not exceed 0.4% of the Bank's common equity tier 1 capital.

For 2021, the allocation for performance-based variable remuneration corresponds to approximately 0.6% of total salaries and approximately 0.04% of the Bank's common equity tier 1 capital.

Description of the ways in which the institution seeks to link performance during a performance measurement period with levels of remuneration.

Disclosures shall include:

An overview of main performance criteria and metrics for institution, business lines and individuals.

Fixed remuneration:

The level of fixed remuneration is based on salary factors known in advance: the nature and level of difficulty of the work, competency and skills, work performance and results achieved, leadership, and being a cultural ambassador for the Bank.

Profit-sharing scheme:

Assessment that forms the basis for allocation to the profit-sharing system shall be based on Handelsbanken's corporate objectives, measured as return on equity (ROE) compared with peer banks in the Bank's domestic markets and the Board's overall assessment of the Bank's development. The performance assessment must be risk-adjusted and made with a multi-year perspective to take into account the underlying business cycle and any business risks and on long-term sustainable results. The assessment must also take into account the Bank's costs for capital and liquidity.

In order to receive an allocation from the profit-sharing system, it is required that the employee does not act in violation of Handelsbanken's internal policies and guidelines. This is followed up based on issued written warnings.

The quantitative criterion is based on the employee's contribution to the Group's financial performance. For employees within those of the Bank's control functions which are covered by the scheme, the allocation is instead based on criteria adapted to the particular control function's assignment, independent of profitability considerations. This is followed up within the annual review process.

Performance-based variable remuneration:

The performance assessment must be based on a perspective over several years, to take into account the underlying business cycle and any business risks, and on long-term sustainable profits. The assessment must also take into account the operations' cost of capital and liquidity. In the assessment, it must be possible to take into account the employee and the unit's contributions to Handelsbanken's total business operations. In addition the results that form the basis for performance-based variable remuneration must be based on results achieved without incurring credit, market or liquidity risk for Handelsbanken. The assessment must also include how well the unit has been able to attract, retain and develop competent employees, thus being able to maintain high quality in its operations, in order to contribute to the achievement of Handelsbanken's corporate goal in the long term.

Evaluation takes place in an evaluation tool, which is based on the Bank's salary-based factors: The nature and degree of difficulty of the work, Performance ability and achieved work results, Competence, Leadership, Culture bearer incl. Compliance & Risk and the Market. Through the evaluation, the Bank considers that excessive risk-taking on the part of the employee is counteracted.

The manager evaluates employees where specific issues under each salary-based factor have been formulated by business unit managers for their respective operations. There are different sets of questions based on whether the employee is a manager or employee. In units

where there are several different roles, questions have been adapted based on the role of the employee. The individual evaluations per salary-based factor are documented in a separate system support and form the basis for the award of performance-based variable remuneration.

An overview of how amounts of individual variable remuneration are linked to institution-wide and individual performance.

Profit-sharing scheme

The assessment that forms the basis for allocation to the profit-sharing scheme shall be based on Handelsbanken's corporate objectives, measured as return on equity (ROE) compared with peer banks in the Bank's domestic markets and the Board's overall assessment of the Bank's development. The assessment must also take into account the Bank's costs for capital and liquidity.

The allocated amount is based on working hours and the fulfilment of individual qualitative and quantitative criteria.

Performance-based variable remuneration

The performance assessment must be based on a perspective over several years, to take into account the underlying business cycle and any business risks, and on long-term sustainable profits. The assessment must also take into account the operations' cost of capital and liquidity. In the assessment, it must be possible to take into account the employee and the unit's contributions to Handelsbanken's total business operations. In addition the results that form the basis for performance-based variable remuneration must be based on results achieved without incurring credit, market or liquidity risk for Handelsbanken. The assessment must also include how well the unit has been able to attract, retain and develop competent employees, thus being able to maintain high quality in its operations, in order to contribute to the achievement of Handelsbanken's corporate goal in the long term.

The individual allocation is based on the Bank's salary base factors.

Information on the criteria used to determine the balance between different types of instruments awarded including shares, equivalent ownership interest, options and other instruments

Only mutual funds are used as instruments as regards performance-based variable remuneration within subsidiaries where required.

Information of the measures the institution will implement to adjust variable remuneration in the event that performance metrics are weak, including the institution's criteria for determining performance metrics when the performance metrics are considered "weak". In accordance with point (n) of Article 94 (1) CRD, to be paid or vested the variable remuneration has to be justified on the basis of the performance of the institution, the business unit and the individual concerned. Institutions shall explain the criteria/thresholds for determining that the performance is weak and that does not justify that the variable remuneration can be paid or vested.

Profit-sharing scheme:

The allocation to the profit-sharing scheme is adjusted based on an evaluation of Handelsbanken's corporate goals, calculated as return on equity (ROE) compared with peer banks in the Bank's main markets, and on the Board's overall assessment of the Bank's performance as well as evaluation of the individual criteria.

Performance-based variable remuneration:

The allocation is adjusted based on the unit's contribution to Handelsbanken's total business operations.

The following criteria are considered:

- a) whether Handelsbanken's financial position or ability to fund its operations is materially weakened, or whether the Bank is subject to specific regulations under the legislation on state support to credit institutions or similar, in order to continue pursuing its operations
- b) whether unknown risks or losses materialise in the remuneration-setting profit figures/data at the unit or individual level

- c) whether there has been exposure to long-term illiquid assets, whose value has declined materially since the decision on allocation of variable remuneration and has thus incurred significant losses for Handelsbanken
- d) whether there has been exposure to assets which, following the decision on allocation of performance-based variable remuneration, have declined in value without the employee taking appropriate precautionary measures to minimise the risk of loss
- e) whether the allocation of performance-based variable remuneration was based on clearly erroneous grounds, of which the employee was aware, and
- f) the employee's compliance with internal and external regulations and instructions.

Description of the ways in which the institution seeks to adjust remuneration to take account of long-term performance.

Disclosures shall include:

An overview of the institution's policy on deferral, pay out in instrument, retention periods and vesting of variable remuneration including where it is different among staff or categories of staff.

The main rule for performance-based variable remuneration is that at least 40% is to be deferred for at least four years. For particularly large amounts of performance-based variable remuneration, 60% is deferred. Payment and the right of ownership to the variable remuneration do not accrue to the person with the entitlement until the expiry of the deferment period. Deferred variable remuneration can be removed or reduced if losses, increased risks or increased expenses arise during the deferment period, or if payment is deemed to be unjustifiable in view of the Bank's financial situation. No employee may receive performance-based variable remuneration equivalent to more than 100% of their fixed remuneration.

Variable remuneration may consist solely of cash remuneration, or partly of cash remuneration and partly of financial instruments including mutual fund units, or solely of mutual fund units if the prevailing rules or the subsidiary's remuneration rules so specify.

Performance-based variable remuneration is applied with great caution and to a very limited extent. It is only offered to employees in the Capital Markets business area and in mutual fund and asset management operations. In these operations, performance-based variable remuneration may only be paid to employees at units whose profits derive from commissions or intermediary transactions that take place without the Bank being subject to credit risk, market risk or liquidity risk. Just over 1% of the Group's employees are eligible to receive performance-based variable remuneration.

Information of the institution's criteria for ex post adjustments (malus during deferral and clawback after vesting, if permitted by national law).

The following criteria are considered:

- a) whether Handelsbanken's financial position or ability to fund its operations is materially weakened, or whether the Bank is subject to specific regulations under the legislation on state support to credit institutions or similar, in order to continue pursuing its operations
- b) whether unknown risks or losses materialise in the remuneration-setting profit figures/data at the unit or individual level
- c) whether there has been exposure to long-term illiquid assets, whose value has declined materially since the decision on allocation of variable remuneration and has thus incurred significant losses for Handelsbanken
- d) whether there has been exposure to assets which, following the decision on allocation of performance-based variable remuneration, have declined in value without the employee taking appropriate precautionary measures to minimise the risk of loss
- e) whether the allocation of performance-based variable remuneration was based on clearly erroneous grounds, of which the employee was aware, and
- f) the employee's compliance with internal and external regulations and instructions.

Where applicable, shareholding requirements that may be imposed on identified staff.

Not applicable

The description of the main parameters and rationale for any variable components scheme and any other non-cash benefit in accordance with point (f) of Article 450(1) CRR.

Disclosures shall include:

Information on the specific risk/performance indicators used to determine the variable components of remuneration and the criteria used to determine the balance between different types of instruments awarded, including shares, equivalent ownership interests, share-linked instruments, equivalent non cash-instruments, options and other instruments.

Allocations under the profit-sharing scheme are distributed in cash, and performance-based variable remuneration is distributed in cash to employees that are not identified as risk-takers, and in mutual funds to risk-takers, where required.

Upon demand from the relevant Member State or competent authority, the total remuneration for each member of the management body or senior management.

In line with point (j) of Article 450 (1) CRR

Not applicable

Information on whether the institution benefits from a derogation laid down in Article 94(3) CRD in accordance with point (k) of Article 450(1) CRR.

For the purposes of this point, institutions that benefit from such a derogation shall indicate whether this is on the basis of point (a) and/or point (b) of Article 94(3) CRD. They shall also indicate which of the remuneration requirements they apply the derogation(s), (i.e., point (l) and/or (m) and/or (o) of Article 94(1) CRD), the number of staff members that benefit from the derogation(s) and their total remuneration, split into fixed and variable remuneration.

Employees whose professional activities have a material impact on the Bank's risk profile are not eligible for performance-based variable remuneration.

The profit-sharing scheme covers all employees in the Handelsbanken Group. The amount per employee is limited according to the rules of the profit-sharing scheme (maximum SEK 100,000 per year), and article 94(3) b) CRD has been applied.

Large institutions shall disclose the quantitative information on the remuneration of their collective management body, differentiating between executive and non-executive members in accordance with Article 450(2) CRR.

The total remuneration to the executive member of the management body amounts to SEK 18.4 million and the total remuneration to the non-executive members of the management body amounts to SEK 20.8 million.

EU REM1 Remuneration awarded for the financial year

Excluded rows are deemed not relevant (rows 4, 6 and 8 in the template)

Remuneration awarded for the financial year 2021			MB Supervisory function	MB Management function	Other senior management	Other identified staff
1		Number of identified staff		14	21	999
2		Total fixed remuneration		39	97	1 568
3		Of which: cash-based		39	97	1 568
EU-4a	Fixed remuneration	Of which: shares or equivalent ownership interests				
5		Of which: share-linked instruments or equivalent non-cash instruments				
EU-5x		Of which: other instruments				
7		Of which: other forms				
9		Number of identified staff		1	21	999
10		Total variable remuneration				57
11		Of which: cash-based				57
12		Of which: deferred				
EU-13a		Of which: shares or equivalent ownership interests				
EU-14a	Variable remuneration	Of which: deferred				
EU-13b		Of which: share-linked instruments or equivalent non-cash instruments				
EU-14b		Of which: deferred				
EU-14x		Of which: other instruments				
EU-14y		Of which: deferred				
15		Of which: other forms				
16		Of which: deferred				
17	Total remuneration (2 + 10)		0	39	97	1 625

EU REM2 Special payments to staff whose professional activities have a material impact on institutions' risk profile (identified staff)

Special payments to staff whose professional activities have a material impact on institutions' risk profile (identified staff) 2021		MB Supervisory function	MB Management function	Other senior management	Other identified staff
SEK m					
Guaranteed variable remuneration awards					
1	Guaranteed variable remuneration awards - Number of identified staff				
2	Guaranteed variable remuneration awards -Total amount				
3	Of which guaranteed variable remuneration awards paid during the financial year, that are not taken into account in the bonus cap				
Severance payments awarded in previous periods, that have been paid out during the financial year					
4	Severance payments awarded in previous periods, that have been paid out during the financial year - Number of identified staff				14
5	Severance payments awarded in previous periods, that have been paid out during the financial year - Total amount				36
Severance payments awarded during the financial year					
6	Severance payments awarded during the financial year - Number of identified staff				37
7	Severance payments awarded during the financial year - Total amount				43
8	Of which paid during the financial year				31
9	Of which deferred				
10	Of which severance payments paid during the financial year, that are not taken into account in the bonus cap				
11	Of which highest payment that has been awarded to a single person				4

EU REM4 Remuneration of 1 million EUR or more per year

Remuneration of 1 million EUR or more per year 2021		Identified staff that are high earners as set out in Article 450(i) CRR
	EUR	
1	1 000 000 to below 1 500 000	2
2	1 500 000 to below 2 000 000	1
3	2 000 000 to below 2 500 000	
4	2 500 000 to below 3 000 000	
5	3 000 000 to below 3 500 000	
6	3 500 000 to below 4 000 000	
7	4 000 000 to below 4 500 000	
8	4 500 000 to below 5 000 000	
9	5 000 000 to below 6 000 000	
10	6 000 000 to below 7 000 000	
11	7 000 000 to below 8 000 000	

EU REM5 Information on remuneration of staff whose professional activities have a material impact on institutions' risk profile (identified staff)

Information on remuneration of staff whose professional activities have a material impact on institutions' risk profile (identified staff) 2021	Management body remuneration								
	Management body remuneration			Business areas					
	MB Supervisory function	MB Management function	Total MB	Investment banking	Retail banking	Asset management	Corporate functions	Independent internal control functions	All other
Total number of identified staff									1 034
Of which: members of the MB		14	14						
Of which: other senior management				2	7	3	7	2	
Of which: other identified staff				25	826	32	97	33	
Total remuneration of identified staff		39	39	114	1 232	84	264	67	
Of which: variable remuneration				5	42	0	9	0	
Of which: fixed remuneration		39	39	109	1 190	83	255	66	

Definitions and explanations

ADDITIONAL TIER 1 CAPITAL

Additional tier 1 capital comprises perpetual subordinated loans which meet the requirements stated in Regulation (EU) No 575/2013 and can therefore be included in the tier 1 capital.

AFR

Available financial resources (AFR) is the Bank's equity with the addition of other financial values on and off the balance sheet, available to cover losses with a one-year time horizon.

BUFFER REQUIREMENT FOR SYSTEMICALLY IMPORTANT INSTITUTIONS

The buffer requirement for banks considered especially important to the financial system. For institutions that are systemically important on a global scale, the requirement can be up to 3.5%. For other systemically important institutions, it can be up to 2%.

CAPITAL CONSERVATION BUFFER

The purpose of this buffer requirement of 2.5% is to ensure that all banks maintain buffer capital exceeding the minimum capital requirements.

CAPITAL REQUIREMENT

The statutory capital requirement means that an institution which is subject to CRR must have a common equity tier 1 ratio of at least 4.5%, a tier 1 ratio of at least 6% and a total capital ratio of at least 8%. This means that own funds must be at least the percentage of the risk exposure amount specified for each ratio. For definitions of each of the own funds amounts, see Common equity tier 1 capital, Tier 1 capital, and Total capital. In addition to the general requirements, the supervisory authority may add institution-specific requirements in accordance with the second pillar of the regulations.

COMBINED BUFFER REQUIREMENT

The sum of the capital conservation buffer, the countercyclical buffer, and the buffer requirement which is the higher of the requirement for systemically important institutions or the systemic risk buffer.

COMMON EQUITY TIER 1 CAPITAL

Common equity tier 1 capital is one of the components of own funds and mainly comprises equity. Deductions are made for dividends generated, goodwill, and other intangible assets as well as the difference between an expected loss and provisions made for probable loan losses.

COMMON EQUITY TIER 1 RATIO

Common equity tier 1 capital in relation to total risk exposure amount.

COUNTERCYCLICAL BUFFER

A buffer requirement that varies over the business cycle to counteract excessively high credit growth. The level is set by the Swedish Financial Supervisory Authority and can be between 0 and 2.5%.

CRD IV

The EU Credit Institutions Directive: Directive 2013/36/EU on access to the activity of credit institutions and the prudential supervision of credit institutions and investment firms.

CREDIT CONVERSION FACTOR (CCF)

The factor that is used when calculating the exposure amount for unutilised overdraft facilities, committed loan offers, guarantees and other off-balance-sheet commitments.

CREDIT RISK PROTECTION

Risk-mitigation factors and measures.

CREDITS IN DEFAULT

Impaired exposures that are also classified as 'defaulted' under Article 178 of CRR.

CRR

Regulation (EU) No 575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms and amending Regulation (EU) No 648/2012.

CVA

The credit valuation adjustment (CVA) risk means the risk that the market value of a derivative will decrease, owing to deterioration of the creditworthiness of the counterparty. The CVA is a component in the regulations for the valuation of derivatives. The adjustment in the value is based on the counterparty's creditworthiness. An exposure to a counterparty with weaker creditworthiness must have a lower carrying amount than the equivalent exposure to a counterparty with better creditworthiness. In this context, credit risk means that if a given counterparty's creditworthiness weakens, the balance sheet values of all derivative transactions with this counterparty with a positive market value decrease – and thus the Bank's equity decreases. To factor in this risk in the capital adequacy, the credit valuation adjustment risk has been introduced as part of the capital adequacy regulations.

DEFAULT

A default shall be considered to have occurred with regard to a particular obligor when either or both of the following have taken place:

(a) the institution considers that the obligor is unlikely to pay its credit obligations to the institution, the parent undertaking or any of its subsidiaries in full, without recourse by the institution to actions such as realising security;

(b) the obligor is more than 90 days past due on any material credit obligation to the institution, the parent undertaking or any of its subsidiaries. Competent authorities may replace the 90 days with 180 days for exposures secured by residential property or SME commercial immovable property in the retail exposure class, as well as exposures to public sector entities. The 180 days shall not apply for the purposes of point (m) Article 36(1) or Article 127 of Regulation (EU) No 575/2013.

Economic capital (EC)

Economic capital is a model for calculating economic capital which, in one measurement, identifies the Group's overall risks and indicates the capital that, with very high probability, will cover unexpected losses or decreases in value.

Expected Loss (EL)

Expected loss or EL means the ratio of the amount expected to be lost on an exposure from a potential default of a counterparty or dilution over a one-year period to the amount outstanding at default.

ELIGIBLE LIABILITIES AND OWN FUNDS

The sum of qualified eligible senior liabilities according to the definition in Swedish resolution Act (SFS 2015:1016) and own funds.

EXPOSURE AMOUNT

Exposure amount (exposure at default) is the amount which is subject to capital adequacy requirements. It is calculated including interest and fees. For off-balance-sheet items, the amounts are recalculated using the credit conversion factor (CCF). For derivatives, the exposure value is calculated according to the standardised approach for counterparty credit risk (SA-CCR).

EXPOSURE VALUE

Exposure value is the same as exposure amount. The exposure value concept is used in the standardised approach for credit risk.

FORBEARANCE MEASURE

Forbearance measure is a concession by an institution towards an obligor that is experiencing or is likely to experience difficulties in meeting its financial commitments.

IRB

Internal Ratings Based Approach.

IRB APPROACH

The Internal Ratings Based Approach or the IRB approach is the approach provided for in Chapter 3 of regulation (EU) No 575/2013 to calculate the risk-weighted exposure amounts for the purposes of points (a) and (f) of Article 92(3).

LEVERAGE RATIO

Tier 1 capital in relation to total assets, including certain off-balance-sheet items recalculated with conversion factors defined in the standardised approach and regulatory adjustments from own funds.

LGD

Loss given default or LGD means the ratio of the loss on an exposure due to the default of a counterparty to the amount outstanding at default.

LIQUIDITY COVERAGE RATIO (LCR)

High-quality liquid assets in relation to an estimated net outflow of liquidity over a period of 30 days.

LOAN LOSS RATIO

Loan losses and changes in value of repossessed property in relation to loans to the public and credit institutions (excluding banks), and also repossessed property and credit guarantees at the beginning of the year.

MREL REQUIREMENT

Minimum requirement for eligible liabilities and own funds. Requirement is determined annually by the SNDO, the resolution authority, in accordance with the Swedish resolution Act (SFS 2015:1016).

NET STABLE FUNDING RATIO (NSFR)

The structural liquidity measure that is the ratio between available stable funding and the stable funding required.

NPL NON-PERFORMING LOANS/NPE NON-PERFORMING EXPOSURES

Non-performing loans/exposures are defined as defaulted exposures plus forborne exposures. A default shall be considered to have occurred when the obligor is unlikely to pay its credit obligation to the institution or the obligor is past due more than 90 days on any material credit obligation.

OWN FUNDS/TOTAL CAPITAL

Own funds are the sum of tier 1 and tier 2 capital.

PD

Probability of default or PD means the probability of default of a counterparty over a one-year period.

PERFORMING CREDITS

Credits that are neither impaired nor defaulted.

PILLAR 2 GUIDANCE

According to the Pillar 2 framework, the regulatory authority may inform the bank of the assessed appropriate level of capital to be held in excess of the minimum- and buffer requirements to cover risks and future financial stress.

PILLAR 2 REQUIREMENT

The requirement consists of an additional minimum requirement based on a formal decision from the regulatory authorities within the Pillar 2 framework and concerns risks that a bank is or could be exposed to that are not covered by the general minimum requirements.

RISK EXPOSURE AMOUNT

The capital requirement in accordance with CRR, multiplied by 12.5. The risk exposure amount is used in conjunction with market risk and operational risk.

RISK WEIGHT

A measure to describe the level of risk an exposure is expected to have according to the capital adequacy regulations.

RISK-WEIGHTED EXPOSURE AMOUNT

Exposure amount multiplied by risk weight. The risk-weighted exposure amount is used in conjunction with credit risk including counterparty risks.

SECURITISATION

Securitisation means a transaction or scheme, whereby the credit risk associated with an exposure or a pool of exposures is tranching, having all of the following characteristics: (a) payments in the transaction or scheme are dependent upon the performance of the exposure or of the pool of exposures; (b) the subordination of tranches determines the distribution of losses during the ongoing life of the transaction or scheme; (c) the transaction or scheme does not create exposures which possess all of the characteristics listed in Article 147(8) of Regulation (EU) No 575/2013.

SPECIFIC CREDIT RISK ADJUSTMENT

Specific credit risk adjustments consist of collective and individual credit risk adjustments. These apply to exposures covered by either the standardised approach or the IRB approach.

STANDARDISED APPROACH

The Standardised Approach is the approach provided for in Chapter 2 of Regulation (EU) No 575/2013 to calculate the risk-weighted exposure amounts for the purposes of points (a) and (f) of Article 92(3).

SYSTEMIC RISK BUFFER

A buffer requirement of 3% for the largest banks in Sweden. The aim of the systemic risk buffer is to protect the banking system as a whole in times of financial instability.

TIER 1 CAPITAL

Common equity tier 1 capital including additional tier 1 capital.

TIER 1 RATIO

Tier 1 capital in relation to total risk exposure amount.

TIER 2 CAPITAL

Tier 2 capital is one of the components of own funds and mainly consists of subordinated loans which fulfil the requirements stated in Regulation (EU) No 575/2013 and can therefore be included as tier 2 capital.

TOTAL CAPITAL RATIO

Total capital in relation to total risk exposure amount.

TOTAL LIABILITIES AND OWN FUNDS

The sum of the Bank's total liabilities and own funds

TOTAL RISK EXPOSURE AMOUNT

The sum of risk exposure amount and risk-weighted exposure amount.

Information items not disclosed according to Article 432

Tables not applicable, non-material or confidential 2021

Table	Description	Reason for non-disclosure
EU CCR7	RWEA flow statements of CCR exposures under the IMM	Not applicable
EU MRB	Qualitative disclosure requirements for institutions using the internal Market Risk Models	Not applicable
EU MR2-A	Market risk under the internal Model Approach (IMA)	Not applicable
EU MR2-B	RWA flow statements of market risk exposures under the IMA	Not applicable
EU MR3	IMA values for trading portfolios	Not applicable
EU MR4	Comparison of VaR estimates with gains/losses	Not applicable
EU CRC	The description of the main types of guarantors and counterparties for credit derivatives and their creditworthiness.	Confidential
EU CR2a	Changes in the stock of non-performing loans and advances and related net accumulated recoveries	Not applicable
EU CQ2	Quality of forbearance	Not applicable
EU CQ6	Collateral valuation - loans and advances	Not applicable
EU CQ8	Collateral obtained by taking possession and execution processes – vintage breakdown	Not applicable
EU REM3	Deferred remuneration	Not applicable
EU-SECA	Qualitative disclosure requirements related to securitisation exposures	non-material
EU-SEC1	Securitisation exposures in the non-trading book	non-material
EU-SEC2	Securitisation exposures in the trading book	non-material
EU-SEC3	Securitisation exposures in the non-trading book and associated regulatory capital requirements - institution acting as originator or as sponsor	non-material
EU-SEC4	Securitisation exposures in the non-trading book and associated regulatory capital requirements - institution acting as investor	non-material
EU-SEC5	Exposures securitised by the institution - Exposures in default and specific credit risk adjustments	non-material

Signatures of the CEO, CFO and CRO

The Information Policy for the Handelsbanken Group, adopted by Handelsbanken's Board, and the CEO's Guidelines for communication in the Handelsbanken Group are Handelsbanken's steering documents for compliance with the disclosure requirements in Regulation (EU) No 575/2013.

The control environment described in the Annual Report's Corporate Governance Report and in this report is fundamental to Handelsbanken's internal control of disclosures under Part Eight of Regulation (EU) No 575/2013: organisational structure, division of responsibilities, guidelines and steering documents. Another part of the internal control process is the identification and management of the risks that may affect the preparation of disclosures under Part Eight of Regulation (EU) No 575/2013 and the control activities incorporated in the process for preparing disclosures. The Bank has information and communication paths intended to promote the completeness, accuracy, meaningfulness, and consistency over time of disclosures under Part Eight of Regulation (EU) No 575/2013.

The responsibility for internal control of disclosures under Part Eight of Regulation (EU) No 575/2013 has been delegated from the CEO to managers who report directly to the CEO and who are in charge of internal control within their respective units.

We hereby declare that the disclosures under Part Eight of Regulation (EU) No 575/2013 have been prepared in accordance with Handelsbanken's internal control framework. The information which is provided under Part Eight of Regulation (EU) No 575/2013 is satisfactory, including in terms of control and frequency, in relation to the disclosure requirements in the Regulation and provides market participants with a comprehensive picture of Handelsbanken's risk profile.

STOCKHOLM FEBRUARY 2022

Carina Åkerström

President and Group Chief Executive

Carl Cederschiöld

CFO

Maria Hedin

CRO

